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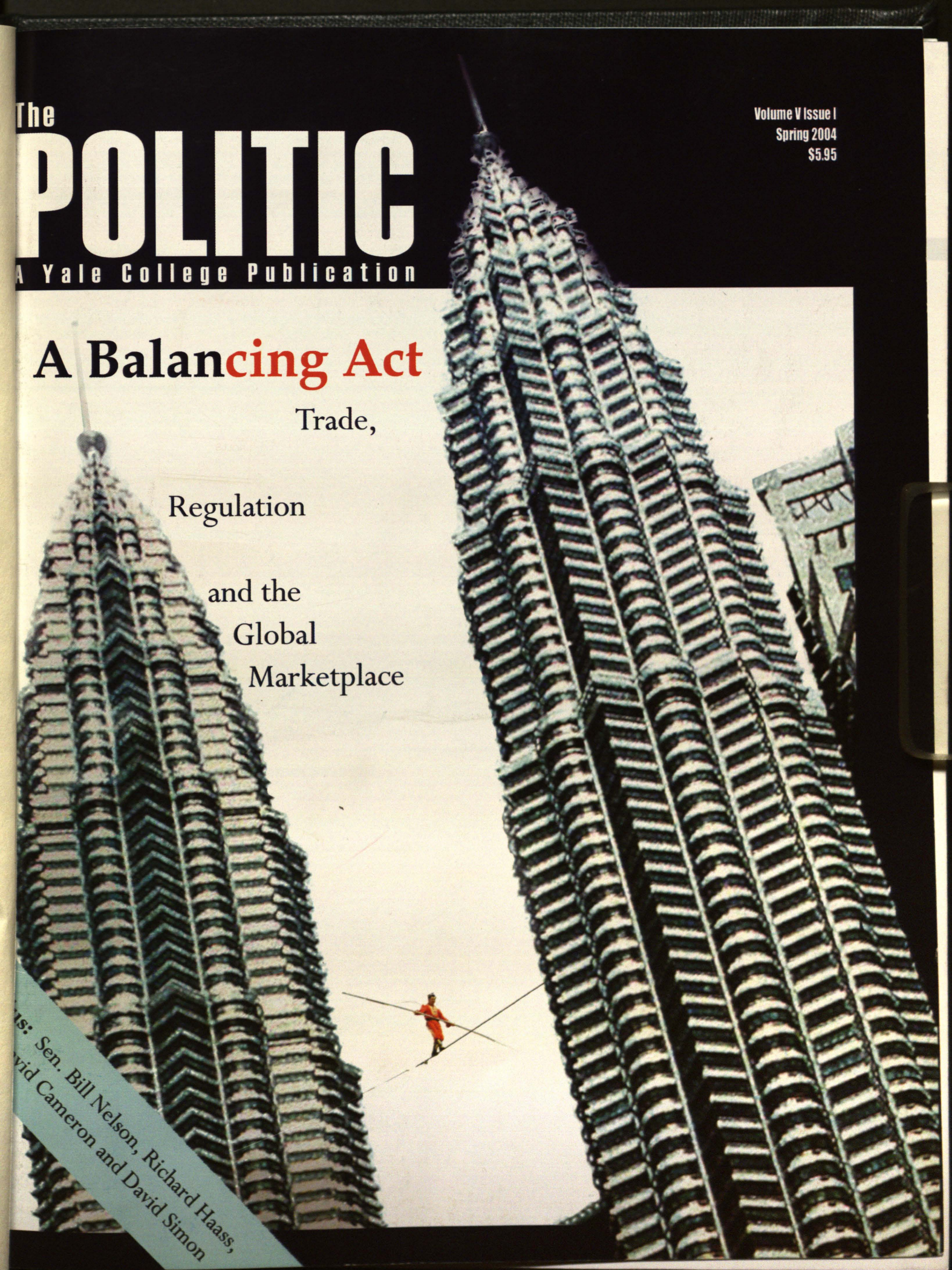
A Balancing Act

Trade, Regulation and the Global Marketplace



...s: Sen. Bill Nelson, Richard Haass,
...vid Cameron and David Simon

thank you

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Spring 2004

Dear Reader,

As the 2004 presidential election heats up, television programs like Lou Dobbs' "Exporting America" on CNN join the candidates in bringing issues of international trade and international political economy to the forefront of political discourse. During the early Democratic primaries, trade became a controversial issue as Sen. John Edwards criticized John Kerry for his support of NAFTA and free trade. For his part, Kerry challenged President Bush for jeopardizing U.S. manufacturing interests at home. In this issue of *The Politic*, we seek to enlighten our readers with an examination of the politics of economic change. Rafiq Dossani of Stanford University and University of California, Davis professor Martin Kenney use service activities in India as an example of how offshore relocation provides quality in addition to cutting costs. Yale School of Management professor Paul Bracken writes on multinational corporations and their effects on globalization. Dan Ikenson of the Cato Institute again focuses on trade, arguing that the United States is mired in a trade war with China over antidumping laws. Jan Rettel, a Yale undergraduate, examines the European Union and questions whether it can become a player in the world economy.

The highlight of the National section is an interview with Senator Bill Nelson of Florida who discusses new space initiatives, electoral politics, and television indecency. Christopher Mann, a Yale graduate student, lends timely insight on campaign finance reform and Brian Riedl of the Heritage Foundation examines the budget debate.

In the International section, Richard Haass, president of the Council on Foreign Relations, recounts some of his experiences serving in the Bush administration. Yale political science professors David Simon and David Cameron share perspectives on their areas of expertise, writing on the Rwandan genocide and the expansion of the European Union, respectively.

Finally, the Opinion section features columns by undergrdautes who join the political debate on issues of poverty, women's rights, the ROTC and the future of manned space flight.

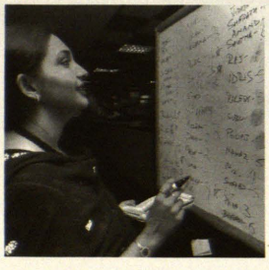
The new editorial staff of *The Politic* is extremely excited about the high-caliber contributors and the diversity of articles in this issue. As always, please enjoy!

Matthew Bloom
Editor-in-Chief

The POLITIC

FEATURES: International Political Economy

Spring 2004



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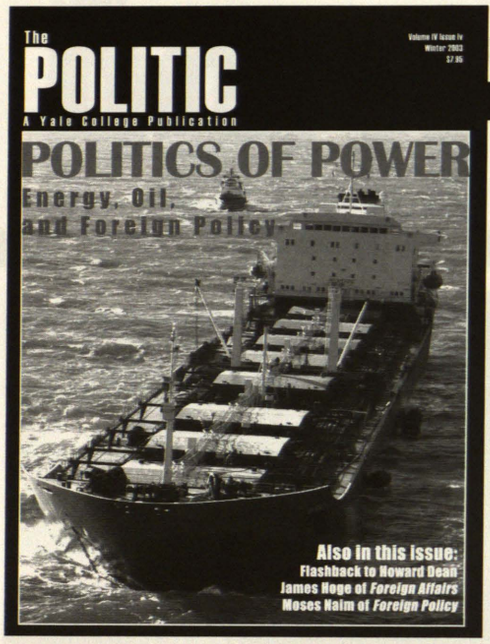

Re: Patriotic Politics Revisited
To the Editor:

In "Patriotic Politics Revisited" Matthew Glassman and Philip Klinker present statistical data to support the evident reemergence of political patriotism in the post-9/11 America. As a prominent and unavoidable theme in the upcoming election, Glassman and Klinker discuss the pros and cons of both parties formulating a patriotic strategy. While Glassman and Klinker warn the Republican Party against relying too heavily on the patriotic war agenda, they also warn Democratic candidates against being too critical of the commander in chief during a time of war.

President Bush's recent space proposal can be interpreted as the Republican Party's alternate or back-up strategy should the Iraq war agenda become unpopular. With a plan to send Americans to Mars within the next 20 years, the Republican Party can still play the "patriotic card" if the images of the Saddam Hussein's capture no longer inspire a strong love of state. After all, what is more patriotic than the image of Neil Armstrong landing on the moon?

As Glassman and Klinker state, in order for Democrats to have a shot in this election, they too must devise a strong patriotic strategy with less emphasis on the faults of our current leader and more emphasis on the potential of future leaders. Building on Howard Dean's "great restoration of American values" and Wesley Clark's "new patriotism," Democrats must once again expand the term patriotism to include a vision of what this nation can be in addition to a love of what it is.

Courtney McNally
Jonathan Edwards '06

Re: Final Word
To the Editor:

Congratulations on a year of successful issues of *The Politic*. Over the course of the last year I have watched, initially with skepticism and later with respect, as this publication has become progressively better and more mature. I was especially heartened to see this most recent issue's Final Word from eds. Asher and White. Above partisan bickering, it has become increasingly clear that the only safe and viable foundation for American foreign, environmental and energy policy lies in a turn to energy conservation and renewable resources.

I would go further than the editors and say that U.S. energy policy may even taint our ostensibly benevolent policies in the Middle East, a suspicion supported by the extensive ties between the current administration and the energy industry. Nevertheless, I wholeheartedly agree with the editors that a strong commitment to energy conservation and eventually energy alternatives will provide an opportunity for a truly benevolent foreign policy that will be more reflective of the best ideals of the United States, as well as addressing the important issues of the environment and sustainability.

Your concrete proposal to use taxation to harness market forces, reduce consumption and fund research is one that I hope all of the 2004 candidates will embrace, given the President's State of the Union commitment to alternative energy and the Democrats traditional attention to environmental policy. It is a proposal that reflects some of the best ideas of an emerging pragmatic environmentalism.

Charles Billington Jr.
Davenport College '04

Re: Energy in Central America
To the Editor:

Cory Needle's article on development through energy initiatives in Central America was insightful and compelling. His call for a political and economic agenda which would bring about sustainable economic development in an impoverished and often overlooked region makes sense.

But I take issue with the fact that the actual meaning of sustainable economic development is never addressed. When considering the word "sustainable," we must not forget the one resource upon which all sustainability depends: the environment. Latin America is at a crossroads and should use this opportunity to learn from the United States' mistakes and develop in a way that is environmentally sound. The United States spends billions each year on environmental remediation, cleaning up messes that were often created decades ago by industries that were not environmentally aware. If Central America develops in ways that are innocuous to the environment, it will save the region billions of dollars down the road.

David Berv
Davenport College '06

The Politic welcomes letters to the editors, article submissions, and any and all comments. All articles must be written exclusively for ***The Politic***. ***The Politic*** reserves the right to edit all submissions. Please send all correspondence to editor@thepolitic.org or:

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spotlight on:

Ange-Marie Hancock

Assistant Professor of Political Science and African-American Studies

What are your current interests or projects?

I just finished a book on the 1996 welfare reform. It's called *The Politics of Disgust,* and that will come out in the fall of this year. Now, I'm working on a book on the German Jewish philosopher Hannah Arendt and the African-American philosopher W.E.B. DuBois. I'm just starting that project. I'm trying to think about the ways that people come together to stand in solidarity with movements that they're not necessarily a part of, kind of how people end up taking controversial positions. So one of my cases is going to be the WTO movements, and another one of my cases may be the *Refuseniks* in Israel.

What sort of role do you envision minorities playing in the upcoming presidential election this November or in presidential politics more generally?

I guess I feel like there are varying levels at which minorities can play a big role. Unfortunately, I don't think that African-Americans can play as decisive a swing-voting role as Latinos can, because I think African-Americans are much more unified partisanship-wise with the Democratic Party. There is a little bit more of a choice in the Latino community because of the social conservatism that goes across national origin groups. They're a little bit easier to draw away from the Democratic Party, which means that the Democratic Party also has to work harder in order to keep them.

I also think presidential politics, in terms of its pursuit of minorities, tends to be rather superficial. There was actually an article in the *New York Times Magazine* that was about how all of the candidates come down to South Carolina right before the primary and they do all these speeches at black churches, and then they're gone for another four years. So there's kind of a disaffection. But black people have no place else to go, so they end up getting taken advantage of.

Having written the original proposal for the WNBA, you seem uniquely positioned to judge the league. Would you say the WNBA is a success?

I would definitely say the WNBA is a success, and not just because I wrote the original proposal! I think that it has given an outlet for female college players in the United States, a semi-permanent one — it's not going anywhere any time soon — and I think more importantly, because the NBA is behind it, it has given women's sports and women's basketball a sort of visibility it didn't have before. So I definitely think it's a success.

Now, that said, I do think that there are some problems with it. I definitely feel like the coaching ranks are used in the WNBA as a kind of training ground for former NBA players, and I think that that's problematic; I don't think that has to happen. And I'm not saying men can't coach women. [University of Connecticut coach] Geno Auriema destroys that. But these ex-NBA players are clearly just there as a stepping stone. You know if Michael Cooper got a call from the [Los Angeles] Lakers, he would no longer coach the [Los Angeles] Sparks, you know that just goes without saying. I do find that problematic.

If you could name one issue in American politics that is currently underreported but might have a large impact in the future, what would it be?

Actually, I think it will be education. Even though we always talk about education, we are on the verge of this train wreck in public education, through both Democratic and Republican fault; I'm not going to make it a partisan argument here. And it's just going to get really ugly, really soon and nobody's really prepared for that.

politics and yale:

Deconstructing Hate

Robert Sternberg might not be the first Yale professor one would associate with efforts to combat terrorism. But the Yale professor of psychology — best known for his research into human intelligence — is attacking a problem typically left to economists, political scientists and historians on campus: how to explain global terrorism and fight it.

Sternberg's analysis of global terrorism, laid out in a September 2003 article in the *Review of General Psychology* entitled "A Duplex Theory of Hate: Development and Application to Terrorism, Massacres, and Genocide," centers on his explanation of human hatred. Hate, Sternberg explains, can best be explained by thinking about the stories people tell. Sternberg writes that people construct stories about a specific object of their hate — depicting the group as the enemy of God or as the controller of the world.

Over time, the stories create coherent histories of a targeted group or inflame fears of an imminent threat. "The power of stories is that their perception becomes, for the individual experiencing the stories, reality," Sternberg writes. Through indoctrination and propaganda, these narratives become ingrained in a society — ultimately leading to widespread support for otherwise unthinkable actions, like genocide or terrorism.

From Sternberg's vantage point, understanding hate through stories provides key insights into how terrorism and genocide can be stopped. In the immediate term, a group that finds itself the object of hatred must try to undo the negative stereotypes associated with them. More importantly, Sternberg explains, long-term efforts to fight hatred — like the U.S. war on terrorism, for example — must rely on a firm understanding of the psychological bases of violence and animosity.

According to Sternberg, the Bush administration has failed to adequately consider why it is hated — and has done too little to dispel the stories which drive terrorism, especially in the Arab world. If anything, Sternberg claims, U.S. policy has only fed into the stereotypes that underpin hatred of Americans throughout the world. "The United States is fighting the symptoms and not the causes," Sternberg said in an interview. "Our policy is completely wrongheaded. We are taking a superficial approach to the problem – capturing terrorists is not the answer when more will take their places."

An Unexpected Pair

When New Haven Mayor John DeStefano Jr. delivered his State of the City Address on Feb. 2, his audience could be forgiven if they were surprised that the six-term mayor structured his address around a book by a Yale political scientist.

But DeStefano devoted much of his annual speech to assessing the current conditions of the Elm City within the framework laid out by Yale political science professor Douglas Rae in his recent book, *City: Urbanism and Its End.* And while Rae's book gives an often pessimistic view concerning whether the heyday of American cities can ever return, DeStefano said after his speech that he felt the book provided key insights into the Elm City's challenges.

In his address, the mayor said Rae's discussion of two of DeStefano's predecessors — Frank Rice and Richard C. Lee — offered a glimpse into the way New Haven had changed over the course of the past century. Rice, who was mayor from 1910 until his death in 1917, was a popular Republican who seldom invited controversy in a city that required little hands-on governing. Lee, the illustrious Democrat who dominated New Haven politics in the 1950s and 1960s, was as ambitious as Rice was passive. But, as Rae explains, Lee's nationally-recognized urban renewal programs could do little to arrest the onset of serious social and economic problems in New Haven. "Rae's point was that Lee's effort to rebuild the city in the 1950s and 1960s was impossible," DeStefano said.

As DeStefano laid out his agenda for 2004, he explained that certain trends Rae laid out, like the decline of manufacturing, could not be reversed. But DeStefano said neither a Rice-like passivity nor a Dick Lee-style belief

in the power of good policy could succeed in the Elm City. Rae's book, DeStefano said, suggested that new approaches were needed to keep New Haven competitive. "Thinking about the future," DeStefano said about Rae's book, "let's learn from the past."

Of course, Rae, who said in an interview that he attended DeStefano's speech but tried to remain inconspicuous, is no stranger to the New Haven political scene. In the early 1990s, he served under Mayor John Daniels as New Haven's chief administrative officer, occupying one of the most powerful positions in City Hall. Rae said he counts DeStefano as a personal friend, and he praised the mayor as a "public intellectual." Yet even without the personal connection, DeStefano might have been tempted to draw from Rae's book — arguably the most important on New Haven since another Yale political scientist, Robert Dahl, published *Who Governs?* in 1963.

But thinking back, Rae said the most recent mayor who would be as likely to quote from a scholarly work was J.B. Sargent — who left office in the 1890s. "It's pretty rare that a mayor wraps himself in any garment that is Yale blue," Rae said.

Alma Matters?

Despite all the talk of a "Bones vs. Bones" election, voters are unlikely to care where presidential candidates went to college. But the months leading up to the nation's first primaries provided a slight glimpse into how Yale alumni might be helped or hurt by their associations with their alma mater. "I graduated with honors from Yale" might not have the same political resonance as Sen. John Edwards' campaign line that he is "the son of a mill worker," but the Yale label does present some opportunities and pitfalls for candidates:

The American dream line: Like his fellow Yalie graduates, Sen. Joe Lieberman seldom advertised his Yale connections on the stump. But Lieberman often described how he was the first in his family to go to college, and the Connecticut native could point proudly to his accomplishments at Yale: becoming chairman of the *Yale Daily News*, earning stellar grades, and traveling to Mississippi to participate in Civil Rights marches. For Lieberman, unlike prep school graduates George W. Bush, Howard Dean and John Kerry, Yale fit into his personal story of an immigrant son made good — although it didn't help him win many delegates.

The character-building line: In the final months of his campaign, former Gov. Howard Dean often sent a surrogate in his place to rallies he could not attend: his old Yale roommate, Don Roman. On the trail, Roman, an African-American who the former Vermont governor remains friends with, frequently spoke about Dean's commitment to justice. Lieberman's travels to Mississippi and Kerry's deliberations over Vietnam fell into the same category: experiences at Yale that helped make them leaders.

The Yankee elitist line: But Yale also presents its share of negative connotations. Especially for Bush, Dean, and Kerry — all of whom grew up in wealthy, relatively well-connected families — a Yale degree has fed into some voters' perceptions that they are out-of-touch with Americans who did not attend Ivy League schools. Former Gen. Wesley Clark played on this image on the eve of the New Hampshire primary, explaining, that he was campaigning for Americans like himself who may not have had the privilege of attending Old Blue. "I didn't go to Yale," Clark said. "My parents couldn't have afforded to send me there."

Of course, Clark's Yale-bashing did not earn him the love of New Hampshire voters or the nomination — but of course, Eli connections did little for Lieberman or Dean, either. On the campaign trail, candidates may have learned the same lesson as many Yale seniors: the degree may count, but don't expect it to get you the job.

RED, WHITE AND IVY

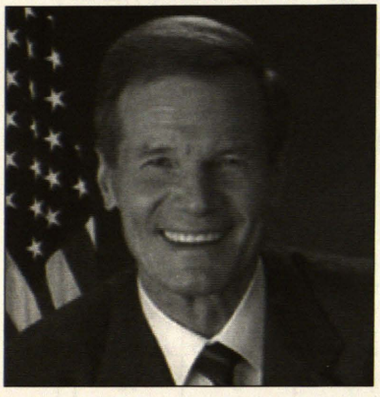
Yalies may have dominated the 2004 presidential campaign thus far, but when it comes to overall presence in the federal government, our rivals in Cambridge maintain the upper hand. Yale College grads are well-represented at the highest reaches of American politics — especially in the Senate — but Harvard's graduate and professional schools have churned out a much higher share of government leaders than their Yale counterparts. Yet Bulldogs of all political stripes can find Yale grads throughout the political spectrum in the corridors of power, from Democrats (Joe Lieberman '64 LAW '67, John Kerry '66) to independents (James Jeffords '56) to Republicans (John Ashcroft '64, George W. Bush '68.) And when it comes to politics, as any good Yale student could tell you, well, Princeton doesn't matter.

		U.S. House	U.S. Senate	Supreme Court	Bush Cabinet	**Total**
Yale	Undergrad	5	5	0	2	12
	Graduate	7	2	1	0	11
Harvard	Undergrad	8	4	1	1	14
	Graduate	17	12	5	5	39
Princeton	Undergrad	2	3	0	2	7
	Graduate	0	0	0	0	0

Notes: One senator earned graduate and undergraduate degrees from Yale. Four House members, one senator, and one Supreme Court justice earned both degrees from Harvard.
Sources: Lexis-Nexis Congressional Universe; supremecourtus.gov; whitehouse.gov

FROM YALE TO SPACE

An Interview With Senator Bill Nelson



While Florida earned more headlines in Nov. 2000 for butterfly ballots and ***Bush v. Gore***, that year's election also saw the state's voters elect Bill Nelson to the U.S. Senate. A Democrat who previously served in the Florida cabinet, state legislature and U.S. Congress, Nelson spent six days on a NASA shuttle orbiting the Earth in 1986. Nelson, who graduated from Yale in 1965, spoke with ***The Politic*** on February 11, 2004.

The Politic: How did your undergraduate days at Yale prepare you for a life of public service?

Senator Nelson: Yale prepared me enormously. I was a little kid from scenic Melbourne, Florida, for whom going to Yale was a big, big deal. I wanted to have a good education as well as to meet people from all over the country. I saw my first snow in New Haven, and being there was a great privilege. My interest in public service started very early, and this interest in politics and government was accelerated at Yale. That was also the time when President Kennedy was in office. He was someone who drew the interests of young people to government. My college days at Yale significantly influenced my desire to become a public servant.

Why do you believe continued space travel is so important for America?

Space travel is important primarily for two reasons, the first of which is the nature of Americans to explore. We have always been explorers. We were when we founded the country. Our frontier was westward, and now our frontier is upward and inward. So I think that part of us as a people, as explorers, needs to be fulfilled. The second reason is that in the development of a space program, you develop new technologies and you create a new educational base of math and science that then enables America to continue to be competitive in the global marketplace. The technologies we have developed through our space program can be incorporated into a better quality of life.

Do you think the American people are ready to support an ambitious space program, in light of our federal budget deficit and recent loss of the space shuttle Columbia?

They are if the president will make the case to them. If the president does not make the case, because of the deficit and space shuttle loss, and because of other distractions including the war and the sour economy and so forth, the initiative to Mars is going to fizzle. But if the president will make the case, then the American people will respond. Because of the two reasons I mentioned earlier, I know they will respond. The American people have to be led — just like President Kennedy did when he said we are going to the moon.

How can a Democratic presidential candidate win your state of Florida next fall?

The fact that people want a government that tells them the truth on intelligence is important, and Floridians also want an economy that is working. I think they are highly suspicious about this economy. I think that people are very nervous when they see half a trillion dollar budget deficit each year, and that will affect how they vote.

You were elected during the controversial 2000 election, and you have served in one of the most evenly-split Senates in recent history. How divided is the Senate now?

I came to Congress in 1979, and this is the most partisan atmosphere that I've ever seen. I think part of it is a result of an evenly-divided Senate. I think part of it is the acrid smell of partisanship that comes out of the House of Representatives, and I think it is all fostered by the most partisan White House since I've been elected to public office, over the last thirty years.

In January, you met with Syrian President Bashar al-Assad on a trip to the Middle East. How do you see the U.S.'s relationship with Syria evolving?

That relationship depends on him. The first thing he has got to do is stop harboring the international terrorist groups that are operating in the West Bank, in Israel, and in Lebanon. So it depends on him.

What has convinced you that Syria is ready for negotiations in the Middle East peace process?

Now I don't know any more than what the Syrian president told me. But what he told me was that he is willing to start negotiations — or he said discussions — with Israel, without any preconditions. He said that on two or three occasions during the course of our hour-long meeting.

The Senate Commerce Committee has begun investigating indecency on television. Do you believe that indecency on television is a problem, and if so, how do you plan to address this in the Senate?

I see this as more of a problem of corporate America losing its grounding. I see corporate America, through these communications mergers and consolidations, get so big that they then become powers unto themselves and they lose their sense of the bounds of decency of the American people and individual communities. What might have been appropriate for the Super Bowl halftime show in a Las Vegas nightclub or a rock concert was not appropriate for 75 percent of children between the ages of three and 15 who were watching it on television. The corporations lost their sense of perspective. I think what we have is corporate America run amuck. Corporate America has to be brought into some understanding that, while they have the privilege of broadcasting on the people's airwaves, they have a responsibility to the people to make content appropriate. So I think what we have is a failure of the regulator, the Federal Communications Commission (FCC), and they are sitting on their hands.

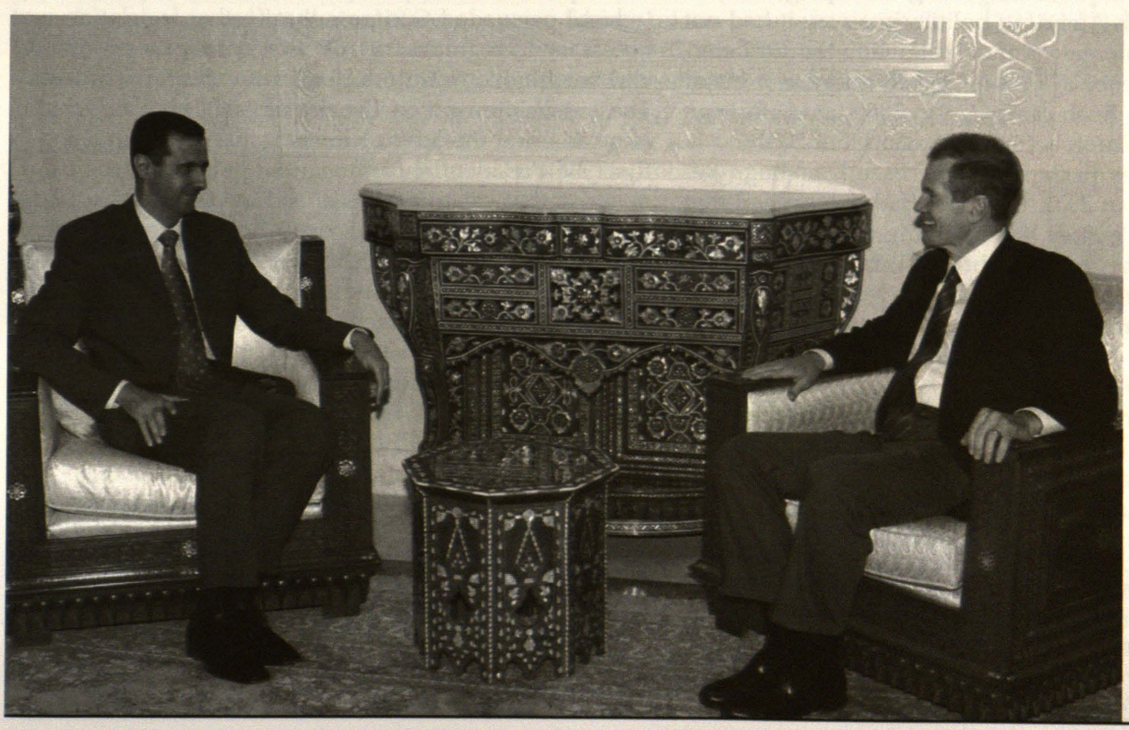
What does the Senate plan to do about this issue in the future?

We have had hearings, and we are going to see some legislation come out that will enhance the powers of the FCC. And then we ought to appoint somebody to the FCC who will do what they ought to — that is, hold corporate America in check.

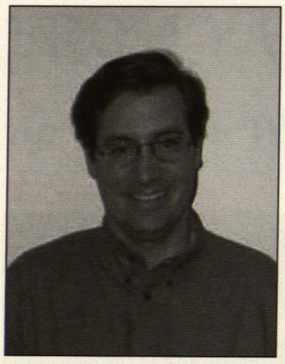
Do you have anything else you would like to share with the Yale community?

Yale is one of the finest educational institutions in the world, and I have the privilege of being a product of it. Yale should continue to do exactly what it has always tried to do — search for the truth, teach its students to think critically, and in the process prepare, as it has so well in the past, good citizens. Also, I think I may be the only Yale College graduate who has gone into space, so I can tell what color earth is from up there — it's Yale blue and white.

"Also, I think I may be the only Yale College graduate who has gone into space, so I can tell what color earth is from up there — it's Yale blue and white."



Senator Nelson meets with Syrian President Bashar al-Assad.



HOW MONEY TALKS NOW

The Implications of the Bipartisan Campaign Reform Act for the 2004 Election and Beyond

by Christopher Mann

The Supreme Court's decision in ***McConnell v. Federal Election Commission*** on December 10, 2003 rewrote the rules for this year's federal elections. By upholding the Bipartisan Campaign Reform Act of 2002 (also known as McCain-Feingold), the five-justice majority of the Court endorsed Congress's latest attempt to stop the "corruption" of federal political campaigns. But money finds its way to the heart of politics in new and creative ways no matter what the rules are — and it usually ends up in new guises as a central story in every election. In 1992, Ross Perot's independent candidacy for president was funded by his own personal fortune, demonstrating that the availability of campaign resources can have dramatic effects on the shape of the campaign and, possibly, its outcome. In 1996, the Lincoln bedroom scandal was a symbol of the excessive fundraising tactics that shocked and dismayed the public. Sen. John McCain's (R-Ariz.) bid for the Republican nomination in the 2000 election brought campaign finance front and center in American politics in a way it had not been since the Watergate scandal following the 1972 election. The prominence of Enron CEO Ken Lay as a major contributor to the Bush campaign in 2000 tied campaign finance with the Enron accounting scandal of 2001.

By the time they passed the Bipartisan Campaign Reform Act (BCRA) in 2002, Congress had determined that large amounts of money were flowing into the electoral process in ways they had sought to eliminate in the 1970s. BCRA is the largest change in the ways federal candidates can fund their campaigns since the Supreme Court's decision in *Buckley v. Valeo* (1976) upheld contribution limits but struck down expenditure limits from the 1974 amendments to the Federal Election Campaign Act. The Supreme Court's decision in McConnell to uphold BCRA appears to sanction a wider array of regulation of campaign finance than the Court had previously allowed. The importance of this case is signaled by the remarkable 298-page length of the Court's opinions; the majority opinion alone runs 148 pages, and several of the dissenting opinions are as long as the whole set of opinions in many other cases.

The difference between the five-justice majority and the four dissenters in McConnell is striking, yet simple. The McConnell majority grounded its decision in Congress's interest in preventing corruption or the appearance of corruption in democratic government. The dissenters rejected many of BCRA's provisions as unconstitutional limitations of free speech and freedom of association.

The majority opinion focused on "[t]hree important developments in the years after our decision in *Buckley* [which] persuaded Congress that further legislation was necessary to regulate the role that corporations, unions, and wealthy contributors play in the electoral process". These developments — the rise of "soft" money, "sham" issue ads, and the Senate's investigation of fundraising in the 1996 Presidential campaign — persuaded the Court majority that existing laws aimed at preventing corruption or the appearance of corruption had been circumvented. They viewed BCRA's ban on parties raising soft money, restrictions on issues ads, and a number of related provisions as appropriate to realize Congress's interest in preventing corruption and thwart future circumventions.

Soft money refers to funds raised outside the "hard" contribution limits to federal candidates imposed by the 1974 amendments to the Federal Election Campaign Act (FECA) and upheld by the Supreme Court in *Buckley*. Soft money, issue ads paid for with soft money, and related activities were allowed by the Federal Election Commission on the grounds that they were party activities or political speech unrelated to federal candidates and therefore not avenues to corrupt candidates. The Court majority found that, in practice, the soft money activities of parties and other groups were indistinguishable in ex-

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ecution and intent from regulated hard money activities. Therefore, they upheld BCRA's new regulations of campaign financing on the same grounds that *Buckley* had allowed the earlier hard money regulations: Congress's interest in preventing corruption and the appearance of corruption. The majority opinion acknowledged that many of BCRA's provisions raised concerns about freedom of speech and association, but found that the burdens on constitutional rights were insufficient to override Congress's interest in protecting the democratic process.

The dissenters, on the other hand, focused on constitutional principles with little worry about current campaign practices. Although the four justices in the minority differ on the particulars of their arguments and their points of concern, they share the basic objections that many provisions of BCRA violate constitutionally protected rights of free speech and/or freedom of association. For the dissenters, the restriction of these rights, especially when concerned with political activities, presents a serious danger to the foundations of democracy. The dissenters were far more concerned with the danger to democratic principles posed by BCRA's limits on soft money and related activities than with the hazards to democratic processes from current campaign practices.

The differences in perspective between the majority and the minority can perhaps be summarized by their differing Constitutional preferences. The minority was focused on the preservation of specific rights guaranteed by the Constitution in the belief that violation of these rights would undermine the Constitutional system as a whole. The majority was concerned that soft money and the associated activities for financing campaigns was undermining the credibility of the democratic processes at the heart of the Constitution and therefore was willing to trade some infringement of specific rights for the preservation of the whole.

The Republican Fundraising Advantage

In Congress, only a handful of Republicans joined Democrats in voting for BCRA. In the courts, Republican Sen. Mitch McConnell of Kentucky and the Republican National Committee (RNC) were the lead challengers to BCRA. Yet BCRA gives Republicans a large fundraising advantage. In recent elections, Republican efforts to raise hard money have resulted in twice the hard funds of Democrats. For example, in 2002 Republicans more than doubled Democrats' hard money fundraising, $441 million to $217 million, and the Republican advantage has only increased in this election cycle. Democrats were able to close this gap to around a 3 to 2 ratio with their strong soft money performance before BCRA ($691.6 million to $463.3 million in hard and soft money in 2002). Now that BCRA has banned soft money, the Democrats face a daunting task to level the playing field of hard money.

Just a month after the Supreme Court decided against the RNC in McConnell, Republicans seized an opportunity to secure the fundraising advantage which BCRA has given them. Some Democrats saw a potential loophole in the restrictions on soft money in BCRA in what are called "527" organizations (named after the section of the U.S. tax code under which they are created). The provisions of BCRA are not as explicit about regulating "527" organizations as about other types of organizations. Democrats have set up several "527" organizations with the explicit goal of raising the soft money banned from the parties by BCRA and spending more than $100 million to get out the Democratic message. Although Republicans have also created "527" organizations, the Republican National Committee (RNC) has joined campaign finance reform groups in asking the Federal Election Commission (FEC) to close this potential loophole. In joining campaign finance reform groups' efforts to close loopholes allowing soft money into elections, the RNC is probably motivated more by short term electoral advantage than by a conversion in the party's principles.

If the FEC closes this potential loophole, which they could do by May, the Democrats are going to be hard-pressed to reduce the gap in campaign resources with the Republicans before November. However, with more time to build the infrastructure for hard money fundraising, the Democrats should be able to significantly narrow this gap over the next few years.

Implications for Election Results

Political science literature is littered with arguments that the best-funded candidate is not always victorious. Complex statistical models are not needed, however,

"The Democrats will have to make tough choices on how to use their more limited resources, inevitably conceding some significant portion of the campaign conversation because they don't have the funds to contest it."

"The Court majority found that, in practice, the soft money activities of parties and other groups were indistinguishable in execution and intent from regulated hard money activities."

to know that winning is far more difficult when being outspent 2 to 1 than it is on the more level playing field of past elections.

Before taking the campaign funding situation into account, 2004 looks a lot more promising for the Republicans than the Democrats. The electorate is as polarized and closely divided between the two parties as any time in memory, but the Republicans have the advantages of incumbency in all three elected branches of the federal government. Democrats' chances to take back the White House, the Senate or the House depend primarily on two factors: 1) the economy stagnating or worsening; and 2) problems in foreign policy/national security regarding Iraq and terrorism. Without bad news to pin on Republicans in one or both of these areas, Democrats are unlikely to make much headway with the swing voters who will decide the elections.

When the expected imbalance of campaign resources is added to the mix, things get even worse for the Democrats. News is always somewhat ambiguous, but the Democrats will be at a distinct disadvantage in defining the terms of the debate. In the earned media (i.e. press coverage) the Republicans control the bully pulpits of the White House and the Congressional leadership. In the paid media (i.e. TV, radio, and direct mail advertising), Republicans will be able to dominate the airwaves early, late and in between. Republicans will be able to define the issues for the campaign early, promote Republican successes, and attack Democratic candidates. The Democrats will have to make tough choices on how to use their more limited resources, inevitably conceding some significant portion of the campaign conversation because they don't have the funds to contest it.

Since most congressional Democrats voted for BCRA, they are in a hole that they themselves have created. Unless the economy or the international arena take a turn for the worse, some of these Democrats may find that they have dug their own grave in this election.

A Chastened FEC?

The Supreme Court did a valuable service to coherency and comprehensibility of law when they upheld almost all of BCRA. The checkerboard decision of the lower court which initially heard the challenges to BCRA would have resulted in a law that would be nearly impossible to interpret or enforce. Perhaps the Supreme Court learned from the after-effects of *Buckley* when their splitting of the baby resulted in an enforcement regime that undermined even what they upheld. The *McConnell* majority was quite explicit that they were deferring to the expertise of Congress in crafting a comprehensive regulatory scheme. Their decision to uphold the law virtually in its entirety puts the detailed implementation of BCRA and the enforcement of its provisions in the hands of the Federal Election Commission (FEC) with an unambiguous message that Congress's intentions are constitutionally valid and consistent.

This message is important because one of the striking features of the Supreme Court's decision in *McConnell* is the way in which the majority opinion chastises the FEC for failing to properly interpret and enforce past campaign finance law. Supporters of campaign finance reform have long complained that the structure of the FEC, which has three Democrats and three Republicans, leads to undermining of campaign finance regulation. Reformers claim that this explicitly partisan, evenly divided structure leads to decisions that favor the parties when their interests coincide and paralysis on issues where partisan divisions exist. The result is that implementation and enforcement (or lack thereof) allowed circumventions of the original intentions of the campaign finance law such as the flood of unregulated soft money and sham issue ads. The *McConnell* majority of the Court made it clear that they agree that the implementation and enforcement decisions of the FEC undermined the intent of the law.

The FEC now faces a wholly revised campaign finance law that they must enforce and implement in detailed regulations. Over the course of 2004 and beyond, it will be interesting to watch whether the current Federal Election Commissioners are chastened by the Supreme Court's criticism or whether the partisan, divided structure of the FEC will lead to the same types of decisions that undermine the intentions of campaign finance reformers.

The Role of National Party Committees

This time next year, the conduct of the election and governing after the

election will reveal whether the national party committees were merely fundraising fronts, as reformers and the *McConnell* majority appear to believe, or if they served some other campaign or governing functions. Both supporters and opponents agree that these national party committees were principal targets of BCRA. If the diminishment of these committees because of the ban on their ability to use soft money results in little change in other aspects of campaigning and governing, BCRA supporters will be vindicated that they could be cut out of the body politic like a tumor to prevent the spread of cancer. If there are shifts in the capacity to conduct vigorous campaigns or effective governing, opponents of BCRA will be vindicated in their claims that these organizations and the soft money they relied on were a vital organ in the body politic.

Ken Lay, former chairman and chief executive of Enron, testifies before the U.S. Senate. Lay contributed to the Bush-Cheney campaign in 2000, and his connections to the administration have been cited as a justification for campaign finance reform.

Reformers' Next Moves

Even before the celebrations over the *McConnell* decision ended, campaign finance reformers were discussing their next moves. *McConnell* opens up possibilities that the Court will allow far greater regulation than anyone expected since before *Buckley*, so reformers may advance on many fronts.

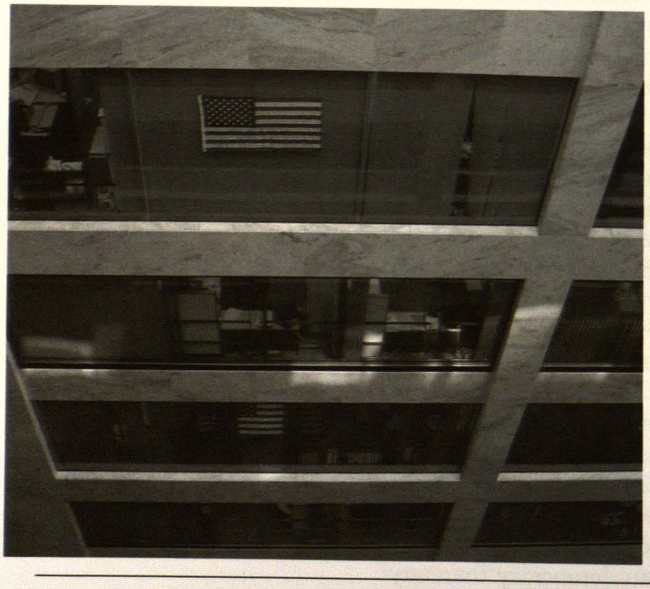
One major concern is the system of public funding of presidential candidates. The 2000 election saw George W. Bush become the first major party presidential candidate to decline to participate in the public funding system since those funds became available in the early 1970s. Although still subject to limits on contributions by individuals, Bush raised and spent a record amount in his narrow Electoral College victory. For the upcoming presidential election, Bush is already on track to shatter his 2000 record for the most money ever raised and spent in a United States election. Senator John Kerry (D-Mass.) has followed Bush in declining to participate in the public funding program for presidential candidates so that he is not bound by the expenditure limits of that program.

Another prominent concern is that the Supreme Court's tongue-lashing will not be enough to reform the FEC. Thus, reformers may seek to change the partisan, equally divided structure into something less likely to undermine the intentions of campaign finance regulation in its implementation and enforcement.

But reformers may face new problems. First, many of their lukewarm supporters may have voted for the popular campaign finance proposals to gain political credit, while expecting the Supreme Court to strike down these changes. Without the Court to protect them from their own actions, many past supporters of campaign finance reform may be more reluctant to change the system under which they know they can succeed. This new challenge may stymie the best efforts of reformers to take advantage of the apparent new space in *McConnell*. Second, reformers may return to the days when many members of Congress want to change the campaign finance rules but cannot agree on the form that those changes should take.

The long battle by reformers to pass the Campaign Reform Act of 2002 and the Supreme Court's decision to uphold it in *McConnell* is a major change in the rules of the political game for federal candidates and parties. The Supreme Court has put the protection of the democratic process at the core of the Constitution ahead of dissenters' concerns about specific constitutional rights. While we may begin to see some of the effects of BCRA in the 2004 election, the long-term implications of the Supreme Court's expanded view of the possibilities of campaign finance regulation is more significant to the health of American democracy than any of the short-term effects.

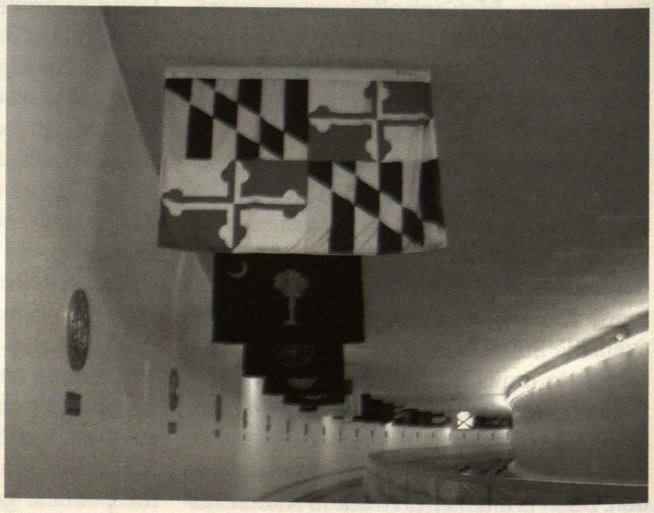
"The dissenters rejected many of BCRA's provisions as unconstitutional limitations of free speech and freedom of association."



ON CAPITOL HILL

A Photo Essay by Daniel Bernstein

While interning in the office of U.S. Senator Barbara Mikulski of Maryland last summer, I tried to capture images of daily life on Capitol Hill. Government textbooks and postcards show scenic views of the Capitol but do not offer a glimpse inside. Thousands of staffers support the work of Congress everyday, travelling between the Capitol and the Senate and House office buildings. I hope that these pictures, which were made possible through a Richter Summer Fellowship, reveal some of the Congressional activity and architectural splendor not caught on C-SPAN.



Above: Underneath Capitol Hill is a subway that connects the Capitol with the Senate and House office buildings. While open to the general public, the tram also carries members of Congress between their offices and the House and Senate. Flags from each state line the ceiling of the tunnel.

Top Left: Daniel Bernstein in front of the U.S. Capitol Building

Above Left: The U.S. Capitol from the National Mall.

Left: An inside view from the seventh floor of the Hart Senate Office Building, looking down into the lobby.

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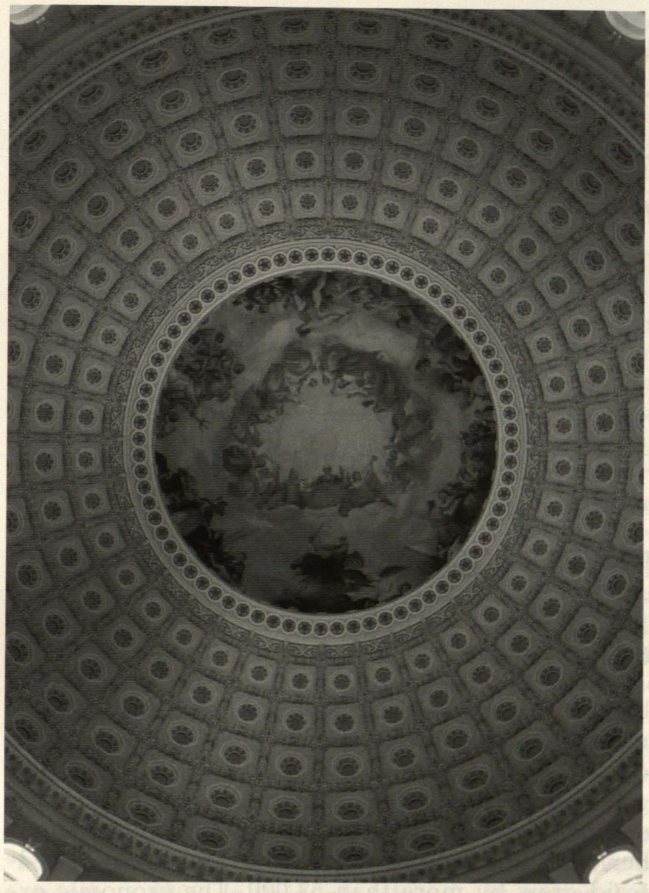

Top: The rotunda is a large, domed gallery at the center of the Capitol. Its canopy depicts George Washington's glorious ascendance into the clouds.

Above: The upper walls of the rotunda depict a band of important events from American history.

Top Right: The steps outside the House chamber are reserved for members of Congress only. Armed guards patrol these stairs so that members can quickly and safely commute.

Above Right: An up-close view of the new visitor's center being constructed underneath the Capitol.

Above: Visitors and Congressional staffers riding the train from the Capitol to the Russell Senate Office building.

FISCAL CRISIS AND POVERTY

Connecticut as a Case Study for Socially Responsible Budgeting

by Kimberly Hayden

While some politicians applaud a resurgent American economy, Yale students see a tragically different reality in New Haven's rising levels of homelessness. In order to reconcile the discrepancy between this federal-level optimism and local-level despair, a deeper investigation of Connecticut's state funding and budgeting crisis is

needed. Indeed, Connecticut's increasingly scant funding to social service institutions serves as an example to all states that a truly ethical budget must stimulate the economy while taking into account the citizens who will be affected.

Like many states in this country, Connecticut faces a large budget deficit. In August 2003, Governor John Rowland and his administration passed through the state legislature a series of budget implementer bills. Implementer bills describe how money is to be spent and how cuts are to be made. These bills represented the governor's attempt to close a $1 billion deficit. However, this form of budgeting creates an economic solution that exacerbates a human problem. The new state budget drastically slashes funding to many of the social service programs that provide much needed assistance to low-income individuals and families.

The state of Connecticut makes an excellent case study for a budgeting dilemma because it represents an extreme example of economic disparities among citizens. Connecticut is one of the richest states in the country. In 2001, Connecticut ranked first in the United States in per capita income—$40,640 per year, per person. At the same time, *The Connecticut Economy*, based upon five different measures of social service spending, ranked Connecticut the second thriftiest state in the country. Although Connecticut's spending policy kept the budget balanced for most of the past decade, politics and poor management during the 1990s economic boom led to the deficit that the Rowland administration now fights to resolve.

National economic growth during the 1990s created a short-lived surplus for Connecticut's state budget. Inflation-adjusted annual growth of the Connecticut budget between 1995 and 2003 was 2 percent. During the same time period, the population grew as the number of students enrolled in public schools increased by 100,000 children and the number of residents receiving health care through Medicaid grew by more than 53,000. The economic expansion of the 1990s, a record low unemployment rate and a rallying stock market led to a massive growth in state revenue. Between fiscal years 1995 and 2001, Connecticut's budget surplus totaled $3.15 billion. In response to the new surplus, Connecticut began to cut taxes. In the early 1990s, Connecticut cut $1.3 billion in business taxes alone. Such permanent tax cuts, however, were financed by the transitory revenues of business that are largely dependent on the economic business cycle. When the surplus financed by the 1990s boom was exhausted, the loss of tax revenues forced Connecticut into a deficit.

Even before the 2001 recession, Connecticut's budget was doomed to head into the red. A September 1997 projection from the General Assembly's Office of Fiscal Analysis predicted a General Fund deficit by the 2000 fiscal year. Thus, the stock market decline and the recession only exacerbated Connecticut's deficiency of tax revenues. Both tax and investment revenues fell below the budget plan in 2002. With General Fund revenues $1 billion below the budget allotment, Connecticut experienced one of the greatest revenue declines in the United States, according to Rockefeller Institute data.

Few dispute the cause or existence of the budget's structural deficit. Arguments arise, however, over which solution to this deficit would have been best for the state economy and whether there had existed a solution that would not have harmed Connecticut's poorest citizens.

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In order to balance the budget, the Connecticut legislature cut spending on social service institutions instead of trying to increase tax revenues. The most socially damaging cuts were to healthcare, cash assistance, housing and homelessness services, and child care.

Health care, as of October 2003, suffered a cut of over $2.5 million in funds to local centers throughout Connecticut. Health Insurance for Uninsured Kids and Youth (HUSKY) is a Medicare-based statewide insurance program that provides health coverage to thousands of uninsured youth. Due to the budget cuts, enrollment in this program has been suspended. According to Connecticut Voices for Children data, cuts to HUSKY put approximately 7,000 children and 27,000 low-wage parents at risk of losing health coverage completely. The cuts also impose premiums to health services that were once free.

State Administered General Assistance (SAGA) is another medical program that gives cash assistance to low-income families. Cuts to SAGA reduced the monthly benefit of citizens deemed "unemployable" (i.e. disabled) from $350 a month to $200. Individuals labeled "transitional" went from receiving $150 a month to $50. Over 5,000 people in the state who are unable to work will lose SAGA benefits, putting more people at risk of homelessness and creating an increasing strain on homeless shelters.

In regards to these homeless shelters, the implementer bills cut $5 million from the Connecticut House and Finance Authority, $200,000 from Housing and Homelessness Services, and $1.9 million from temporary rental assistance. Now, due to the severe funding loss, homeless shelters have begun to charge individuals fees, ranging from $4 to $20, to stay the night in a facility. For this reason, the number of homeless citizens on the street is increasing.

In light of a large state deficit, why is Connecticut so eager to turn to budget cuts despite the negative social effects? Connecticut, like many states, is forced to balance its budget by an amendment to the state constitution. While such provisions comfort the general public with the safety of knowing that the government is prohibited from excessive spending and running huge deficits, some believe that balanced budget rules actually hinder effective economic strategy during a recession. In a report by the Center on Budget and Policy Priorities, Peter Orszag and Nobel laureate Joseph Stiglitz note that budget rules force "counter-productive fiscal policies: When the state enters a recession, revenue naturally falls and expenditures rise. The balanced budget rules then force the state to reduce spending, raise taxes, or some combination thereof, which is counter-productive since it exacerbates the economic slowdown." Thus, when the economy slows, state politicians immediately fall into a tax-or-cut debate in which finding alternatives to the aforementioned policies rarely get attention.

A recent experiment with raising revenues was President Clinton's "tax hike" of 1993. Using a computer simulation of the economy, researchers at the National Center for Policy Analysis concluded that the economic recovery of the late 1990s was slowed by Clinton's tax plan. According to the results of the study, economic output would have been boosted by $208 billion, 1.2 million more jobs would have been created, and growth in personal disposable income would have grown by $264 million had the tax hike been avoided. Clinton's plan brought in only 49 percent of the revenues that had been predicted by the Congressional Budget Office.

Spending cuts have been a subject of great controversy in the academic

"In 2001, Connecticut ranked first in the United States in per capita income — $40,640 per year, per person."

Connecticut Gov. John Rowland, center, speaks with former Calif. Gov. Gray Davis, left, and Florida Gov. Jeb Bush, right.

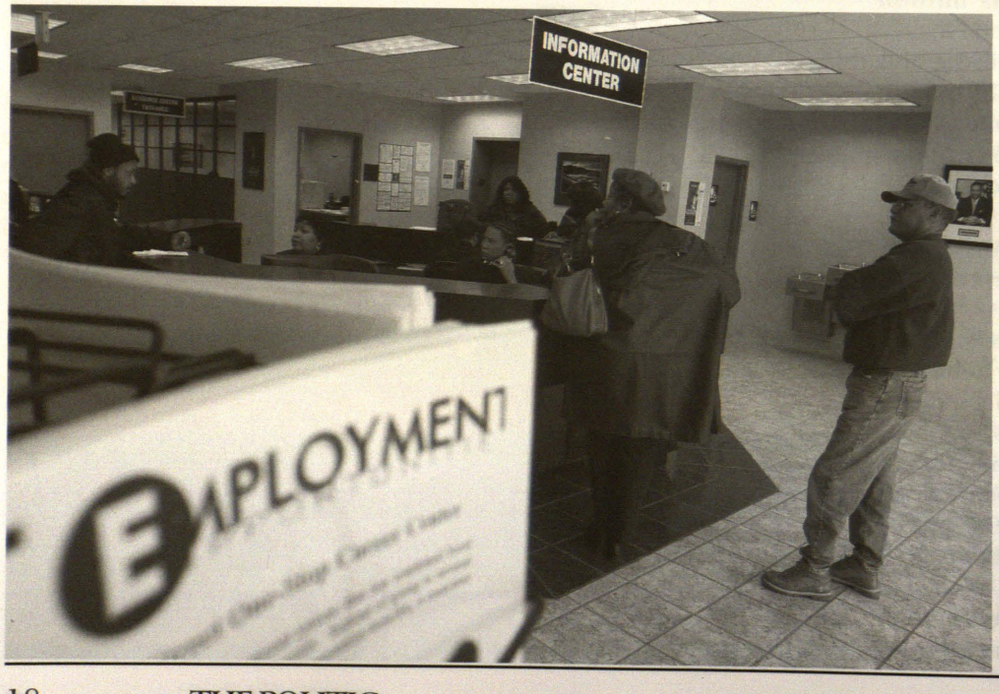
"Higher taxes on the wealthy would not hinder the overall level of consumption in the economy."

world as well. In a 1993 article in *The American Economic Review*, Princeton economist Giuseppe Bertola and University of Maryland economist Allan Drazen performed a comparative study of Denmark and Ireland. They illustrate that "in many countries, large cuts in government spending carried out as part of stabilization programs have led to expansions rather than contractions of economic activity." Supporting this argument, Bertola and Drazen introduce a new game-theory model concerning private expectations of future public fiscal policies. If a cut in government spending leads private sector entities to believe that less spending will lead to tax cuts, then private consumption will increase. At the same time, these economists admit that one could take their theory a step further to actually support an expansion of government spending. If the government increases spending to rates that private actors see as unsustainable, the private sector will assume that spending will eventually be cut. Thus, they increase their spending based upon an anticipated tax cut in the future. Incentive-based arguments tend to be difficult to substantiate empirically, however, because even noticeable trends are difficult to attribute directly to incentives as the underlying variable.

Beyond this theoretical view of economic incentives, an examination of the budgeting policies of other states illustrates empirically the adverse economic effects of spending contraction on a state economy. An article in the November 2002 issue of the *Executive Intelligence Review* describes how the Commonwealth of Virginia closed its $3.8 billion deficit in fiscal year 2002 with "a partial solution to the revenue shortfall." Governor Mark Warner's $858 million in cuts took the form of borrowing money from the Medicaid Intergovernmental Transfer fund, cutting agency budgets by 3 percent, and cutting state programs by $545 million. As a result, Virginia experienced layoffs of about 6,400 employees in addition to the closing of 12 revenue-generating Department of Motor Vehicles offices. Several colleges and universities were forced to cut jobs and hike tuition fees.

In weighing the relative costs and benefits, budget cuts are far from the most economically efficient means of stimulating the economy. According to Stiglitz and Orszag, "[e]conomic analysis suggests that tax increases would not in general be more harmful to the economy than spending reductions. Indeed, in the short run (which is the period of concern during a downturn), the adverse impact of a tax increase on the economy may, if anything, be smaller than the adverse impact of a spending reduction, because some of the tax increase would result in reduced saving rather than reduced consumption." In response to arguments that tax increases hinder the economy by reducing income and spending, Stiglitz points out that an increase in taxes only decreases consumer spending by a portion of each dollar. If someone's taxes go up by one dollar, they are more likely to reduce their savings rather than their consumption. However, if the government decreases spending on goods or services by one dollar, the economy suffers the loss of that entire dollar.

Furthermore, progressive taxation imposes the least amount of harm on the economy overall due to the differences in the propor-



Connecticut's budget slashing has been blamed for increasing unemployment levels.

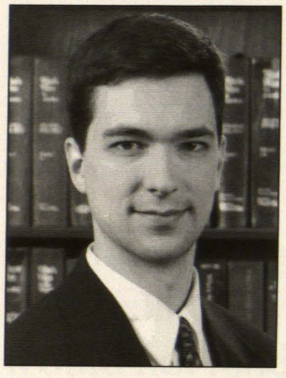
tions of income spent by lower and higher income households. According to Stiglitz, the more tax increases focus on families with lower propensities to consume (i.e., the tendency to save more of their money than they spend), the less harm is done to a weakened economy. Since people with higher incomes tend to spend a much smaller fraction of their income, higher taxes on the wealthy would not hinder the overall level of consumption in the economy. On the other hand, cuts in government spending that reduce transfer payments to lower-income families would actually do greater harm on the economy because poorer families are more likely to spend any additional income they receive. In fact, since transfer payment recipients usually spend nearly all of their income, the adverse impact of reduced transfer payments is likely to equal that from a reduction in direct government spending on goods and services. Stiglitz concludes that "tax increases on higher-income families are the least damaging mechanism for closing state fiscal deficits in the short run."

While such arguments are economically sound, higher taxation of the wealthy has historically been a political impossibility. Yale political science and economics professor John E. Roemer argues that raising taxes on the wealthy is politically difficult to do because this segment of the population exercises a great deal of influence over the media. The media, in turn, convince the lower classes that higher taxes reduce incentives. Explaining the vicious cycle of the cut-or-tax debate, Roemer suggests, "in order to stimulate the economy, you lower taxes so people spend more. But tax cuts run deficits." To escape this cycle, Roemer recommends that states move beyond the politicized debates of taxation and budgeting to the more rational methods one would exercise in a family. Just as a family adjusts its spending and saving in response to the changes in the flow of income into a household, states should act responsibly in booms and recessions. Simply put, Roemer suggests that states "run surpluses during a boom so you can spend it during the recession."

In an economic report from the Connecticut Office of the Comptroller, Comptroller Nancy Wyman stated that "[w]ith no available rainy day fund reserves by 1991 and a deepening recession, the state was forced to borrow close to $1 billion in order to close a budget hole." To prevent such crises in the future, Wyman proposed a bill to the General Assembly in 2001 that would increase the rainy day fund balance from 5 percent to up to 6.5 percent of net General Fund appropriations. The comptroller's goal was to safegurd long-term fiscal stability as well as ensure that the "state does not use surplus money to make expenditure and revenue commitments that cannot be sustained over time." While alternative measures such as the strengthening of pubilc saving fail to receive high recognition in the political arena, states should consider using budget surpluses responsibly in order to prepare for the recessions and downturns inherent in an unpredictable business cycle. With Connecticut's rainy day fund now drained and the resulting deficits leading to spending cuts, legislators must look more seriously into safety measures such as these when planning for the future.

Unfortunately, in the current American political system, the need to combat fiscal crises immediately turns into the tax-or-cut debate. Conservatives argue that higher taxes reduce spending and slow down the economy. At the same time, liberals maintain that increasing tax revenues and expanding government spending provides the only true stimulus for the economy. While strong and highly politicized arguments come from both sides, legislators must keep in mind that alternatives are available. By employing more responsible handling of surpluses during economic boom times instead of implementing unsustainable tax cuts to garner more political support, state governments can prepare themselves for economic downturns. Instead of risking the economy and the welfare of their poorer citizens, states can use past surpluses to offset deficits so that taxation and spending cuts will not have to be so drastic. The situation in Connecticut helps illustrate that we must escape a culture of taking taxation off the table and making budget cutting an instinct rather than one of several options. If we are to enjoy a government that is truly responsive to all of the citizens it is obligated to protect, we must not allow politics to hinder our socially responsible economic decision making.

"States can use past surpluses to offset deficits so that taxation and spending cuts will not have to be so drastic."



EXAMINING THE BUDGET DEBATE

How Federal Spending Has Exploded Under a Republican Regime

by Brian Riedl

Thousands of conservatives from across the country recently gathered in Washington, D.C. for the annual Conservative Political Action Conference. They had much to celebrate — tax relief, a strong war on terrorism — yet their conversations were dominated by frustration over the free-spending budgets enacted by Republicans. What had been whispered disappointment has evolved into vocal anger following the November enactment of a Medicare drug benefit, the most expensive government expansion since the Great Society.

The federal government spent $20,300 per household in 2003, up from an inflation-adjusted $17,800 throughout the 1990s. This $2,500 per household spending increase represents the largest four-year expansion of government since the early 1950s. Only during the height of World War II have our elected officials ever spent more per household than they did in 2003.

Taxes have not risen yet because lawmakers have funded the entire spending increase with borrowed money. The budget has swung from a $236 billion surplus in 2001 to a projected $477 billion deficit in 2004. These deficits represent future taxes that must be paid (with interest). Since the federal government collected only $16,780 per household in taxes to fund $20,300 per household in spending, the next generation has been saddled with $3,520 per household of new debt in 2003.

A Historic Spending Spree

The most popular explanation for the recent spending spree is the money allocated for additional security following 9/11. This explanation is incomplete. In the two years following the terrorist attacks on the World Trade Center, federal spending jumped by $296 billion. Of that, $100 billion (34 percent) went for defense and $32 billion (11 percent) went for other 9/11-related costs such as homeland security, international assistance, rebuilding New York and compensating terrorism victims. This leaves $164 billion, 55 percent of the total increase, in new spending unrelated to defense and the terrorist attacks.

Moreover, we know from experience that it is possible to cut spending even in times of war. Budgets are about setting priorities, and sometimes non-defense programs must take a backseat to the nation's security needs. During World War II, President Franklin Roosevelt reduced non-war-related spending by an average of 11 percent each year. Similarly, President Harry Truman signed budgets during the Korean War that reduced non-defense spending by 6 percent annually. This trend was reversed during the Vietnam War, as President Lyndon Johnson signed budgets expanding the non-defense budget by 14 percent per year. Tax increases and economic stagnation followed.

While not quite reaching the levels under President Johnson, federal spending during the war on terrorism has more closely reflected the Vietnam-era spending binges than the spending restraint of World War II and the Korean War. Spending not related to defense and 9/11 has increased by an average of 5 percent per year since 2001. The two-year, 11 percent increase in non-security spending represents the fastest growth in a decade. At a time when defense and homeland security priorities require especially tight non-security budgets, lawmakers have not made the necessary trade-offs.

Additionally, large increases have been granted for air transportation (52 percent), community and regional development (43 percent), health research (32 percent), veterans' assistance (27 percent), Medicaid (24 percent) and income programs for the poor (21 percent). This spending occurred at a time when interest payments on the national debt dropped $55 billon due to low interest rates. As interest rates climb back to historical levels, these costs will soon rise as well.

Even on the lowest-priority programs, evidence of restraint remains absent. From 1998 through 2003, massive inflation-adjusted funding increases were granted to low-priority programs such as dairy subsidies (673 percent), soybean subsidies (501 percent), Commerce Department

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management (226 percent) and the Research and Special Programs Administration (168 percent).

In that same period, the number of pork projects quintupled to 10,000. Included among the current $23 billion pork budget are grants for the Please Touch Museum in Philadelphia ($725,000) and the Rock & Roll Hall of Fame in Cleveland ($200,000). Each dollar for these projects represents one fewer dollar for homeland security, education, health research, tax relief or deficit reduction.

Lawmakers often focus on discretionary spending, which they have the most direct control over. The recent enactment of the omnibus appropriations bill sets the stage for a 9 percent hike in discretionary outlays in 2004, following 13 percent and 12 percent increases the past two years. Although defense represents half of all discretionary spending, the non-defense programs are spending 3.9 percent of the Gross Domestic Product (GDP) for the first time since 1985.

Entitlements, rather than discretionary programs, represent the gravest fiscal danger. Entitlement spending topped 11 percent of GDP ($11,144 per household) for the first time ever in 2003, and yet even this high level is considered the calm before the budgetary storm. The baby boomers will begin retiring at the end of this decade, and an unprecedented Social Security and Medicare liability will be handed over to younger generations. The ratio of workers to retirees will complete its drop from 16:1 in the 1930s to 2:1 in 2030. In other words, a two-income couple will be supporting themselves, their children, and the full retirement and health care expenses of their own retiree.

Last December, the Congressional Budget Office calculated the costs of this coming entitlement explosion. It projected that federal spending will increase by 5 percent of GDP by 2030 (the current equivalent of $5,200 per household annually), and 13 percent of GDP by 2050 (the current equivalent of $13,500 per household annually). This will require either massive tax increases, the elimination of most other government programs (such as defense, education, and welfare programs), or a combination of the two. Yet today's lawmakers avoid this difficult trade-off by putting these costs on their children's credit card. *Los Angeles Times* columnist Ron Brownstein states bluntly that "[t]o call this behavior a breakdown of fiscal responsibility misses its true nature. This is a stunning abandonment of generational responsibility."

Copies of the Bush administration's 2004 budget proposal are unpacked.

Why Discipline Collapsed

The sudden collapse of fiscal discipline is rooted in three recent developments. First, Republicans, still haunted by the 1995-1996 government shut-down, came to consider spending cuts the new "third rail" of politics. The ambitious 104th Congress had sought such cuts to balance the budget, but oddly began by targeting the most popular programs, including many where the savings would be miniscule. Congress's popularity plummeted when President Clinton capitalized on its tactical errors by forcing a government shutdown. Rather than regrouping and changing tactics, shell-shocked GOP legislators dropped spending restraint altogether. "Remember the 104th" has been considered checkmate against anyone foolish enough to suggest spending cuts.

Second, the balanced budgets of the late 1990s removed the most popular argument for spending restraint. Before then, lawmakers could use the deficit as a reason to keep spending for popular programs in check. But when a tax-revenue boom first balanced the budget in 1998, the floodgates opened. Gloomy deficit reduction was replaced with a sunny

"Rather than regrouping and changing tactics, shell-shocked GOP legislators dropped spending restraint altogether."

"balanced budget liberalism" that funded colossal education, health and social spending increases with soaring tax revenues from an economy that, it seemed, would boom forever. Economic reality has since returned tax revenues to their historical levels, but it's too late: Both parties now measure their compassion by how much they spend on these popular programs. No one wants the thankless job of setting limits and saying no.

Third, the nation's 50-50 partisan split has accelerated pandering and special-interest politics. Republicans and Democrats entered the last four campaigns believing that congressional control will be won or lost on the last few thousand votes. When both sides move so close to victory, bold political risks become too dangerous. Pandering holds the broad coalition together, while federal spending buys off any remaining special interest that can provide the final winning votes. In 2002, Senate leaders identified farmers as the swing voters who would decide control of the Senate. The ensuing bipartisan bidding war resulted in the most expensive farm bill in American history.

"Taxes haven't risen yet because lawmakers have funded the entire spending increase with borrowed money."

Few expected this spending spree to occur during a Republican administration, yet each of these three factors helps explain why President Bush approved so much new spending. The "compassionate conservative" philosophy espoused by candidate Bush in 2000 signaled a more centrist willingness to use government spending, and distanced him from what was portrayed (perhaps unfairly) as a "slash and burn" Republican Congress. The projected ten-year, $5 trillion budget surplus allowed candidate Bush to propose new spending without compromising his tax-cut proposals or angering deficit hawks. Finally, the close nature of the 2000 election likely reinforced this need to govern from the middle on spending, which explains why the President has not vetoed a single bill.

Although recession and terrorism drastically deteriorated the federal budget picture, President Bush fulfilled his campaign promises to prioritize education and Medicare spending. President Bush also signed Congress-led spending initiatives, such as the 2002 farm bill.

The 2004 Budget Debate

Lawmakers are finally focused on reducing runaway spending. President Bush is revealing a 2005 budget proposal that would expand non-security discretionary spending by less than 1 percent. The Republican majority in Congress, eager to get out in front of the parade, may cut spending even further. Lessons from the 104th Congress, however, reveal how difficult spending restraint can be. Lawmakers are quick to spare their own pet programs from the budget-cutting ax. The opposition party, meanwhile, typically focuses media attention on under-funded programs. Moreover, public choice theory shows that defenders of small programs will fight harder than the majority trying to eliminate the program. Adding to these difficulties, lawmakers' pain threshold is especially low in election years.

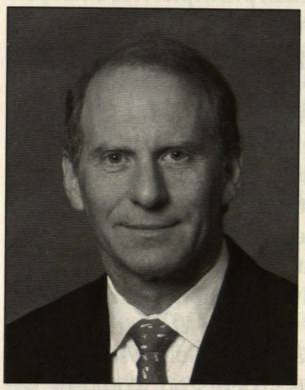
Some who focus solely on balanced budgets will propose tax increases. But tax increases fail to balance the budget because first, additional tax revenue historically leads to additional spending rather than deficit reduction (as evident from the tax-and-spend proposals of the current Democratic presidential candidates); and secondly, high tax rates reduce incentives to work, save and invest, and the corresponding decrease in economic growth reduces tax revenue well below expectations. The recent quarter of 8 percent economic growth shows the importance of retaining the recent tax cuts.

The budget should be balanced over time while keeping families' tax burden low and the economy recovering. That means terminating wasteful spending, such as the $80 billion corporate welfare budget, $23 billion pork project budget, and over $100 billion in waste, fraud, and abuse identified by the government's own auditors (including $17 billion spent in 2002 that federal auditors cannot even account for). The hundreds of programs identified as ineffective, duplicative, or unnecessary should also be eliminated. Finally, programs receiving the bulk of the 39 percent discretionary spending increase since 2001 can afford to tighten their belts. There is no justification for continuing to tax working Americans to fund wasteful programs that do not serve the public interest.

This year represents the first real federal budget debate in a decade. If lawmakers refuse to make the uncomfortable choices now, they will face potentially disastrous trade-offs in the future. P

THE ONCE AND FUTURE SUPERPOWER?

An Interview with Richard Haass



Ambassador Richard Haass, president of the Council on Foreign Relations, offers a resume rivaled by few in the diplomatic world. Prior to taking his current position at the Council last year, Dr. Haass served as director of policy planning for the State Department, acting as principal advisor to Secretary of State Colin Powell on a broad range of foreign policy concerns. Under the current administration, Haass also served as the United States coordinator for policy toward the future of Afghanistan and directed U.S. involvement in the Northern Ireland peace process. Formerly director of the Foreign Policy Studies program at the Brookings Institution, Dr. Haass has published several books on foreign policy and is a frequent contributor to foreign affairs journals and the op-ed pages of major newspapers. On January 29, *The Politic* spoke with Dr. Haass about his experiences in the world of diplomacy and his current outlook on foreign affairs.

***The Politic:** You returned recently from the World Economic Forum in Davos. What impression did you get from your trip about how leaders from the rest of the world view the U.S. and its foreign policy?*

Richard Haass: The first thing that I'd say is that you have a contrast with a year ago, when it was hard to exaggerate the intensity of the anti-Americanism. This year, it was mostly gone. Whatever you thought about the war, there is a sense that everyone has a common stake in having Iraq turn out right. There is perhaps a certain resignation and acceptance of the United States' role in the world. I also think the administration, at least in some areas, has smoothed some of the edges of its foreign policy by approaching the U.N. about Iraq, and by supporting a more diplomatic approach to North Korea and Iran.

My overall sense is that a lot of the heat and friction has gone out of the transatlantic relationship or, in general, out of relations with the U.S. However, I don't want to mislead you. There are still big differences about such issues as the United States' handling of the Israeli-Palestinian issue, where much of the world is quite critical of the administration's approach. And there is still a structural or core level of disquiet about the United States, simply because of U.S. power. Any time you have that great a concentration of power in the world, it is going to leave others feeling a little uneasy and somewhat helpless in shaping how that power is used.

From your experience in the State Department, how much weight do you see policymakers in the current administration giving to the views of other countries?

Honestly, there is a range. It's always hard to generalize about people in an administration. And this administration, in some ways, had more of a range than most. I would just say that you've got to take the views of others into account. There is very little the United States can do in the world by itself; there is almost nothing the United States can do better by itself than it can do with others. The real debate in the administration is how much the United States should be prepared to compromise in order to get others on board. It doesn't matter whether you're talking about Iraq or anything else — traditionally, if you want to get others to work with you, they are not going to be content to simply do your bidding. They also want to have some influence over the basic policy itself. That's where the debate takes place, over what degree of influence the United States should be prepared to accord others, in order to get them to, say, lend their resources to a policy. And there is a fairly large disagreement there.

How central do you think the war on terror ism is — and how central should it be — to American foreign policy in the post-Sept. 11 era?

On one level, it is central and should be. As we saw on 9/11, the potential of terrorism to cause harm and damage to Americans and the United States is obvious. So we have no choice but to make counter terrorism an important dimension of American foreign policy. Indeed, you could almost say the United States is fighting three wars right now: one in Iraq, one in Afghanistan, and one against terrorism. That's simply a reflection of reality.

But let me add two things. First, to say that terrorism needs to be central is not to say how you should shape the policy. And I would simply say that the United States needs to use all of its tools to wage the struggle: from diplomacy to intelligence to political and economic sanctions — not simply military force. Indeed, when you're thinking about the next couple of decades, educational reform in Saudi Arabia or Pakistan might be the single most important thing we do in terms of a long-term campaign against terrorism.

"...I think it is important as a democracy that we debate these big questions amongst ourselves."

Secondly, I'd say that we can't see the whole world through the lens or prism of counter-terrorism. There are lots of other things going on in the world, so there is no way that preventing terrorism can be the compass for American foreign policy. There are simply too many other things going on in the world for such an approach.

Last fall, you wrote an op-ed in The Washington Post calling the war in Iraq, at its core, a war of choice. What are the specific challenges the U.S. faces in engaging in wars of choice?

The largest challenge is simply generating international and domestic support for a war of choice. That simply reflects the fact that, because it's a choice, a significant percentage of people in other countries and in the United States probably won't agree with either the decision or the case for acting. So it means that in wars of choice, you are likely to have to go about them absent a good deal of domestic and international support you'd normally want to have if you are going to undertake something as expensive and dangerous as a war.

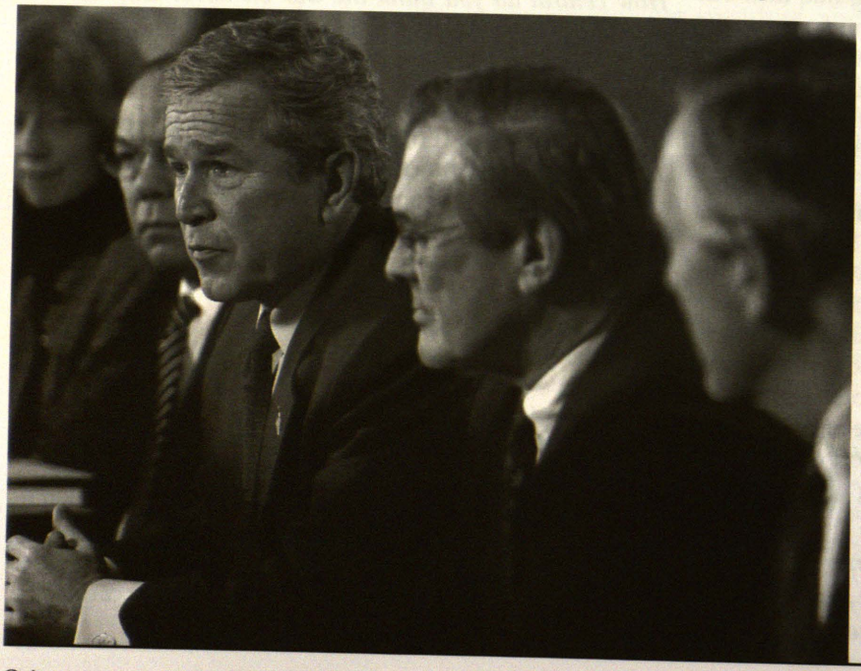
In a more general sense, how well do you think U.S. grand strategy has adapted to American primacy in global affairs. Do you see any threats on the horizon to American primacy?

On the first question — in terms of how well we've done — the cop-out answer would be that it's premature to start drawing or reaching those kinds of judgments. I would simply say that the United States has got a long ways to go. It's now been a decade and a half since the end of the Cold War, and we've got a long ways to go to building institutions that would help buttress the sort of world we want to see, based upon certain principles: for example, opposition to the spread of weapons of mass destruction, opposition to terrorism, opposition to governments committing genocide, and so forth. I think we've got a long ways to go before we build international consensus about the principles that ought to govern international relations and we've got an even longer ways to go towards translating any potential consensus into effective, functioning institutions.

In terms of threats to U.S. primacy, the first thing I'd say is that I don't see any immediate threats. There's no would-be so-called "peer competitor" on the horizon, and indeed, I don't see one on the horizon for some time to come. Some people point to China or Europe, but again, I see that at a minimum a long ways off, and anything but inevitable. The bigger threat to U.S. primacy is not the traditional one of a great power rival, but simply global disorder — a combination of terrorist groups, drug cartels, failed states, civil conflicts, and so forth. I see that as a more worrisome possibility over the next few decades, and American foreign policy therefore needs to worry much more about the deterioration of world order than it does about the rise of any great power rival.

What does the fact that so many of the threats to the U.S. are non-state threats mean for the concept of sovereignty today?

We live in a time where the concept of sovereignty is clearly undergoing significant stress. The whole idea of sovereignty is being challenged by non-state actors, some of which are benign, some of which are anything but benign. Sovereignty is being challenged by the reality of globalization; there are many things going on in the world that states can't control and in many cases don't even know about. I also think sovereignty is being challenged by a new set of ideas that essentially says that unconditional sovereignty is a dangerous thing — that states and governments should not be allowed to act with impunity, either when it comes to how they might treat their own people or what sorts of threats they might pose to their neighbors.



U.S. President George W. Bush, Secretary of State Colin Powell and U.S. Defense Secretary Donald Rumsfeld take questions following a February 2004 Cabinet meeting at the White House in Washington, D.C.

How do you view characterizations by historian Niall Ferguson and others of the United States as a modern day empire? How helpful do you think these analogies are in thinking about U.S. foreign policy?

You end up almost having a debate about words or nomenclature. I think there's more than a little truth in it, in the sense that the United States obviously has tremendous influence in terms of ordering or organizing the world. If you want to call it a modern-day or latter-day empire, fair enough. That said, the word "empire" has such baggage. From what I can see, there's nothing exploitive about what the United States is doing in the world. You may think it wise or you may challenge that, but it's not like an 18th century empire where the United States is seeking to enrich itself around the world; on the contrary, it's quite expensive, as we've seen.

I tend not to like the word "empire" because overseas it reinforces an image of the United States in a negative light, simply because the word "imperial" has such baggage and overtones. And here at home, in the United States, I don't think democracy makes for a natural empire — in part because in order to be an effective imperial power, you have to be able to conduct wars of choice. You have to be willing to carry out a foreign policy that goes way beyond necessity, and I simply don't think that's sustainable. So in the long run, I'd say the United States should not be considered an imperial power.

How deep do you think the fault lines are both within the Bush administration and also between Republicans and Democrats concerning attitudes towards American power and how it should be used?

There are significant fault lines, some within the administration, clearly, and some between the administration and others. These are along basic questions that aren't so much about what the United States ought to do in the world, but how it ought to do it — how much the United States ought to do things alone or with others, how much the United States ought to rely on military force, and so forth.

So I do think there are significant fault lines. I would go even further to say that we are in the midst of a significant debate about American foreign policy. We're finally having a debate that we never really had after the end of the Cold War, when there was precious little debate about America's role in the world. There wasn't much of a debate after 9/11, either, because everybody rallied around the cause against terrorism. But now, because of Iraq, I really do think we're finally seeing this first-order debate about American foreign policy. In principle, I welcome the debate because it is overdue, and it is important as a democracy that we debate these big questions amongst ourselves.

How much different do you think an administration under one of the top Democratic candidates would be in its foreign policy?

That's an interesting question. Obviously, it depends, as Mr. Kerry's foreign policy wouldn't be the same as Mr. Dean's. But let's put that aside. First, consider the variable of Mr. Bush being reelected, as it would still be hard to predict what character his foreign policy would have. As one of your earlier questions suggested, there are some differences within the administration, and there has also been some evolution in its foreign policy. The foreign policy before 9/11 was different than afterwards, and I would also suggest that the policy in 2004 is different than that of 2002 or 2003.

But I think one of the biggest impacts on the next president — be it Mr. Bush or one of the Democrats — will be what is in his "inbox." The next President will have to deal with a set of givens. He's going to have to continue fighting a war on terrorism, he's going to have to see through large commitments in Afghanistan, Iraq and Colombia. He'll have to negotiate an agreement with the World Trade Organization and sell it to Congress. He'll still face the problem of a North Korea that is one of the world's most closed and difficult countries to deal with.

What I'm suggesting is that the range of choices is not as great as some of the rhetoric would have one believe. That said, it's going to matter who's elected in ways we can't even anticipate. It's impossible to predict what wars of choice will be carried out, and it's also likely that the new president will have a range of options on what to do about

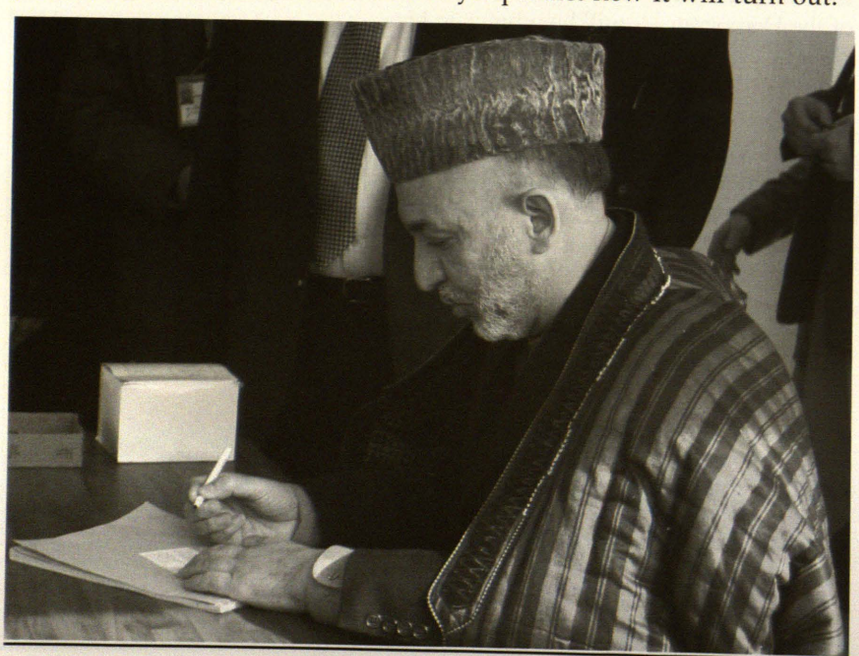
"American foreign policy needs to worry much more about the deterioration of world order than it does about the rise of any great power rival."

"One of the things we should have learned from 9/11 is that what goes on inside these societies is not just their business — it's also ours."

the Israeli-Palestinian issue, and it could well be that a Democrat would take a different approach than Mr. Bush. And regarding an issue like North Korea, a Democrat is almost certain to come up with a different set of carrots and sticks, incentives and penalties, to try and persuade North Korea to give up its nuclear options. The short answer is that it will obviously make a difference, but probably not quite as large as people would deduce from the rhetoric.

What were some of the successes and challenges you saw in your role in helping to rebuild Afghanistan? Where do you see the future of nation-building in the Islamic world?

In Afghanistan, there's been considerable success on the political side in terms of getting the Karzai government up and running with a large degree of popular support, and also now with drafting the Constitution. Additionally, large parts of the country have been relatively stable. But there are large negatives, and I'm not going to sugarcoat it. Drug production is at an all-time high, there still isn't much of an Afghan army or police force, and the central government is largely confined to greater Kabul when it comes to calling the shots. Warlords in the country still control much of day-to-day life in Afghanistan, and the Taliban is also making some inroads again. You end up with a decidedly mixed picture and I can't yet predict how it will turn out.



Afghan President Hamid Karzai signing his election registration card in Kabul in January 2004. Afghanistan's first free elections are scheduled to take place in June.

As for the second question, the issue of reform in the Arab and Islamic world is — or should be — one of the top priorities and certainly is one of the top challenges facing the United States. It is very much in our interest to help these countries become more open politically and economically and to promote civil societies and opportunities for women. One of the things we should have learned from 9/11 is that what goes on inside these societies is not just their business — it's also ours. When young men grow up with little education or skills, no ability to compete in a global economy, and no chance to have any political say in their society, the only place they might feel comfortable is in the mosque. Some of the young men who see corruption around them will become radicals, and a significant percentage of these will become terrorists. This is obviously disastrous for these societies and is potentially disastrous for us. Helping these societies evolve needs to be one of the central planks of American foreign policy.

As both a scholar and practitioner of foreign policy, how difficult was it to bridge the gap between academia and the State Department?

They certainly are two different worlds. Some of the skills, tools and cultures of the two could not be more different. That said, some of the people I find most influential in government have successfully combined the two worlds — people who can think about and conceptualize the world and still manage to be operational and get things done. It is difficult to find individuals who thrive in both the worlds of contemplation and action, but those are exactly the kind of people you want to have working with you and for you. For example, when I was in charge of the policy planning staff over the last few years for Colin Powell, those were the people I wanted to hire. They're hard to find: some people are very operational, but not very good at generating original positions, and others may be very academic or conceptual, but can't translate their thinking into initiatives that actually have a chance of influencing policy. It is a minority of people who are both conceptual and operational, but it is this minority that you want to find to work for you.

MAKING SENSE OF GENOCIDE

Rwanda 10 Years Later

By David Simon

On April 6, 1994, the evening news reports in the United States featured a story about a plane crash in Africa. It ran perhaps as much for its curiosity value as anything else: not one, but two African presidents — Juvenal Habyarimana of Rwanda and Cyprien Ntaryamira of Burundi — had been on board, and both perished. The reports did not predict that genocide would ensue, even though it was already underway by that evening. For the next 100 days, approximately 8,000 people on average would be killed each day — predominantly Tutsi, but also Hutus deemed "moderate" for their opposition to genocide. At the time, the horror defied imagination, much less prognostication. In retrospect, it seemingly defies comprehension and tempts us to banish the episode from memory.

Yet if the Rwandan genocide was literally inconceivable at its onset, it is now a dark but indelible chapter of human history. With the passage of a decade, we now find ourselves in a position to try to make sense of what we could not, at first, imagine. Indeed, rather than forget, we must actively confront the challenging facts of 1994.

April-July 1994

Within hours after the plane crash, militias were combing the streets of the Rwandan capital, Kigali, seeking out and killing prominent Tutsi political leaders and their Hutu allies. Soon, militias associated with political parties had set up roadblocks both within and outside the city. Militia members checked the identity cards of all who passed, and killed those whose card proclaimed them to be "Tutsi." Meanwhile, a radio station affiliated with the ruling party, "Radio Television Libres Milles Collines," broadcast anti-Tutsi diatribes. To cite one example, Human Rights Watch's Alison Des Forges reports a DJ as having admonished listeners to "understand that the cruelty of the inyenzi is incurable, the cruelty of the inyenzi can be cured only by their total extermination." (*Inyenzi* is the Kinyarwanda word for "cockroach," used as a slang term for Tutsi.) DJs interjected to name targeted victims and offer instructions as to where they might be found.

In the two weeks that followed, the violence fanned out across the country. Many Tutsi victims died at the hands of militia-led mobs and door-to-door search parties wielding machetes. Others turned to local and church officials for safety, and were often directed to schools and churches. Such gathering points then became massacre sites, at times coordinated by the same officials who had initially led the victims there in the first place. Such a situation provided the title of Philip Gourevitch's excellent — and devastating — account of the genocide, *We Wish to Inform You That Tomorrow We Will Be Killed With Our Families*, a reference to a note sent by one besieged group to church leaders the group hoped (in vain) would provide them with refuge.

In the end, only the success of a Tutsi-led insurgency called the Rwandan Patriotic Front (RPF) stopped the genocide. The RPF insurgency was originally launched from Uganda in 1990, but had laid down its arms following an August 1993 peace agreement. The RPF recommenced its drive to Kigali in the early days of the genocide. Regionally, the killing subsided as the RPF gained control of provinces and towns. By early July, the "interim government" — which had planned and coordinated the genocide — had little choice but to flee for the border. As it did, it encouraged, through a mix of coercion and fabrication, the Hutu populace to flee as well. In just a few days, close to two million people exited across Rwanda's borders, primarily into Zaire and Tanzania.

Challenges of Comprehending the Genocide Itself

A remarkable feature of the genocide — and a depressing and challenging one, from those who might

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Hutu refugees arrive from Uganda at the UNHCR transit camp in the Rwandan province of Byumba. They fled from Rwanda at the beginning of the 1994 genocide and spent nearly ten years in refugee camps in Uganda.

expect better of human nature — was the extraordinarily large ratio of participants to objectors. That over a hundred thousand Rwandan Tutsi survived undoubtedly owes something to individual acts of heroism. Yet several times more perished, a consequence not primarily due to a great disparity in military technology, but to the participation and acquiescence of hundreds of thousands of ordinary Rwandans who submitted to the plans of a murderous elite. One of the greatest challenges, ten years later, is to comprehend how this could have happened.

In part, the elite — known in politics as the Hutu Power faction — succeeded by drawing on a long tradition of divisive, dehumanizing myth-making. For decades, political rhetoric and even school curricula taught Hutus to resent Tutsi for their generally higher economic status, despise them for their role as a favored ethnic group under German and Belgian colonialism, and fear them for their supposed ambitions to rule the country. The bloody history of neighboring Burundi, where a predominantly Tutsi elite did rule amid frequent ethnic violence, provided Hutu Power with what they believed to be empirical support for these propositions.

The phenomenon of mass participation also reflected the fear of victimization in a contemporary conflict. The rhetoric of the day warned that the RPF would kill all those who stood in its path. Even Tutsi clearly not belonging to the insurgency—such as women and children in non-combat areas—were portrayed as threats to collaborate with the invading force as soon as the chance arose. By implication, according to the Hutu Power leaders, all Tutsis therefore had to be slaughtered in an act of pre-emptive self-defense.

Finally, the astounding level of cooperation with genocide leaders reflected the efficacy of the leaders' strategy of intimidation. The early targeting of Hutus who favored multi-ethnic coalition-making prevented the emergence of a politically meaningful opposition to the genocide outside of the RPF. It required immense courage, wile and luck just to survive, much less save others' lives.

"There are emerging efforts to craft institutions aimed at preventing recurrences of Rwanda-like tragedies."

Challenges in Comprehending the Global Reaction to the Genocide

A second broad set of challenges involved in understanding the genocide relates to the paralysis of outsiders as the tragedy in Rwanda unfolded. Indeed, over the course of the genocide, international involvement essentially featured three components. These responses were meager at best, and plainly reprehensible upon closer examination.

First, within a week of the instigating plane crash, U.S. Marines and coun-

terparts from France, Belgium and other countries touched down — but only to evacuate their nationals. The embassy employees, domestic workers and intellectuals with whom the departing expatriates would have had the most interaction were left behind to almost certain death.

Second, the small U.N. peacekeeping force that had patrolled the streets of Kigali (without a clear mandate to intervene in any event except that of an attack on one of their own) was drawn down by roughly 90 percent, from close to 2,500 to roughly 250. Those that stayed remained pinned in a bunker.

Finally, a French-led, U.N.-sanctioned force under the name "Operation Tourquoise" touched ground toward the end of June. It is estimated to have saved 15,000 to 25,000 would-be victims, but may have also wittingly enabled the perpetrators of the genocide to escape into Zaire. France had been a close ally of the Habyarimana regime, and reportedly had continued to supply arms to the interim government after the genocide began. French soldiers report having initially set up operations with the understanding that Hutus were the victims of the violence, only to learn otherwise after groups of Hutus to whom they had provided protection had massacred the unarmed Tutsis who the Hutus had portrayed as threatening.

All the while, the United States went to great lengths to avoid acknowledging that the purges of non-combatant Tutsi in Rwanda amounted to genocide. Doing so would have compelled a reactive international intervention according to the United Nations Convention on the Prevention and Punishment of the Crime of Genocide. Meanwhile, throughout the early weeks of the genocide, the United Nations tended to view the Rwandan crisis as a reignited civil war — the presence of peacekeepers in the country, after all, reflected the outcome of U.N.-brokered negotiations between the RPF, the Habyarimana regime and other political parties. Ironically, a U.N. intervention motivated by this perspective might have done more harm than good, to the extent that it may have interceded on the RPF-government battlefront rather than in the rest of the country, where civilians were being slaughtered. Nevertheless, the failure of the U.N. to provide global leadership further damaged the credibility of an oft-beleaguered institution.

It is encouraging that several scholars have recently begun to take on the challenge of explaining the international reaction. In *A Problem from Hell: America in the Age of Genocide*, Samantha Power recounts how the State Department and intelligence bureaucracies rewarded those who found ways to justify non-intervention, while sidelining those who raised concerns about the seriousness of the situation. Political scientist Michael Barnett generalizes this finding to the United Nations membership, noting that "states [prefer] feeble institutions to

"For the next one hundred days, approximately 8,000 people would be killed each day."

Catholic nun Consolata Mukangango, known as Sister Gertrude, sits in a Brussels courthouse in 2001 on the first day of her trial on charges of participating in the Rwandan genocide. Sister Gertrude is suspected of handing over several thousand people who took refuge at the Sovu convent to Hutu killers.

"The presence of British forces in Sierra Leone and American forces off the coast of Liberia... suggests a new awareness that inaction carries consequences."

the real thing, for the simple reason that they prefer to stand aside than to get involved."

What Does It Mean To "Learn From Rwanda?"

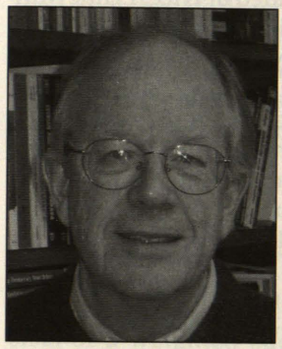
It would be callous to simply reduce an episode in which 800,000 people died into a "learning experience." Yet as the echoes from Rwanda fade, it remains imperative that we try to make sense of what happened.

A presidential debate in October 2000 illustrates the dangers of failing in this task. Moderator Jim Lehrer asked whether the candidates believed the Clinton administration should have pursued a different — and presumably more interventionist — policy in Rwanda in 1994. For once, the Republican candidate, George W. Bush, agreed with one of Clinton's policies: He vowed not to intervene where the United States' national interests were not clearly at stake, and went on to state his fervent opposition to nation-building generally. For once, Democratic candidate Al Gore agreed with his opponent, while confusing the post-genocide humanitarian effort to help refugees — which included the architects of the genocide — to set up camps in Eastern Zaire with a non-existent American effort to stop the genocide. In short, the candidates concurred that it was indeed the right policy not to marshal the force of the most powerful military force on the planet to prevent the slaughter of hundreds of thousands at the hands (and machete blades) of their countrymen. It was as if "Rwanda" had blurred into "Somalia" in contributing to the general sense that Africa was rife with unpreventable tribal violence from which the United States must remain apart, no matter the human consequences of doing so.

Yet, four years later, there are signs that different lessons have also been learned. The critical acclaim of Power's work (including a National Magazine Award and a Pulitzer Prize, among others) suggests that her findings have both surprised and struck a chord with readers. The presence of British forces in Sierra Leone and American forces off the coast of Liberia when those countries recently bordered on catastrophic collapses suggests a new awareness that inaction carries consequences. Meanwhile, there are emerging efforts to craft institutions aimed at preventing recurrences of Rwanda-like tragedies. For example, the Organization for African Unity, which had itself remained sidelined during the genocide, has refashioned itself as the African Union and has made the formation of institutions for conflict mitigation and resolution a paramount concern. Kofi Annan, who was the director of U.N. Peacekeeping Operations in 1994 and failed to heed or pass along the warnings of the operation on the ground that mass violence was imminent, called for the creation of a special rapporteur and a committee for prevention of genocide in the U.N.

Of course, either of these reforms runs a great risk of ending up as just another ineffective international institution with laudable aspirations and no discernable practical impact. This danger offers another reason why the Rwandan experience must not fade from memory — for it is the pain and scars of that memory which infuse policies and institutions with the ambition to avoid the mistakes of the past. We must, therefore, endeavor to comprehend an event that we might otherwise prefer to forget. P

Swedish Prime Minister Goeran Persson (right) and United Nations Secretary-General Kofi Annan hold a press conference in Stockholm, in January 2004, on the eve of a conference on preventing genocide, ethnic cleansing and mass killing.



EUROPEAN STANDOFF

The Constitutional Impasse in the E.U.

by David R. Cameron

In December the heads of state of the fifteen members of the European Union and of the ten countries that will join the Union on May 1 gathered in Brussels for a two-day meeting. The purpose was to complete the negotiation of a treaty that would establish a constitution for the Union. A draft treaty had been prepared over the course of sixteen months by a European Convention created two years earlier by the European Council at Laeken, Belgium. The Convention had submitted the draft treaty to the Italian presidency of the Council in July and the presidency had convened an Intergovernmental Conference (IGC) in October. As with any treaty, approval would require the agreement of all of the governments participating in the IGC — in this case, those of the 15 member states and the ten countries that will enter the Union in 2004.

Brussels promised to be an historic meeting, marking a dramatic step forward in the evolution of the Union. But within 24 hours of the opening luncheon, it had become apparent to all that a disagreement between Spain and Poland, on one side, and Germany, supported by France and most of the rest on the other, could not be resolved. Spain and Poland insisted that the constitution retain the definition of a qualified majority (i.e., weighted supermajority) for voting in the Council that had been agreed three years earlier in the Treaty of Nice; Germany, France, and most of the others insisted on the definition contained in the draft treaty. At their luncheon on the second day the leaders agreed to terminate the IGC for the time being and requested the incoming Irish presidency to consult with the governments and report its conclusions to the next meeting of European Council in late March.

In the aftermath of Brussels, the recriminations flew back and forth across Europe. The leaders of France, Germany, and other states spoke disparagingly of those who had placed the national interest before that of Europe and raised the prospect, in the absence of an agreement, of a pursuit of further integration by an "avant-garde" or "pioneer group" even at the cost of creating a "multi-speed" Europe. A few days later, the leaders of Germany, France, Britain, and three other countries wrote to the president of the Commission urging that the next multi-year budget, for 2007-13, limit spending to one percent of Gross National Income — a level that would represent a significant reduction and would have an especially adverse effect on Spain and Poland, the largest net beneficiaries of E.U. spending in the current and future Union. Meanwhile, the leaders of Spain and Poland accused the Convention of having exceeded its mandate and their colleagues of failing to adhere to their treaty agreements.

Why the Stalemate in Brussels?

The failure to reach an agreement at Brussels reflected the conjunction of several factors—an unrealistic timetable, an inept presidency, significant domestic political constraints on some of the governments, and the continuing division over the war in Iraq. Thus, despite the leaders' desire to complete the negotiation of the treaty as soon as possible and in time for the European Parliament election in 2004 as well as the existence of substantial agreement on much of the content prior to the start of the IGC, it was wildly unrealistic to imagine that an agreement could be obtained on all of the outstanding issues in a draft treaty of such scope and complexity — 465 articles in four parts covering more than 250 pages — in only two months. Clearly, the leaders erred in agreeing to the Italian presidency's self-serving timetable that aimed to complete the IGC in December.

That timetable would have been unrealistic even if the presidency had conducted the negotiations in the IGC skillfully. But the Italian presidency, and in particular Prime Minister Silvio Berlusconi, proved to be singularly inept in organizing the negotiations. Prime Minister Jose Maria Aznar and Foreign Minister Ana

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"After the fall of the Communist regimes in Central and Eastern Europe, it became apparent that the E.U. would soon undergo a substantial enlargement."

Palacio of Spain complained frequently and publicly, for example, that they were willing to seek a compromise on the qualified majority issue but the presidency had failed to put forward any proposals for consideration. At several points in the IGC, and even at Brussels, after promising to put forward proposals that might afford a resolution of that and the other unresolved issues such as the size and composition of the Commission and the inclusion of a reference to Europe's religious heritage, the presidency failed to do so. At the conclusion of the discussions in Brussels, Prime Minister Jan Peter Balkenende of the Netherlands no doubt spoke for many when he said, "Mr. Berlusconi, we have not begun to negotiate."

Beyond the unrealistic timetable and the ineptitude of the Italian presidency, the leading protagonists came to Brussels with significant domestic political constraints that greatly limited the extent to which they could compromise on the issue. Although not standing for reelection himself, Prime Minister Aznar's Popular Party faced an election

Irish Prime Minister Bertie Ahern is a key player in reviving work on the European Union constitution.

in three months, and he was not about to relinquish the exceptional representation in the institutions — two positions in the Commission, near-parity with the four largest states in the Council — that Spain had obtained in its accession treaty and that had been recognized and extended at Nice. Prime Minister Leszek Miller of Poland presided over a minority government that had been tainted by scandals, allegations of corruption and frequent turnover of personnel in the cabinet while facing an opposition in the Sejm that was predominantly Euroskeptic. Indeed, the most pro-E.U. leader in the opposition had coined the phrase "Nice or death" and shortly before the Brussels meeting the Sejm had voted overwhelmingly (375 to 14 with 13 abstentions) that the government should defend the definition of a qualified majority agreed at Nice. If the government accepted the draft treaty's definition, it would in all likelihood be defeated in the Sejm and be forced to call early elections, which it would undoubtedly lose. German Chancellor Gerhard Schroeder presided over a narrow coalition majority in the Bundestag and was well aware that the German public had become increasingly skeptical about the benefits of Union membership and enlargement. His government was attempting to negotiate a package of spending reductions at a time when unemployment continued at high levels. Meanwhile, the E.U. was about to enter into negotiations over the next multi-year budget that would, inevitably, place further demands on Germany, as the largest net contributor, for more spending on agricultural and regional aid programs in Poland and the other new member states.

In addition, of course, the alignment of the principal adversaries at Brussels — Spain and Poland, supported in the background by Britain, versus Germany supported by France and Belgium — echoed the cleavage that had occurred in previous winter and spring, and still resonated through the Union, between the supporters and opponents of the American war in Iraq.

But as important as those factors were in contributing to the stalemate at Brussels, they do not fully explain why the principal protagonists were so sharply divided over the issue of the qualified majority and why they adhered so adamantly to their positions throughout the IGC. To understand why they remained so committed to their ex ante positions, even at the cost of forsaking agreement on the treaty at Brussels, it is necessary to consider how

the Union has dealt with the representation in the Commission and Council of states of widely varying size and how, in particular, those arrangements were modified in the Treaties of Amsterdam (1997) and Nice (2001) and in the draft treaty.

Conflicting Definitions of a Qualified Majority: Nice and the Draft Treaty

In the E.U., a qualified majority consists of a weighted super-majority of the votes of the member states in the Council on legislation. In the current Union, the votes of the member states range from ten in the case of Germany, France, Britain, and Italy to two in the case of Luxembourg. Of the total of 87 votes held by the 15 member states, a qualified majority consists of 62 votes (71.3 percent).

After the fall of the Communist regimes in Central and Eastern Europe, it became apparent that the E.U. would soon undergo a substantial enlargement. By 1996, ten Central and Eastern European countries had applied for membership in addition to Turkey, Cyprus, and Malta which had applied in 1987 and 1990. As the Union began to contemplate a substantial enlargement it began to consider how, if at all, the institutions should be adapted to the larger membership. In 1997, the Treaty of Amsterdam stipulated that, as of the first accession, the Commission, which heretofore had consisted of two members from each of the five largest states (the four mentioned above plus Spain) and one member from each of the others, would consist of one national from each member state. But it said that would happen only if the weighting of votes in the Council was modified in such a way as to compensate the member states that would lose a position in the Commission.

The Treaty also stipulated that at least one year before the membership of the Union exceeded 20, an IGC be convened to carry out a comprehensive review of the institutional arrangements in the light of enlargement. That IGC was held in 2000 and resulted in the Treaty of Nice the next year. In the IGC, the French presidency proposed that the second position in the Commission held by the five largest member states be eliminated in 2005 and that from 2010 onward the Commission be limited to 20 members on the basis of "equal rotation"—a scheme that would insure, for example, that every state would have an appointee serve one term before any state made a second appointment. And it proposed that the Council votes be reweighted by tripling the number allocated to each of the five largest states that would lose a Commission position while doubling the number allocated to each of the other member states.

The smaller member states, led by Belgium and Portugal, attacked both proposals. Especially after France refused, despite German insistence based on its considerably larger size after unification, to end the parity in Council votes among the four largest member states, Belgium, angered by the presidency's proposal to give it one less vote than the Netherlands, threatened to veto the treaty. Eventually, after four days and nights of heated arguments between Germany and France, on one hand, and France and the other "bigs" versus the "smalls," on the other, the leaders agreed to a Protocol that eliminated the second Commission position filled by the five largest states as of 2005 and allocated one position to each member state until the Union had 27 members, at which time the Commission would have fewer positions than the number of member states and the positions would be filled by "equal rotation." And they agreed that the num-

***Table 1:** The Voting Weight of the Member States in the Council of the Enlarged E.U. Under Nice and Under Article 24 of the Draft Constitution*

	Under Article 24:		*Under Treaty of Nice:*	
	Pop. MMs	% of E.U. 27	# of Votes	% of E.U. 27
Germany	82.5	17.1	29	8.4
France	59.6	12.3	29	8.4
UK	59.1	12.2	29	8.4
Italy	57.1	11.8	29	8.4
Spain	40.7	8.4	27	7.8
Poland	38.2	7.9	27	7.8
Romania	21.8	4.5	14	4.1
Netherlands	16.2	3.4	13	3.8
Greece	11.0	2.3	12	3.5
Portugal	10.4	2.2	12	3.5
Belgium	10.4	2.1	12	3.5
Czech Republic	10.2	2.1	12	3.5
Hungary	10.2	2.1	12	3.5
Sweden	8.9	1.9	10	2.9
Austria	8.1	1.7	10	2.9
Bulgaria	7.8	1.6	10	2.9
Slovakia	5.4	1.1	7	2.0
Denmark	5.4	1.1	7	2.0
Finland	5.2	1.1	7	2.0
Ireland	4.0	0.8	7	2.0
Lithuania	3.5	0.7	7	2.0
Latvia	2.3	0.5	4	1.2
Slovenia	2.0	0.4	4	1.2
Estonia	1.4	0.3	4	1.2
Cyprus	0.7	0.1	4	1.2
Luxembourg	0.4	<0.1	4	1.2
Malta	0.4	<0.1	3	0.9
E.U. 27	482.9	100.0	345	100.0

Qualified Majority:
Under Nice: 255 of 345 votes (73.9 %) from a majority of states.
Under Article 24: Majority of states representing at least 60 % of the population.

"The influence of Spain and Poland relative to that of other large states would be significantly reduced under Article 24."

ber of votes in the Council held by each of the four largest states would increase from ten to 29 and the number of votes held by Spain would increase from eight to 27 while the votes of the smaller states would be increased by a smaller amount — doubled in the case of Luxembourg and increased by a slightly larger amount in the case of the other small states. With the new allocation of votes, a qualified majority in the current Union would require 169 of the 237 votes, the same proportion — 71.3 percent — as constituted a qualified majority in the existing Council. In an accompanying declaration, the member states allocated the Council votes of the 12 candidate countries, giving Poland, the largest of the 12 and close to Spain's size in population, 27 votes.

The effect of Nice was to alter slightly the relative weights of the fifteen member states. Even with the disproportionately large increase in votes, from ten to 29, the four largest states—and especially Germany—would remain underrepresented in the Council relative to the size of their populations, although they would be slightly less underrepresented than in the original allocation. The smaller member states, on the other hand, would remain overrepresented relative to their population, although slightly less so after Nice went into effect.

Italian Prime Minister Silvio Berlusconi gives a speech to the European People's Party (PPE) Congress at the E.U. Headquarters in Brussels.

While the reweighting agreed at Nice benefited the four largest states to some degree, it was of greatest benefit to Spain and, after its accession, Poland. Thus, Spain received the largest proportionate increase in the number of Council votes — a more than three-fold increase from eight to 27 — and the largest increase in the share of votes. As a result, it would be even closer to parity with the largest four than it was prior to Nice. It would be the only state among the five largest that, under Nice, would be overrepresented in the Council relative to its population. In a Union of 27, Spain would be very slightly underrepresented relative to its population but still be more fully represented, relative to its size, than the four largest countries. Poland, enjoying the same number of Council votes as Spain with a slightly smaller population, would be only barely underrepresented in the Union of 27, despite being one of the six largest members.

Article 24 of the draft treaty fundamentally changes the definition of a qualified majority in the Council. It dispenses altogether with the allocation of weighted votes to the member states and stipulates that a qualified majority consists of a majority of the member states representing at least 60 percent of the population of the Union. In effect, the weight assigned to each member state in the Council would henceforth be its share of the total population of the Union. The data in Table 1 reveal quite starkly why Spain and Poland so adamantly opposed any change from the allocation of Council votes agreed at Nice and why Germany so adamantly insisted upon the scheme described in Article 24. By comparing the proportions of Council votes in the future Union agreed at Nice with the proportions of the population of the Union, one observes that while the vote shares of France, Italy, and Britain would in-

European Union Foreign ministers (back row, left to right: Eduard Kukan of Slovakia, Joe Borg of Malta, Antanas Valionis of Lithuania; front row, left to right: Joschka Fischer of Germany, Austrian Foreign Minister Benita Ferrero Waldner, Lydie Polfer of Luxembourg) pose together at the end of E.U. constitutional talks in Naples in November 2003.

crease by several percentage points in the scheme proposed in Article 24 relative to the arrangement agreed at Nice, Germany is by far the largest beneficiary of Article 24. Indeed, its de facto influence—measured in shares of the Council votes under Nice and shares of the population under the draft treaty—would more than double in a Union of 27, from 8.4 percent to 17.1 percent.

Spain and Poland are the two states for which the share of Council votes agreed at Nice most closely matches the share of the total population of the Union. Therefore, moving to the scheme described in Article 24 would have a very modest positive effect in terms of the representation of their populations. But what is important for Spain and Poland is not simply the representation of their populations but, rather, the fact that the influence of each, relative to that of the other large states, would be significantly reduced under Article 24. Spain had received near-parity with the four largest states in its accession treaty and that near-parity was increased in the Treaty of Nice. Poland, given parity with Spain, would as a result have near-parity with the four largest states as a result of Nice. As the data in Table 1 indicate, Article 24 would terminate that near-parity and significantly diminish the relative influence of both countries vis-à-vis the four largest member states. Thus, under Article 24 Spain and Poland, relative to France, Britain, Italy, and above all Germany, would be less likely to be regarded as necessary allies in coalitions formed by two or more of the four largest states, since the latter would constitute by themselves a significantly larger share of the amount required for approval than would be the case under Nice. Indeed, a coalition of all four would constitute about 53 percent of the population of a Union of 27, close to the 60 percent required for approval under Article 24, whereas under Nice the four would account for less than one-half of the Council votes required for approval (33.6 percent vs. the required 73.9 percent). And for the same reason, it would be much more difficult for Spain and Poland to mount a successful blocking minority against the four largest states under Article 24. Not only would they need a significantly larger share of the weights required to block approval (41 percent vs. 29 percent under Nice) but the four big states would only need, in a Union of 27, one or more states representing another seven percent of the population in order to avoid a blocking minority, whereas under Nice they would re-

"It is by no means obvious that the dispute over the definition of a qualified majority can be resolved."

quire another 139 votes, equivalent to more than 40 percent of the total votes.

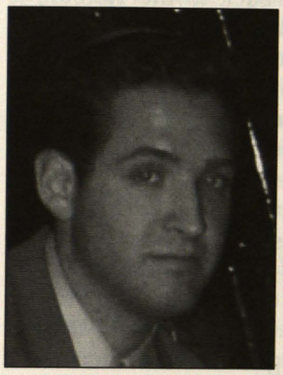
This comparison of the distributional effects of Nice and the draft treaty suggests why the principal protagonists held so firmly to their positions with regard to the definition of a qualified majority throughout the IGC and why they came to regard the issue not only as a matter of power and influence but of fairness and equity. For Spain, Article 24 represented not only a significant diminution of its potential bargaining power within the Council but a decision by the Convention to disregard the agreement reached in its accession negotiation and subsequently inscribed in its accession treaty and other agreements that give it near-parity with the four "bigs" in Council votes despite its considerably smaller size. For Poland, Article 24 likewise significantly diminished its potential bargaining power vis-à-vis the largest states. For Germany, on the other hand, Article 24 represented a long-overdue correction of its very significant underrepresentation in the Council.

"There can be little doubt the Irish presidency has committed itself fully to creating the basis for resuming the Intergovernmental Conference."

What Now?

Given the widely divergent positions of Spain and Poland, on the one hand, and Germany, France, and other member states, on the other, and the intensity of their divergent preferences, it is by no means obvious that the dispute over the definition of a qualified majority can be resolved. Nevertheless, as the Irish presidency began, there was some reason for optimism. For one thing, there were some intriguing suggestions how the dispute might be resolved. In early December, the European Parliament had suggested the Spanish and Polish objections to Article 24 could be addressed by raising the threshold for approval in Article 24 above 60 percent (although keeping it below the 73.9 percent that would apply under Nice in a Union of 27). In the IGC, in fact, Spain had suggested the threshold be raised to 66 percent. And interestingly, after Brussels former French President Valery Giscard d'Estaing revealed that in the deliberation over Article 24 in the Praesidium of the Convention he had favored a population threshold of 66 percent which, he thought, would have given Poland and Spain equivalent blocking power but had been overruled. Another possibility, of course, was to reform Nice, by raising the number of votes allocated to Germany in recognition of unification and/or lowering the threshold required for approval. Shortly after Brussels, Prime Minister Aznar had indicated that Spain was open to all proposals, including reform of Nice.

It is much too soon to say whether the Irish presidency will be able to report to the European Council in March that, based on its consultations and discussions, it believes there is a real prospect of achieving an agreement and that the IGC could, therefore, be reconvened. But there can be little doubt the presidency has committed itself fully to creating the basis for resumption of the IGC. In presenting the presidency's program to the European Parliament, Irish Prime Minister Bertie Ahern said the treaty was its top priority in an agenda crowded with important matters, that he had already met with nearly a dozen leaders and would continue the meetings in the days and weeks ahead, and that he hoped the negotiations could be resumed and completed soon, preferably before the June elections for the Parliament. During the last week in January, he held discussions with Prime Minister Aznar in Madrid and Prime Minister Miller in Dublin. A week after Ahern spoke to the Parliament, in presenting the Irish presidency's program to the constitutional affairs committee of the Parliament, Foreign Minister Brian Cowen said his consultations suggested a willingness to support the presidency's effort to resume the talks at an early date so that they could be concluded before the elections for the Parliament in June. And shortly afterward, he arranged for the foreign ministers of the enlarged Union to hold an informal discussion on the constitutional issue at a meeting in late January in order to exchange views on how to proceed. That discussion was not a formal meeting of the IGC. But it was the first meeting of the 25 foreign ministers since Brussels and it may lead to additional discussions which, in time and alongside the ongoing bilateral consultations, may create the prospect of achieving an agreement that all agree, after Brussels, is the necessary prerequisite for resumption of the IGC.



HOLY LAW IN IRAQ

A Role for Islam in a New Constituion

by Zvika Krieger

In a recent speech marking the 20th anniversary of the National Endowment for Democracy, President George W. Bush seemed to mark the beginning of a new era in U.S. foreign policy. Condemning "sixty years of Western nations excusing and accommodating the lack of freedom in the Middle East," Bush announced a shift towards a "forward strategy of freedom in the Middle East," where the values of human rights and democracy will be held as a priority over other political interests. The true test of this commitment will come in the U.S.'s most recent battlefield. Now that the official fighting has ended and the regime has supposedly been toppled, the real war begins — the war for the future of Iraq.

While all can rally behind the vague promise of democracy to guide the future of Iraq, the Bush administration must face the main factor critical to the success of post-war Iraq: Islam. The intractable role that Islam plays in the lives of most Iraqis is unarguable; the implications of the relationship between Islam and post-war Iraq are vital. As highlighted by Noah Feldman, senior advisor to the Coalition Provisional Authority in Iraq, "increased freedom will undoubtedly lead ... to new gains for political Islam...A new government [will] have little chance of being legitimate if the Iraqi people were denied the opportunity to rely on the ideals and values of Islam to create it." Is the U.S. prepared to deal with the consequences of an Islamic Iraq?

A more essential question, however, is what, in fact, must Islam's role be in a new Iraq? A slew of dictators have exploited the banner of Islam to justify many practices which in reality are inimical to the religion, leading many to believe that Islam is incongruous with democracy and its values. Given the proper safeguards, a new constitution for Iraq can provide for a substantial and vital role for Islam in the future of Iraq while still ensuring the values of freedom and democracy to which Bush has committed.

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A Democratic Constitution Consistent with Islam

The first step in defining the role of Islam in shaping a constitution for Iraq is to understand the historical and theological role of Islam in politics. According to Khaled Abou El Fadl, a visiting professor of Islamic law at Yale, Islam does not mandate a specific form of government, leaving open the possibility for democracy. Classical jurisprudence theory emphasizes the need for a civil contract (*'aqd*) between the governor and the governed. The ideal is a constant form of consultation between ruler and people, known as *ilzamiyyat al-shura*. Many find that Muslim society existed for 30 years after the death of Mohammed as a successful democratic community, brought to an unfortunate end with the onset of the Umayyad Dynasty. The tide of nationalist republican secularism in the 1940s and 1950s as well as the emergence of fundamentalism in the 1960s and 1970s have served more as political, rather than theological, impediments to democracy.

But issues involving Islam arise in virtually every aspect of a potential constitution, and special attention must be paid in the specificity of language and delineation of guidelines when dealing with these topics. Many countries in the Middle East and the Muslim world place Islam at the center of their constitutions; since there is no inherent contradiction between Islam and other values such as human rights and democracy, it is important that the constitution of Iraq make equal mention of these principles, as well as those of pluralism, social justice, the rule of law and international obligations. Explicit reference to these values alongside any mention of Islam will help set the tone for the constitution.

How Islam is defined becomes the next practical question. While many constitutions refer to *shari'a* (Islamic law) as the ultimate arbiter, fundamentalist groups have often exploited these clauses to take control of many

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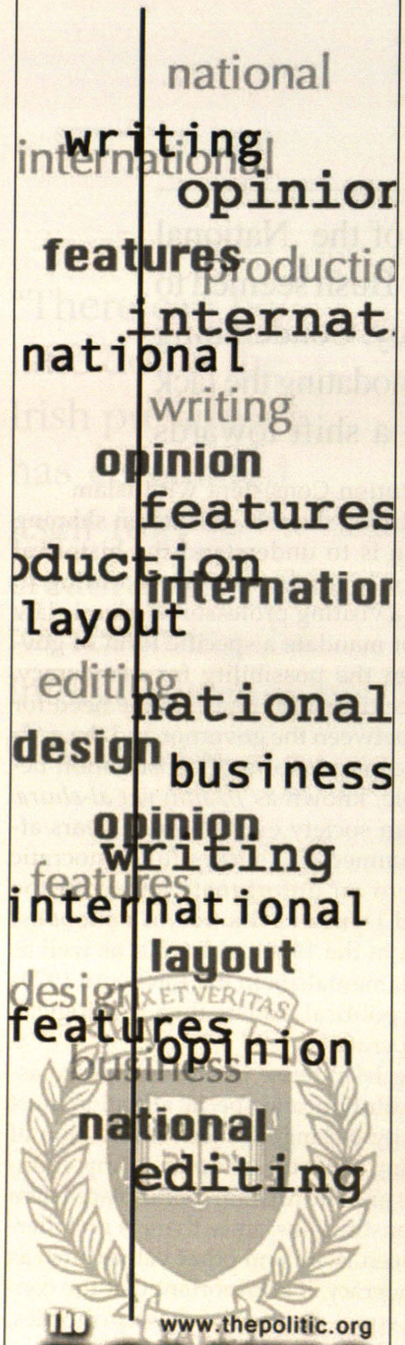

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issues. Shari'a is not and was never intended to be a definitive legal code, but rather a resource for modern jurists and legislatures to draw upon for guidance in resolving issues. If shari'a is at all mentioned in the new Iraqi constitution, it should be cited as "a source" of law rather than "the source" of law; this would prevent the exploitation of shari'a to threaten democratic structures and values. Similarly, the constitution should not give priority to one school of Islamic jurisprudence over another. The 1964 constitution of Afghanistan is an example of this, referring to "the basic principles of Islam" rather than simply "Islam" or "shari'a."

But as Afghanistan's 1964 constitution illustrates, lofty ideals and blanket commitments do not always translate into reality. Concrete structures must be built into the constitution to help ensure their execution.

Possibly the most important area for this is the judiciary body, often a source of corruption and exploitation of Islam in other countries. For this reason, the legislative and executive branches of the government, not the judicial, must define the extent of Islam's influence on the law. The people, however indirectly, should be considered the protectors of the basic principles of Islam. The concept of *ijma* (consensus) can be employed in this context, drawing on the hadith which states that "my community will not agree on error." Furthermore, the power of the courts should specifically exclude the interpretation of Islam. Limits must be placed on judicial review, possibly with a "proper standing" clause, as to preempt any legislation by the judiciary. Though these measures may affect the legitimacy of the courts in the eyes of the people, it is a vital step needed against corruption.

This danger of a renegade judiciary is showcased in post-war Afghanistan. Only ten days after the passage of their widely-hailed constitution, the Supreme Court declared a music video un-Islamic and therefore illegal. This judgment was made without any case before the court and based on no existing law. The court's creation of a "fatwa council" to issue religious edicts, a throwback to the Taliban, is also illegal under Afghan law. The case of Afghanistan illustrates the need for both strong constitutional restraints on judiciary power and a committed and empowered executive branch to enforce these provisions.

An efficient system for choosing judges must also be contained in a new constitution. Judges should not be nominated by other judges but rather through some combination of the executive and legislative branches.

If there are to be special courts of family law, as is the practice in many Muslim countries, it is important that judges are trained in both Islamic personal and family law. They should also draw from a combination of sources both within Islam and from outside legal traditions. Malaysia's family courts are an interesting model for this. Once again, however, Islamic courts must be restricted to family and personal status law only, and must work in tandem with the other values enunciated in the constitution.

The role of the *ulema*, or religious scholars, is also an important factor in shaping the constitution. Some countries like Morocco have constitutional provisions for a religious advisory board to the legislature or executive, but the danger in permanently establishing such a council within the constitution, as illustrated in Egypt, Saudi Arabia and Iran, is that such groups tend to increase their authority over time and manipulate the government. A more efficient model would be to allot a certain number of seats within the legislature for religious scholars, ensuring their active participation in any new government.

The explicit guarantee of individual rights is vital for the success of the new constitution. These include freedom of expression, freedom from torture, freedom of religion, and freedom of assembly. Gender and other equalities must also be mandated in the constitution. It must also stipulate that certain clauses, such as those regarding rights and liberties, may not be amended.

The new government may consider a clause mandating that any political parties must respect the constitution, a preemptive attempt to stem subversive movements. Feldman, who is helping to draft the Iraqi constitution, sug-

gests "an Islamic equivalent of European-style parties like the Christian Democrats." In order to curb the influence of outside countries, it may also be necessary to enact laws preventing foreign funding of elections.

Prospects for Successful Implementation in Iraq

The importance of Islam in Iraqi society is as prominent as ever, with clerics and religious groups providing basic social services, all the while garnering popular support. Many have expressed concern over the rising popularity of Moktada al-Sadr, whom *The New York Times* describes as a "radical, anti-American Shiite cleric," as well as Mowaffaw al-Rubia, former spokesman in the 1990s for the Dawa Party, which was responsible for the 1983 bombing of the embassy in Kuwait that killed six and injured dozens.

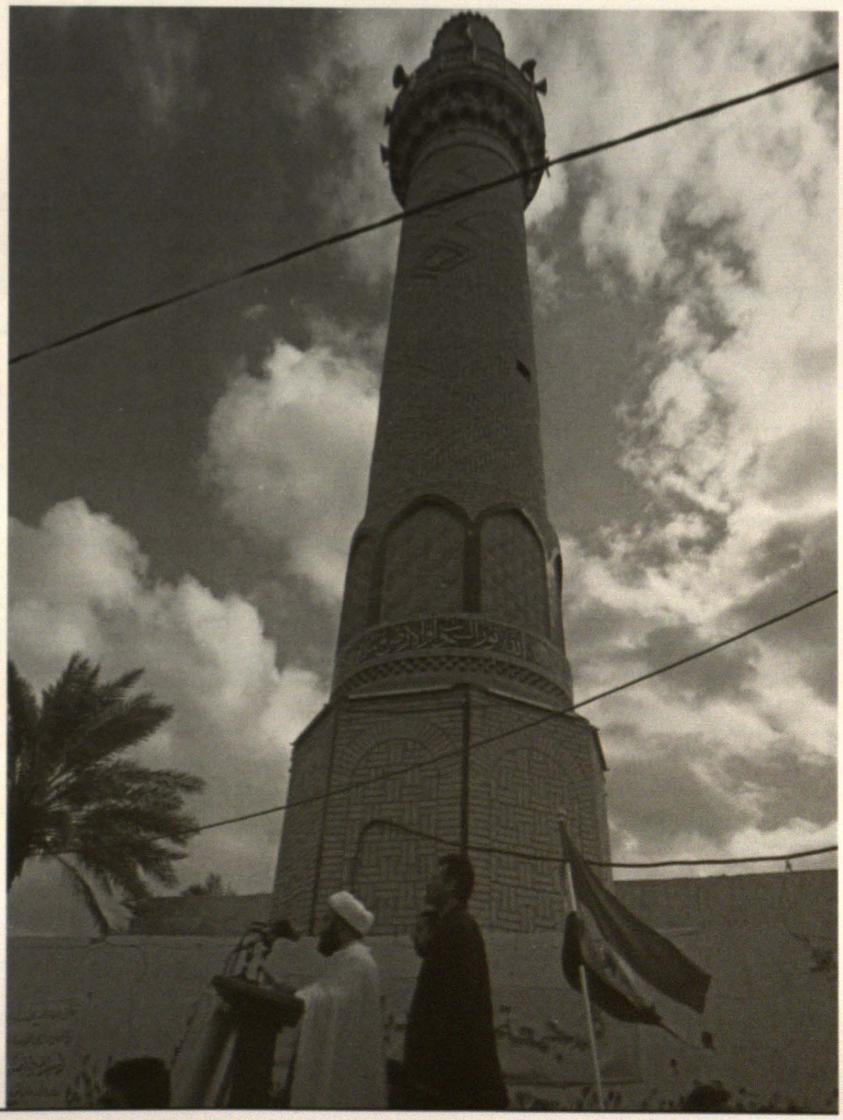
As discussions over a new Iraqi constitution move from theory to reality, the current debate rages over the actual writing process. Reflecting their popularity, Shiite religious and political leaders have begun to demand that drafters of the Iraqi constitution be chosen through national election. Clearly, the Sunni Arabs and Kurds, who are in the minority, oppose such measures. U.S. attempts to reach a compromise have stalled further efforts.

The difficulty in this issue illustrates the fundamental conflict that lies ahead for those rebuilding Iraq. While U.S. leaders want to ensure that any new constitution will have broad support and legitimacy, they also must consider the potentially destabilizing effect of elections, as well as their inefficiency. "The constitution needs to be written by the representatives of the people, and this cannot be achieved except through elections," said Yass Khudier, a former judge and member of the U.S.-appointed governing council. On the other hand, Iraq "need[s] experts to write a constitution, and we may not get them through an election," said Hikmat Hakim, a law professor on the Iraqi Constitutional Committee.

On November 15, 2003, the U.S. released a timeline it developed with the Iraqi Governing Council that called for caucuses to be held in Iraq's 18 provinces to choose members of a transitional assembly, to whom national sovereignty would be given the end of June. National elections would take place after the drafting of a constitution.

The plan, however, has run into opposition from perhaps the single most influential figure in post-war Iraq. Shiite Muslim cleric Grand Ayatollah Ali al-Husseni al-Sistani is demanding immediate direct elections instead of caucuses for the first body. Tens of thousands have taken to the street in support of this position, a testament to Sistani's popularity. In addition, the majority of the 25-member Iraqi Governing Council are Shiites, all of whom have declared allegiance to Sistani's opinions. This has not been lost on the U.S. authorities in Iraq. Paul Bremer, head of the Coalition Provisional Authority, announced in response to the riots that, though the United States re-

"The people, however indirectly, should be considered the protectors of the basic principles of Islam."



An Iraqi Shiite cleric gives a speech under the minaret of al-Muhsen mosque during Friday midday prayer in Baghdad's northern Shiite suburb of Sadr City.

mains committed to the general timeline, there is room for "refinements" amid the Shiite demands.

Many fear that Sistani's growing power echoes that of another Middle Eastern cleric who hijacked a post-revolutionary country — Shiite cleric Ruhollah Khomeini, who took the helm of the Islamic republic in Iran and preached absolute legal and political authority for the clergy. Sistani's teachings, on the other hand, have always reflected what is often called the "quietist" school of thought in modern Shiism, advocating a more hands-off approach. Though a minority view, Sistani follows in the tradition of the late Grand Ayatollah Abu al-Qassim al-Khoei, his teacher and previously the highest ranking cleric in Iraq.

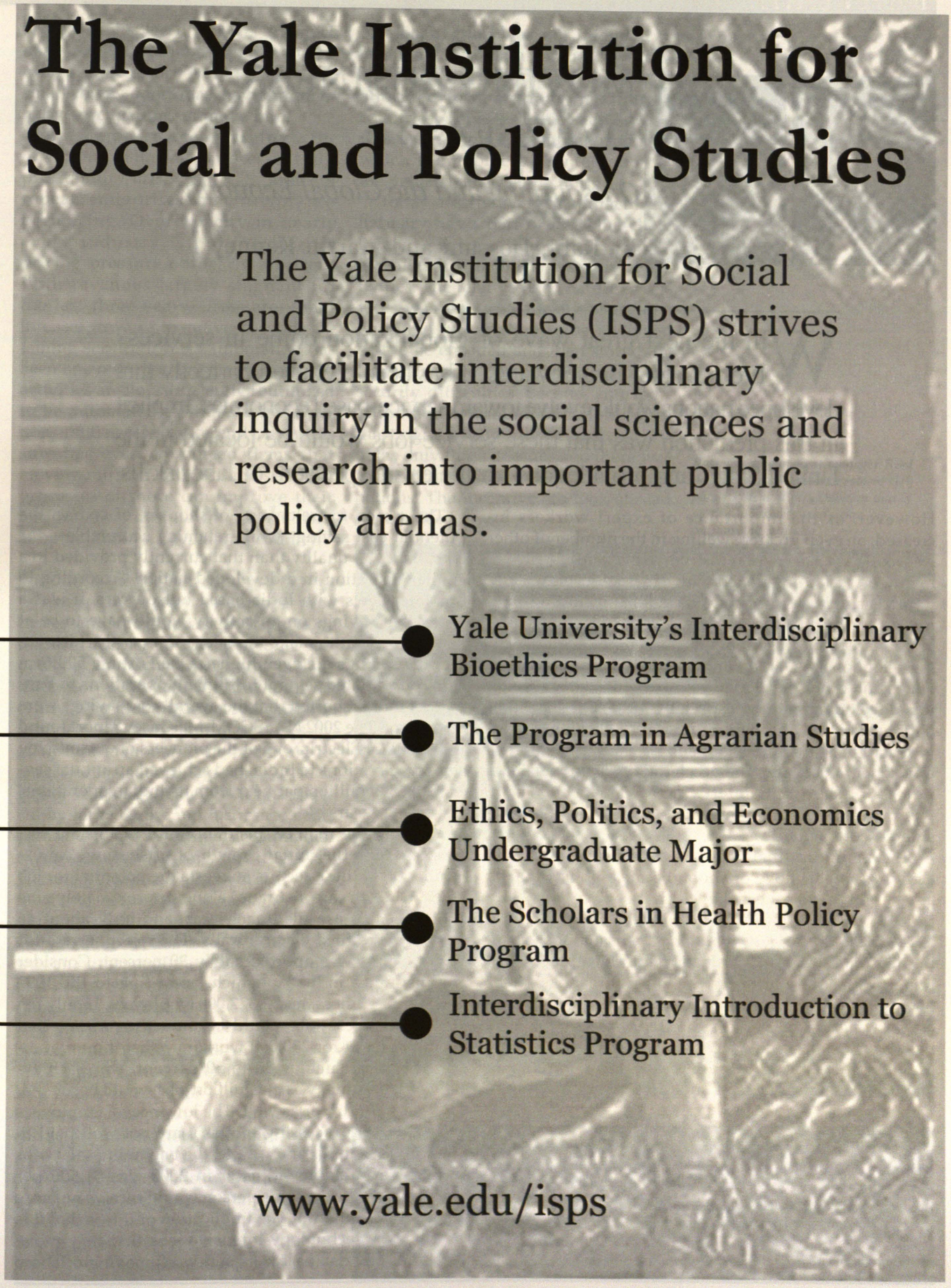
The model of clerical rule set by Iran has largely been rejected by Iraqi Shiites; though initially they rejoiced at the birth of Iran's Islamic government, Iraqi Shiites were imprisoned and executed by Saddam Hussein as sympathizers with the new republic. The 1980 Iran-Iraq war furthered Iraqi distaste for the Iranian model. While Sistani has been a vocal advocate for popular elections — which many say is a response to the marginalization of Shiites under the British system of representation — he has refrained from outlining the specific form or nature he would like for an Iraqi government. If Sistani continues his current attitude, steering clear of the Khomeini doctrine, then the framers of Iraq's constitution may in fact have the freedom necessary to craft a document that is true to human rights, democracy and Islam.

A soldier from the 1-22 Batallion of the 4th Infantry Division walks past a mosque during a patrol in Tikrit in northern Iraq.

Optimism for the Future

The seemingly excessive safeguards that must be included in a new constitution of Iraq are not a reflection of the nature of Islam, but rather of the ways it has been exploited in the past for political ends. While Saddam Hussein kept a tight lid on all religious debate during his reign, the newfound freedom in Iraq has uncovered many levels of discussion within the Islamic community. Both Sunni and Shiite Iraqis are turning toward Islam to answer the political questions left in the void of post-Saddam Iraq. As support for Islam continues to rise, the United States will have to decide whether it trusts in the ability of Islamists to synthesize their religion with democracy and human rights.

Indeed, Feldman is optimistic that, given the proper constitutional framework, they will succeed in their endeavor. "Democracy will find allies among moderates and secularists [in the Muslim world], and also, more remarkably, among Islamists who have spent much of the past decade building up social and charitable institutions that meet all the criteria [of] civil society," he writes. "The mobile ideas of Islam and democracy have the flexibility [and] universality to make their encounter into a struggle for synthesis rather than supremacy. This vision is not utopian. Its realistic beginnings exist." P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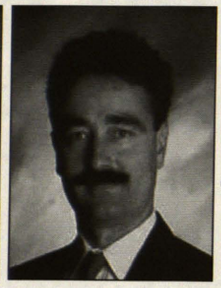


MOVING BUSINESS OVERSEAS

Outsourcing and the Global Economy

by Rafiq Dossani and Martin Kenney

Will the next great wave of globalization come in services? From Daniel Bell onwards, it has been predicted correctly that developed nations would evolve toward service-based economies. Implicit in this prediction was that these service jobs would be located in the United States and provide jobs for the entire spectrum of labor skills.

However, as the importance of expert workers increased, an even greater swelling in the number of other less-skilled service workers occurred, a consequence of many services being linked with different levels of skill.

Increasingly, services of all kinds — including payroll, order fulfillment, reading X-rays, designing integrated circuits, transcribing doctor's notes and answering telephones — are being relocated from the United States and other developed countries to English-speaking, developing nations, especially India, but also other nations, such as the Philippines. Though moving service activities offshore is not entirely new, the pace has quickened as of late. The acceleration of this business process offshoring is intertwined with an increasing willingness by firms to outsource what were once considered core activities.

It is significant that a substantial number of service activities might move offshore, because policy-makers and others have long believed that service jobs were the future area of growth for developed country economies. These service jobs would compensate for the continuing relocation of manufacturing to lower labor cost regions offshore. But one of the most threatened areas of employment, business services, is also one of the fastest growing in the U.S. If the current trajectory continues, then what is now a relatively small, but rapidly growing phenomenon might necessitate a rethinking of government policies across a wide spectrum.

Rafiq Dossani, senior research scholar at the Asia-Pacific Research Center at Stanford University, and Martin Kenney, a professor in the Department of Human and Community Development at University of California, Davis and a senior research associate of the Berkeley Roundtable on the International Economy, are currently the joint project directors of a project funded by the Alfred P. Sloan Foundation to study the globalization of business processes.

The reason for relocating offshore is, of course, the potential cost savings while retaining acceptable — or even better — quality than that currently provided in a similar operation in a developed nation. According to our interviews with India-based outsourcers, it was a given that savings on an activity would have to be at least 40 percent to make the relocation worthwhile. Often, the savings are even higher. One Fortune 500 firm that consolidated several fulfillment operations to Bangalore, India reported that the overall cost savings were 80 percent. The 2002 NASSCOM-McKinsey report found that General Electric, one of the pioneers of outsourcing service operations to India, had achieved an annual savings of $340 million per year from its Indian operations, now seven years old.

Firms in the finance, insurance and real estate sectors have led the initial growth of offshoring. An examination of these sectors suggests the potential for job shift. In health care insurance alone, approximately nine billion claims are filed each year, and only about 46 percent were filed electronically. The rejection rate for paper claims was approximately 30 percent. Consider the insurance industry, which, according to the 1997 Census of Services, had 2,327,000 employees. If only ten percent of these jobs could be moved overseas, that would account for 230,000 workers. What if more radical estimates, such as 30 to 50 percent, were achievable? Then, as many as one million jobs would be moved. Note the cost driver as well: The lower-level employees in the claims processing industry are not well paid in the United States. For example, the beginning salary for a State Farm claims adjuster in 2000 was $1,500 per month. In India, the same person would receive no more than $300 per month. The implication of this is that it is not just the technology-intensive jobs that may move offshore. The risk of lower-paid work moving offshore

is that the displaced workers are much more constrained by capability and location — often such work is fulfilled in small towns—and may have no alternative occupations to move into.

A major force driving the offshoring of business processes is the profitability crisis that U.S. and European enterprises are currently experiencing. Overcapacity in nearly every industry is putting intense pricing pressure on nearly all firms. With revenues largely stagnant for the last three years, firms are under intense pressure to cut costs while retaining service levels. Automation has been one response, but many "routine" activities are not sufficiently routinized to be automated, so human intervention is still necessary. Recently, the pressure has even convinced firms that moving mission-critical, time-sensitive processes offshore can improve their performance, despite the higher risks of operating in a developing country.

Building on Prior Patterns

The segmentation of service processes and the relocation of parts of these processes to lower-income nations began much earlier in the globalization of manufacturing. But until recently, this globalization typically referred to the provision of services by giant multinational firms operating in nearly every nation. The range of such global service providers is impressive, led by large banks and insurance companies, but also law firms, accountants, executive search firms, and the like. These service firms perform activities for the local market and remain representative of the classic form of services globalization. In this case, globalization was an outcome of the need to support customers wherever they might be located, and resulted in only a rudimentary division of labor, such as between branch and headquarters.

Goldman Sachs, for example, might locate its strategist for Japan in Japan because such a person would need local information, networks and other resources to function. During this phase, service activities were normally not decomposed into separable and movable processes, nor were segments of a particular service concentrated into a few localities. This simple form of globalization was not intended to create a value chain composed of discrete activities that could be parsed and allocated to operations in different countries. Thus, it did not mimic what was happening in manufacturing, in which geographical de-integration of the value chain was the norm.

Today, nearly every manufacturing industry has a part of its value chain located overseas. But, until recently, globalization included few service activities. The relative fixed nature of services was due to a variety of factors. First, the information to be analyzed had to be encoded and then stored. Its transportation created logistical and security difficulties. Second, transportation and telecommunications were then significantly more expensive. Finally, only three decades ago there was a lack of infrastructure in lower-wage nations. The incentives to look abroad were indeed few.

Business development manager Syed Atiq inspects a Internet Protocol (IP) phone system at an exhibition that is part of a business conference on outsourcing in India.

Of course, the relocation of service activities has a prior history. But the earlier relocation of business processes was intra-national. For example, call centers were relocated from high-cost cities to lower-cost small towns, and then to rural locations. Prior efforts to reduce wage costs for back office business processes saw firms move such operations to smaller Midwestern towns where accents were neutral, education was adequate, labor costs were lower, and at that time, the labor was relatively more reliable. When the low-cost land and labor costs were totaled, the cost savings were likely in the 20 to 30 percent range. Nonetheless, labor pools were shallow, which limited the scale of operations.

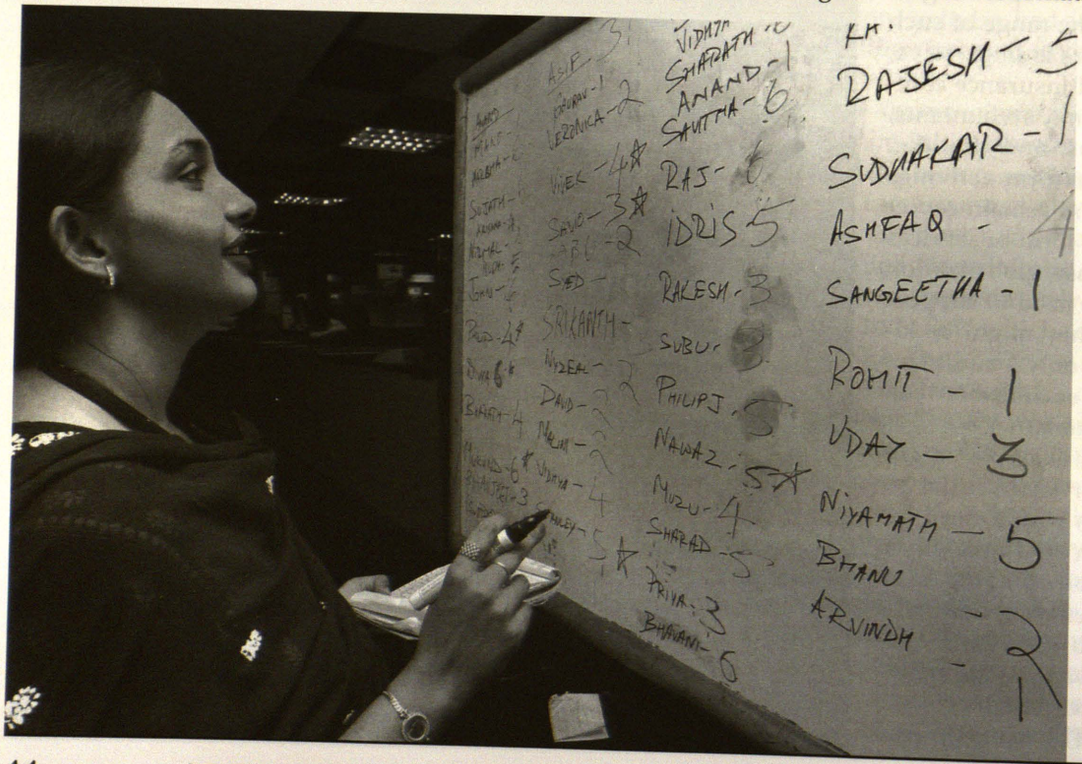
From this perspective, the relocation of such work to other countries was an extension of a process already under way, as firms sought to cut costs further, and to leverage technical developments that loosened geographical constraints. Reducing the physical and technical constraints meant that variables such as factor costs and skill availability increasingly became the determinants of where service activities were undertaken.

Indian employees of a 24 hour call center monitor incoming calls in Bangalore. Global firms are drawn to talented, English-speaking, affordable labor in Indian cities such as Bangalore, Hyderabad and New Delhi.

Why Globalize and Why India?

In choosing which processes to undertake offshore, it might be thought that the simplest processes would tend to be offshored first, since the skills for undertaking more complex processes might take longer to learn. However, the initial transfer might be only the first stage in the absorption of an entire chain of activities. In insurance claims, for example, the Indian operation might begin by simply keying in information from a digitized "picture" of the claim into a standard form. Later, though, it might be possible to transfer some of the firm's investigation and valuation activities to the Indian operation. With experience, Indian accountants or engineers can be trained to determine fraud or exaggeration, or at least flag unusual claims. Here, the Indian employees would make decisions requiring greater judgment, which would have a greater impact on the firm's bottom line.

Business processes offshoring directly targets staff, particularly those who perform back-office and administrative functions. The staff functions within a firm are an assortment of different activities: marketing, human resources, accounting, facilities management, purchasing, finance, customer relationship management and a plethora of others. In many firms, these activities can account for up to 15 to 20 percent of total costs and headcount.



The combination of low labor costs, project management skills and technological sophistication make India a particularly attractive candidate for overseas business processes offshoring. The genesis of relocating business processes to India can be traced to India's emergence in the mid-1980s as an offshore site for software production. By the late 1990s, India had become a leading supplier of contract software programming due to its combination of skilled, low-cost manpower and project management skills.

Indian labor costs are significantly lower than those in developed nations. For example, a well-trained CPA in the United States earns at least $75,000 a year, while a GAAP-certified account resident in India typically earns $15,000 a year. The differential for less-skilled workers is even greater, as the Indian wage rate for entry-level call center employees in metro areas is $2,400 a year. Moreover, these jobs are attractive and sought after in India.

Table 1: Cost Comparison between a Call Center Operated in Mumbai, India and Kansas City, 2002

	Amortized Equipment Cost ($/hour)	Other costs ($/hour)	Labor ($/hour)	Profit (20 percent mark-up in U.S., 100 percent in India)	Cost to Client ($/hour)
Kansas City	0.25	0.14	10.00	$2.08	12.47
Mumbai	0.35	0.21	1.50	2.06	4.12

Labor cost differentials are not the only difference. In the United States, call centers have been relocated to areas where labor costs are low, which are most often rural. There, they are limited by labor shortages, high attrition rates and relatively poor education levels. In contrast, Indian cities like Mumbai or Bangalore offer access to enormous pools of potential employees and have the complementary urban services that permit the establishment of operations employing thousands. The call centers in India we visited in the course of our research varied in magnitude, but the median size was 1,000 employees. The average size in the United States is under 400, and many are between 150 and 300 employees.

To date, the firms that have most aggressively offshored work to India have been in the healthcare, banking, technology and insurance sectors. The business processes these firms have outsourced include medical transcription, call centers, accounting, and claims processing. But more complex processes, such as the preparation of receivables statements and managing collections, have also proven amenable to transfer. The next phase may include linking an organization with customers, suppliers, or supporting producers or developing expertise to allow for business process reengineering.

What if India were to parallel the importance China has achieved as a manufacturing destination? India's potential benefits could be significant: as of now, only 80 U.S. firms (almost all in the Fortune 500) have offshored business processes outsourcing work to India. In our recent interviews with multinational companies already operating in India, on average they predicted their employment would double during the next twelve months. The relocation of business processes to India and other countries currently occurs through a variety of organizational forms, ranging from captives to independent firms, both domestic and international. Ultimately, the relocation of services could be as significant to the U.S. economy as was the relocation of manufacturing to East Asia.

For English-speaking developed nations, the job implications of what some observers call "lift and shift" during the next five to ten years are yet unclear — there will be some level of job loss, but the magnitude is not yet certain. The numbers could be very large. For example, a 2003 report by Deloitte Research estimates that two million jobs (of which 851,000 will be from the United States) from the largest one hundred global financial institutions will be moved to India by 2008. Every major firm in the world has large numbers of employees discharging routine back office work — tasks that do not need to be located in developed countries.

On the other hand, the intrinsically high difficulty of moving complex, interactive services offshore may pose natural limits to offshoring. Dell Computers,

"Though moving service activities offshore is not entirely new, the pace has quickened of late."

"A major force driving the offshoring of business processes is the profitability crisis that U.S. and European enterprises are currently experiencing."

for example, recently relocated some technical support work back to the U.S. from India for quality reasons, although the firm noted that it still expected growth in its Indian support operations.

Good for America, Too?

The size of the potential movement of service jobs offshore should be great concern to policymakers. But size is only one concern — another issue is the rapidity with which it might occur. Manufacturing's movement offshore occurred gradually, a migration that has been under way since at least the early 1960s. Though punctuated by dramatic factory closings, there was ample opportunity for the U.S. economy to adjust. This may not be true in services where the "objects" are pixels and electrons, easily converted and transmitted by photons or radio waves.

It is possible that during the next decade, the winds of globalization will sweep through the formerly cosseted ranks of white-collar workers. As enterprises seek to drive down their costs, a new round of globalization could take place, within which a complicated multinational chain for data capture and processing might emerge. The old image of the developed nations concentrating on information services, data processing and knowledge creation could give way to a world in which knowledge creation will become the critical factor—data and information will simply be commodities processed in Third World "factories."

Our results, combined with those of other scholars who are examining industrial globalization, provide grounds for further speculation. It appears developed nations will have to further increase their workers' creativity. For example, despite the fact that the world's athletic shoes are produced in low-wage environments, their design remains firmly rooted in developed nations. Even today, despite all of the electronics manufacturing located in developing nations, the bulk of the value-added design remains in the developed nations. Similarly, even if much of the animation for feature-length films relocates to India or the Philippines, the design and marketing of those films will remain firmly rooted in Hollywood. For consumers, it may become as routine for a U.S. customer to speak with an Indian customer representative as it is for a U.S. customer to ride in a taxi in Washington, D.C. driven by someone born overseas or to buy a toy at Wal-Mart made in China.

Overall, international trade has been an enormous benefit to the United States, and the continuing momentum toward ever less inhibited trade appears unstoppable. However, offshoring service could contribute to short-term U.S. unemployment problems, and possibly to deflation. The historical record shows that in the past, when manufacturing was moved offshore, the U.S. economy responded by creating new jobs. Should the offshoring of services grow as large as some believe it might, the U.S. economy's remarkable ability to create new jobs will be tested again.

There is another possibility, however. When contemplating offshoring, few recognize that these workers may also become consumers, and often they seek to emulate consumption patterns of their developed country counterparts. These Indian service workers could provide a market for U.S. consumer goods. Paradoxically, the more these workers are paid the less pressure there is on U.S. jobs and the more they can consume. Moreover, their workplaces use Dell personal computers, Cisco switches and Oracle databases that create a stronger export market for U.S. products. These same U.S. products often have high margins and employ highly-compensated workers.

In the future, it may be important for policymakers in developed and developing countries to consider increasing consumption opportunities in developing countries. For example, trade liberalizations and the creation of institutions and mechanisms to speed development in these countries would reduce wage arbitrage opportunities. Increased wages would create greater purchasing power in the developing nations, making them consumers of imported goods, thereby creating a positive feedback loop. Though it is unlikely that such a radical notion can yet be placed on the global agenda, current economic difficulties in the developed nations could alter present-day thinking and encourage interest in a more comprehensive solution. P

ENGINES OF CHANGE

The Growth Of Multinational Corporations

by Paul Bracken

Today, the business of the world is business. When President Calvin Coolidge said famously that "the business of America is business" he didn't anticipate the coming stock market collapse, the depression or the massive intervention into business by Franklin Roosevelt. Neither man could foresee the eventual spread of business around the globe.

Whether to save capitalism or replace it: the basic argument over political economy in the United States in the twentieth century was about government control of big business. Looking back, it is fair to say that Coolidge's vision of the future won out, but Roosevelt's was remembered. A balance was reached in the U.S., an outcome that limited government power when it came to control of the large corporation. As a result, the growth of big government didn't swallow private enterprise as many had feared. The corporation was far more resilient — and government practice far less competent — than most people imagined when the debate over the relative power of business and government was at its height.

This challenge is now just beginning in many places around the world. Three billion people have joined the capitalist system following the collapse of communism and the dismantling of protectionist regimes. But a new actor, absent from the American debate in the first half of the twentieth century, has emerged: the multinational corporation. Today, the multinational corporation is the most vital institution of economic development, social change, technology, and — let's face it — dynamism and new ideas. It is central to world economic development for these reasons. Some people may not like this. Yet even critics ought to acknowledge that the multinational is agile, innovative, and powerful. Studying globalization without the multinational corporation is like looking at the 2004 presidential election without taking the role of money into account.

An entity as complex as a multinational corporation can be examined in many different ways. Yet four dimensions capture the important features of the multinational corporation and define the agenda around which bargaining and debate will take place in the years ahead: how the multinational corporation interacts with globalization, how it advances economic development, why developing countries will get their own multinationals, and why the multinational corporation's political behavior is likely to increase.

Globalization and the Multinational Corporation

Given the many banalities of globalization, it is important to emphasize that the multinational corporation is not one of them. Globalization became a catch-all phrase in the early 1990s to describe the growing intensity of cross-border relations in many areas, economic, social, and political. It was thought to be a fundamental driver that would transform "everything," from human rights to arms control and economic development.

But it was the multinational corporation, more than governments or non-governmental organizations (NGOs), that advanced globalization by integrating cross-border processes within a single unit. It turned ideas about globalization into hard practices.

Wal-Mart, to take one of many possible examples, has gross revenues of $250 billion per year. Wal-Mart procures goods from around the world, buying $20 billion of merchandise each year from China alone. Massive information flows link headquarters in Arkansas to plants in China. With the use of data-mining to discover consumer tastes — orange sweaters are selling in Denver this week — orders to factories are rejiggered to catch the latest hot trend in the United States. The efficiency of this machine is nothing short of amazing, as anyone who shops at Wal-Mart can attest from the prices.

The single most important driver of globalization is the multinational corporation's efficient mastery of cross-border management. Absent this, there would be

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little new to distinguish globalization from earlier eras of international trade. There are vast consequences that follow from this, some intended and some not.

For example, the multinational corporation is changing consumer tastes around the globe. Potato chips in India, Pampers in Brazil, Coca Cola in China: the list goes on. Wal-Mart's purchasing in Asia is a significant factor behind China's massive population movement to the coast, as workers seek jobs and new opportunity. The social and political implications of these changes are enormous.

The multinational also has significantly altered the agenda of the nation-state, as countries focus on attracting foreign investment. Visitors to Indonesia, and most other developing countries, routinely hear from locals that the only thing worse than being exploited by a multinational is not being exploited by a multinational.

Today, the efficiency of goods production is being extended to services, deepening globalization. This has profound and, in some cases, upsetting implications. Software is written in Bangalore for American and European companies. Indian doctors read MRI medical tests. Computer help desks today are as likely to be in Asia as California. Some forecasts indicate that one in six U.S. IT jobs will soon be outsourced to Asia. Engineering work, management consulting, movie animation, architectural design and nearly every other profession is up for grabs as multinationals redesign work for a global marketplace.

In the United States and Europe, political counter-reactions to this trend are growing, with talk of anti-outsourcing legislation. One presidential candidate has even used the term "Benedict Arnold CEOs" to criticize American multinationals for moving U.S. jobs offshore. Indeed, any corporation is a creation of its national political and legal system. Yet many multinationals are so focused on narrow efficiency that they miss the overall picture of political forces building up that can materially affect them.

Outsourcing and job loss are not the only problems. Another important one is risk, which will be getting a lot more attention because the structure of global risk is changing. Consider that the largest banks like Citigroup, JPMorgan Chase, and Deutsche Bank today have assets in excess of $1 trillion. They combine investment, commercial, and private banking and link the advanced capitalist states with developing countries like Russia, China, Indonesia, and India, as well as problem-plagued banks in Japan.

What this leads to is a more complex environment where multinationals and governments each have to more carefully assess risks and weigh them against opportunities.

With its expansion to the Far East, Sam's Club has adapted to the tastes of Asian consumers while retaining its standardization.

A Learning Engine

The multinational corporation is the greatest learning engine in the history of the world. It is the principal way that developing capitalist nations learn technology and management.

Without multinational corporations, computer chips, automobiles, aerospace and pharmaceuticals would have eventually developed in the non-Western world. But they would not have developed nearly as quickly as they have. The multinational firm, with its focus on management, training and execution, has taken these industries and successfully transplanted them around the globe. Multinational corpora-

tions probably have accelerated national economic development by a factor of 100 beyond what a boot-strap approach of pulling a nation up through investments in human capital alone could do.

The multinational today is starting to have an impact on the fossilized educational establishments of many countries. In Thailand and Brazil, higher education has historically been insular and highly politicized, removed from the needs of the country. Past attempts at reform have proven hopeless. But the pressure of global competition is now leading them to modernize their educational establishments. Without trained workers, they cannot hope to reach their national growth ambitions, as multinationals will simply move their investments to places that have better educatedworkers and managers.

Government officials discuss the details of a deal between the U.S. and France to settle the conflict over the allegedly illegal takeover of a California insurance company by the French bank Credit Lyonnais.

The Rise of Non-Western Multinationals

The next few years will see a fascinating development. The multinational corporation was originally a Western invention. Japanese multinationals came on the scene in the 1960s and quickly took major markets away from the Americans and the Europeans in steel, autos, shipbuilding, and electronics. The Koreans followed in the 1970s as Samsung and Hyundai became household names.

The interesting feature here was the way Japanese and Korean firms brought diverse personalities to global business. The entire approach to quality and flexible production that is routine today would never have emerged from Detroit absent this competitive pressure. By doing things differently, these corporations did them better, and over time Western companies learned from this. The introduction of radically new personalities and new ways of doing things is about to grow to unprecedented levels as multinationals from China, Russia, India, Brazil and other countries become important forces.

Yet it is amazing how few non-Western multinationals there are if Japan and Korea are excluded. Among the world's 500 largest corporations, one has to go all the way down to Hong Kong-based China Mobile (the 66th largest in the world) for a firm based in a developing country. And Hong Kong is, of course, a special case. The largest companies based in truly developing economies are the Russian oil company Yukos (144th) and Telefonos de Mexico (156th). Among the 500 largest companies in the world, fewer than ten are in developing countries.

This sort of development is about to change. The formation of national corporate champions has a long history. National policies already in place in China, India and Russia are encouraging the formation of big businesses. In China it is computers and chips, in India it is IT, in Russia it is energy.

There are several reasons for the shift to big business. One is the need to compete against Western multinationals with the scale and scope that gives them their competitive advantage. Another is a growing techno-nationalism. High status attaches to having a GE, Microsoft or Siemens. Many developing countries see an important anti-colonial statement to be made by competing in the global big leagues with their own firms. They like the judo metaphor of learning from Western multinationals, then using this know-how to compete with them in the marketplace.

The different cultures of non-Western multinationals are likely to reshape global business even more than the Japanese and Koreans did. At the same time, a blending of Western and non-Western

"The multinational corporation is the greatest learning engine for technology and management in the history of the world."

cultures occurs inside the firm as people of diverse backgrounds work together. What may surprise some is that the multinational is a champion of diversity. Talent isn't confined to any one culture, and no one appreciates this better than the multinational corporation.

The Politics of Multinational Corporations

In the 1960s, the literature about multinationals focused on power. Observers saw corporations competing with the authority of the nation state. In the 1980s and 1990s, the focus shifted to efficiency. The multinational was an engine of productivity.

The focus is about to turn again. In their ideal world the multinational would like to be left alone to concentrate on what it does well: cross-border management. But this isn't going to happen. Whether it likes it or not the multinational corporation is a political actor. But for the past decade, its main focus has been on setting up and managing global supply chains. Now the scale of operations and their impact is so great that it spills over to the larger society.

Take oil politics in Russia. President Vladimir Putin has accused big oil companies there of avoiding billions of dollars in taxes. Further, he has said that oil companies like Yukos are "stealing" Russia's natural resources. The founder of Yukos and one of its largest shareholders have even been thrown in jail.

Of course, few companies in Russia pay taxes, so the charge looks to be politically motivated. The defenders of big oil in Russia argue that the drastic government response threatens to undermine all private enterprise. Some even charge that Putin wants to return Russia to its Communist past. The crisis casts a shadow over all foreign investment in Russia. Western companies do not want to be associated with corrupt firms, as the bad publicity can blow back on them in other places.

What is going on here? The struggle over Yukos makes no sense without political analysis. It is not about economic efficiency — a choice between different financing and production plans — even if it is often cast in these terms. The conflict can never be resolved in terms of economic efficiency. Rather, it is a question of "who gets what" — the definition of politics.

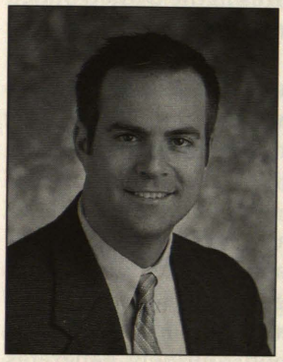
"Multinational corporations probably have accelerated national economic development by a factor of one hundred."

In different ways, this struggle is heating up all over the world. Capitalism's global expansion has created high levels of wealth. When the wealth was small, when foreign investments were just beginning, governments could look on the multinational as aiding development. As the payoffs become large and significant multinational investment is in place, the power balance shifts. Without a doubt, governments still want development. But they also want their share. Each society has to work out an answer as to who gets what, just as the United States did in the first half of the twentieth century. It promises to be a fascinating struggle.

One consequence of this struggle is that the multinational itself needs to get better at political analysis. The trends discussed earlier mean that poorly structured uncertainties in the global environment are increasing. In the new environment, agility is key, and this means making decisions based on good political insight. In recent years, leadership of the multinational firm has been more focused on specialized management of global supply chains. New political assessment abilities are needed today.

Saying that the multinational corporation needs to get better at political analysis simply means that better navigation skills around crises and toward opportunities are needed. Whether it is called scanning of the strategic environment of management, net assessment or political risk analysis doesn't matter very much. People often treat political analysis as if it had some mysterious quality to it. Actually, it is fairly straightforward. Identifying the key actors and spelling out their interests is the first step. Next comes understanding the most important sources of uncertainty, quantifying these if possible, and assessing their costs.

The environment of the multinational corporation is much more complex today than ever before. But this form of human endeavor has proven itself to be agile and nimble. The upside opportunities from multinational operations are growing, as are the complexities. Both the complexities and opportunities are less structured than in the past, and now fresh skills are required to plot a course through the new surroundings. P



THE STEALTH TRADE WAR

Antidumping and Its Effects on U.S.-China Relations

by Dan Ikenson

A prolonged period of job attrition in the manufacturing sector and the dawn of a new election season have conspired to generate a ferocious strain of anti-trade rhetoric. While nonpartisan experts overwhelmingly attribute job losses to structural changes caused by previous investments and productivity gains throughout manufacturing, admitting such would be a demagogic opportunity squandered.

Most of the Democratic presidential aspirants decry trade agreements as corporate scams that line the pocket of rich executives while hollowing out America's manufacturing base. The lightning rod for this animus has been China, with its $100 billion bilateral trade surplus and allegedly undervalued currency. Calls for trade restrictions against Chinese products to retaliate for its unfair practices are en vogue on the campaign trail and on Capitol Hill, where legislation to impose a 27.5 percent across-the-board tariff on Chinese products was recently proposed by Sen. Charles Schumer (D-N.Y.). But the fact is that in contrast to the growing portfolio of U.S. noncompliance with adverse WTO rulings, China has yet to be a defendant in the WTO dispute settlement system. That fact speaks volumes to the question of which country is truly violating the rules.

In response to this rising chorus of China-bashing, the Bush administration announced plans in November 2003 to cap imports of Chinese brassieres, nightgowns and knit fabrics. Days later, China cancelled plans, announced just weeks earlier, to make big purchases of U.S. agricultural products. Some worry that heated rhetoric and tit-for-tat behavior may mark the beginning of a trade war. These observers may be surprised to know that a trade war with China has been going on for years, and the United States has been firing almost all the shots. Its weapon of choice: the obscure but highly protectionist antidumping laws.

Currently, the United States maintains 54 (out of 288 overall) antidumping measures against products from China. In 2003, new cases against China were initiated at the brisk pace of one per month. These actions, which result in additional and often trade-halting duties at the U.S. border, hit consumer products like honey, apple juice concentrate, mushrooms and pencils. But more typically they cover raw materials like creatine monohydrate, polyvinyl alcohol, barium carbonate and ferrovanadium, inputs used by U.S. manufacturers to produce value-added products. In other words, antidumping duties raise both producer costs and consumer prices in the United States.

Supporters contend that the antidumping law is necessary to ensure "fair trade" and to "level the playing field." The ability of foreign producers to sell products in the United States at prices lower than those they charge at home, or at prices below the full cost of production, could be the result of foreign government policies — like high tariffs, weak bankruptcy rules, failure to enforce anti-competition laws, etc. — that distort competitive conditions in that market, allowing certain producers to reap supernormal profits with which they can cross-subsidize cheap exports. But this claim is dubious at best.

U.S. antidumping determination methodology does not even include an investigation into whether any of these presumed market-distorting policies exist. Instead, the U.S. Department of Commerce interprets any price differences as compelling evidence of the existence of foreign market distorting policies. There is no mechanism whatsoever for exempting the cases where price differences have perfectly legitimate commercial explanations.

In many industries, price discrimination and selling below cost are rational responses to competition. It is often a rational strategy to charge lower prices as an entrant or a relative unknown in a particular market segment. A company well entrenched in California may not command a price premium in New York, where it is relatively unknown, and accordingly charges lower prices there. There is nothing illegitimate or unfair about

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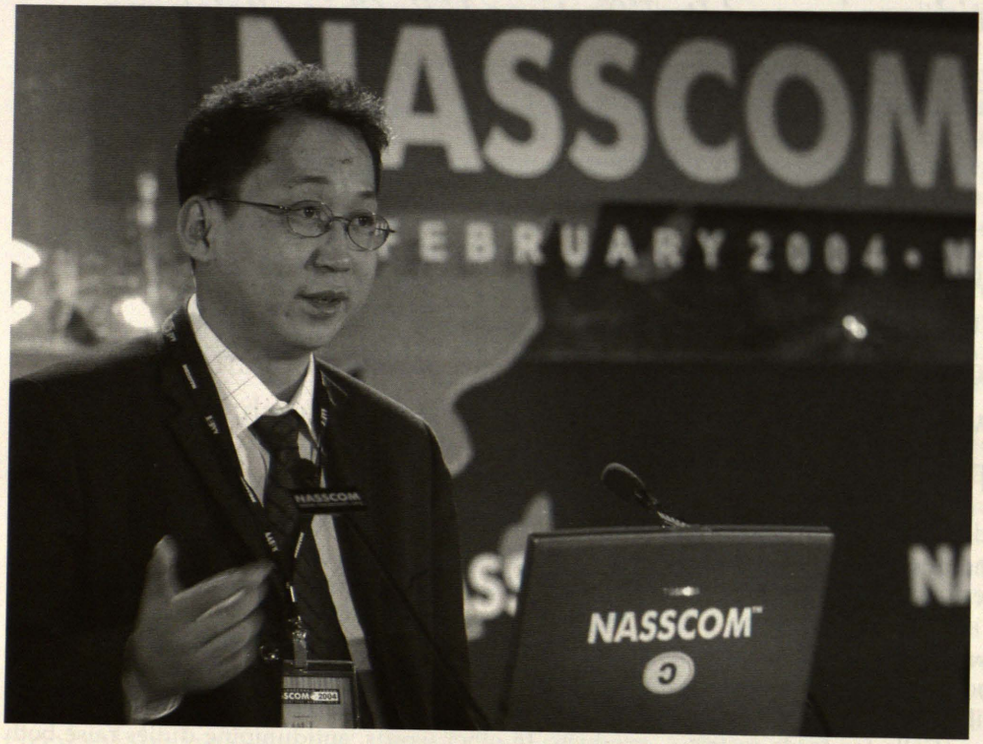
Chinese companies are aggressively marketing and launching new products in the United States.



that. Likewise, selling below cost is often the profit-maximizing alternative to not selling at all. Companies do it all the time. Just look at the list of businesses reporting red ink in any given quarter.

But in an international context, the rules are somehow different. "Where there's smoke, there's fire," as one Commerce Department official offered as justification for inferring market distortion from the existence of price differences. Accordingly, antidumping calculation methodology is entirely divorced from its theoretical justification. Yet the collateral damage from years of overzealous antidumping administration is quite real — and staggering.

Still, even if good-faith efforts were undertaken to minimize the collateral damage by examining underlying home market conditions, the actual calculation of dumping margins is rigged in the direction of yielding higher rates. When calculating dumping margins, the Commerce Department compares average prices of sales in the United States to only a select group of home market sales — those that are priced higher than the cost of production, which are by definition a higher-priced subset of sales.

In Chinese cases, the standards are even more absurd. If Chinese exporters are selling at prices in the United States that are lower than some arbitrary benchmark — a figure concocted by valuing Chinese production inputs like labor, materials and energy at the prices prevailing in some third country like India or Indonesia and then adding a fictional amount for imaginary profit — affirmative dumping margins are made. This so-called non-market economy method routinely generates triple-digit antidumping duties.

During the same week as the Administration's textile announcement, the Commerce Department levied antidumping duties on Chinese color television receivers ranging from 28 to 78 percent. In the 12-month period leading up to the initiation of this case, imports of color television receivers from China totaled $245 million. While this amounts to only about half of the value of the affected textile products (2002 imports of bras, nightgowns and knit fabric from China amounted to $443 million), the televisions case will have a more adverse effect on Chinese exporters and U.S. consumers.

The recent textile action aims only to restrain the rate of import growth. By contrast, the evidence shows that once an antidumping order is applied, trade drops off considerably. In 2001, antidumping duties ranging from 26 to 184 percent were slapped on Chinese honey. Import value from China subsequently declined by 65 percent, from $22.3 million in the year prior to the order to $7.7 million in the year following. In a case involving foundry coke, a product used in steel production, antidumping duties ranging from 49 to 215 percent were applied in 2001. Subsequently, imports from China declined by 79 percent from $4.1 million in 2000 to $885,000 in 2002. Another 2001 order against steel concrete reinforcing bars from China caused imports to decline from $31 million in 2000 to just $10,241 in 2002—a drop of 99.9 percent.

In less than four months, the United States has announced new antidump-

"After the administration's textile announcement, the Commerce Department levied antidumping duties on Chinese color television receivers ranging from 28 to 78 percent."

ing restrictions against five different products from China. It has also initiated four new antidumping investigations over this period. Among those recent initiations is a case concerning bedroom furniture, which might just be the powder keg that inspires an escalation in this heretofore one-sided war.

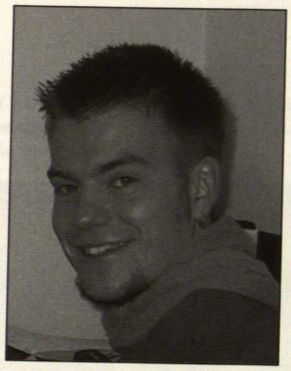
While antidumping protectionism operates with relative stealth in the United States, the Chinese are well aware of the menace. One Chinese industry after another has fallen victim to rampant, indiscriminant antidumping abuse. In the furniture case, many of the U.S. companies supporting the antidumping petition are also major importers of Chinese furniture themselves. While the seeming irrationality of such support by companies that are themselves importers can be attributed to a confluence of factors, including the prospect of entitlement to the collected duties under the so-called Byrd Amendment, the Chinese business community and government are justifiably outraged by this underhanded tactic.

Over the past couple of years, China revamped its own antidumping regulations. As a WTO member, China is just as entitled to use antidumping measures as any other member. Thus far, it has been relatively restrained in using that weapon. But much to the chagrin of the U.S., this may soon change.

As the world's fastest growing economy, responsible in large part for the economic recovery underway in Asia, China could exert some of its enormous and growing leverage. While U.S. policymakers decry the Chinese bogeyman and advocate restraints on products from China, exporters around the world are taking note of China's preeminent role in the economic recovery taking shape across the globe. Chinese demand for raw materials and finished products has been setting records, and is forecast to be torrid in 2004. Accordingly, exporters do not want to be shut off from this explosive growth. While business interests in Asia and Europe hail China's rise as a significant channel of growth and attempt to nurture growing business openings, U.S. policy is working to undermine prospects for its own exporters.

As Chinese calls for antidumping reform and restraint have gone largely unheeded by the United States, the next move may be for China to launch of few of its own cases against U.S. exporters. At that point, the current, one-sided trade war may experience a nasty and dangerous escalation. P

Atop a commercial bank in Shanghai, this globe is intended to signify how China's importance in the international economy has led to efforts combine tradition with modernity.



SIZZLE OR FIZZLE?

Assessing the Economic Future of the European Union

by Jan Rettel

For many, the European Union is a mystery. It is guided by treaties few understand, and its decision-making bodies are only remotely in contact with the population affected by its decisions. Often, it is without clear direction, as member countries with differing interests struggle to find consensus.

Yet, the union has more than merely persevered for almost half a century: it has grown into a respectable economic and political unit. Though it has suffered setbacks, it is preparing to grow further and currently finds itself at a pivotal stage.

The past year did not give the European economists much reason to rejoice. While the world economy showed signs of recovery from the setbacks of terrorist attacks and the war on Iraq, the European economy continued to lag behind. The statistics for the last quarter of 2003 have not been released yet, but IMF forecasts assume that the world real GDP grew by 3.2 percent. According to Eurostat, the United States GDP grew around 3 percent, Japan saw a healthy 2.6 percent increase and China's economy soared by 8 percent in the same period.

Compared to these numbers, the 0.6 percent growth within the 15 countries constituting the European Union presents only a slight recovery. Among EU members, Greece (with 4.1 percent growth) and Spain (2.1 percent growth) — which receive most of the union's subsidies — were the front-runners. Heavyweights Germany (-0.1 percent) and France (0.1 percent) struggled the most, and due to their relative size, bogged down the growth of the entire European Union.

Two main factors hindered a more positive development. First, the war on Iraq and impending major reforms in the union's largest countries, Germany and France, provided a risky environment for investors. As a result, investments stagnated. Secondly, foreign demand slumped in the first two quarters of 2003, mainly due to a deceleration in world trade. While exports increased in the last two quarters, they could not offset the previous losses.

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In 2001, the U.S. economy overcame recession primarily because increased domestic demand provided a strong enough economic stimulus. The European Union failed to generate a similar internal growth spur and was instead dependent on exports as a motor of growth during its period of stagnation. The drastic appreciation of the Euro is particularly problematic in this context. It results in higher prices for goods exported from the Euro zone — meaning that the full potential for growth created by increasing foreign demand cannot be realized.

Studies suggest that Europe's future looks slightly brighter, but that structural problems will prohibit growth rates comparable to the United States. Overall, the European economy should see an increase of roughly 2 percent for both 2004 and 2005, thanks to an expected recovery in Germany and France. Yet the United States is predicted to grow at a significantly faster rate of 3.5 percent. This discrepancy should be alarming. It reveals how far away the Union is from achieving the goals of it set out in its agenda for economic growth, the Lisbon Strategy.

Back in 2000, the European Union framed this ambitious roadmap, demanding that the union should be the world's most dynamic, competitive and knowledge-based economy by 2010. But the four years following the drafting of the Lisbon Strategy have been of limited success. While major unforeseen events on the global scene provided obstacles, this cannot count as the sole excuse since other countries recovered far quicker. And in the years up until 2010, major challenges lie ahead.

The Challenge of Social Reforms

As role models for many of their fellow nations in the European Union, the driving forces of Germany and France face their own difficulties in implementing hard-to-sell social reforms. Over the recent decades, the demographics of those countries have created an increasingly older society. Extensive public health care services,

relative peace and a high standard of living have considerably increased the life expectancy of French and German citizens. Paired with a decrease in birth rates this development is in the process of turning the age pyramid upside down, thereby creating two problems.

The same public health care systems that helped increase life expectancy are now suffering from these demographic changes due to staggering deficits. Simply put, as people live longer and demand more treatment, the level of public health care simply cannot be upheld. Germany has recently implemented a reform negotiated by the Social Democratic government and its Christian Democratic and Christian Social Party opposition which addresses this issue by placing a greater burden on individual patients. France plans to put similar reforms into legislation in June, and a government-commissioned report published several weeks ago stressed the urgency of policies that increase the financial responsibility borne by patients.

The graying population brings up a second issue, as well: pension reforms. Like other E.U. members (and the United States), Germany and France rely on pay-as-you-go systems — meaning that the working population pays for pensions paid out to the retired. With post-retirement lifetime increasing and the young working population shrinking, the collapse of the system is increasingly likely. In France, reforms lowering the level of retirement payments have been put into place, but they have been limited because politicians feared raising too much public opposition. Indeed, the French government provoked massive strikes when first details of the reform were announced.

Thus, raising the retirement age — a step considered by many experts as necessary for a lasting solution to the fiscal challenges faced by France and Germany — has not been implemented in either country. Similarly, as German Chancellor Gerhard Schroeder faces all-time low approval ratings, a long-planned reform of the nursing care insurance system has been halted. Despite the urgency of slimming social welfare systems that are no longer affordable, Europe's leaders have found it difficult to communicate this necessity to the population.

Thousands of people took to the streets of Paris in June 2003 to support the French government's reforms on pensions and education. Last summer, France was shaken by weeks of nationwide strikes following the government's pensions reform.

Expansion and the European Union

Even with these existing challenges, the European Union is also embarking on a new adventure that presents its own risks, as it welcomes 10 new countries to its existing club of 15 members. Eight of them are Eastern European countries that converted to a capitalist market system after the fall of the Soviet Union (Estonia, Latvia, Lithuania, Poland, Hungary, Czech Republic, Slovakia and Slovenia) and two are small Mediterranean Islands (Malta, Cyprus). It will be the first addition to the union since Sweden, Austria and Finland joined in 1995.

The new countries will add 75 million people, representing 18 percent of the population of the new 25-member European Union. But the combined GDP of the new members will only account for 8 percent of the new union's $10 trillion economy. The fact that the income per capita of the acceding countries reaches only 45 percent of the level attained by the E.U.'s current members raises the question of how beneficial this addition is for the old member states.

"The graying population in Europe brings up another issue, that of pension reforms."

"Europe's future looks slightly brighter, but structural problems will prohibit growth rates comparable to the U.S."

Without a doubt, the addition will be very costly at first for the existing members of the European Union. The 10 new members will receive EUR 40.8 billion in funds over the next three years, according to an agreement reached at the 2002 summit in Copenhagen. Most of it will be spent on infrastructure and farming, in order to raise the new economies' standards. During the same time, however, the new members will contribute only EUR 13.3 billion to Brussels's household.

On the one hand, this worries Spain, Portugal, Ireland and Greece, which are all net receivers within the European Union (i.e., they receive more subsidies from the E.U. than they pay in dues). As subsidies shift eastwards, these existing members will receive less.

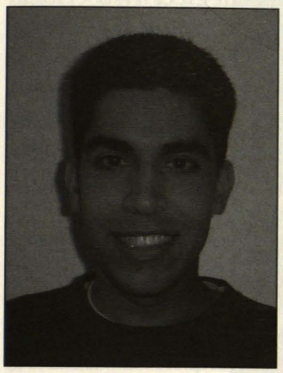
On the other hand, the net payers within the European Union likewise bemoan their own disadvantages. Due to the way the E.U. allocates its money, their net contributions go up with expansion. It therefore should not come as a surprise that the net payers are trying to limit their annual payments to their neighbors. The six biggest contributors to E.U. coffers recently issued a letter asking Brussels to cap a country's contribution at 1 percent of its GDP — even though Romano Prodi, president of the European Commission, had previously indicated that the E.U. might raise fees to as much as 1.24 percent in an effort to meet the goals of the Lisbon Strategy. With additional members and more diversified interests, expansion will not make a consensus any easier to reach.

But the enlargement would have positive aspects, as well. The economies of the 10 new members are expected to grow at twice the rate of the existing members. Although this growth will only have a marginal impact on the European Union at large, a survey among 315 international business executives by the Economist Intelligence Unit shows that 91 percent expect favorable results in the process and 58 percent see new business opportunities opening up in the new markets. It is difficult to estimate how these opportunities will affect corporations or economic growth in the nations that currently comprise the European Union. The short-term gains of the extension might turn out to be slim, but according to the classic economic theory of comparative advantage, expanding the free trade zone within Europe should ultimately benefit all of its member states.

It seems that while the enlargement of the European Union is a noble step towards a vision of a reunified Europe and a wise long-term economic strategy, the immediate advantages are clearly on the side of the acceding countries. The average productivity within the union will initially drop with the addition of weaker economies, and the E.U. economy as a whole will become less balanced due to large differences in development between the regions. Indeed, it will take decades to close these gaps. When E.U. Enlargement Commissioner Guenter Verheugen recently stated that the E.U. would not be ready to take the 10 new members this year, he received sharp criticism for his remarks. Yet he was not wrong — it is simply a matter of differentiating between short-term and long-term goals.

Clearly, the addition of new members, slated for May 1 of this year, will make the Lisbon goals almost impossible to achieve. They might accelerate the pace of growth marginally, thus contributing towards the aim of increasing dynamism by 2010. But the other main targets of the strategy — increased competitiveness and improved knowledge-based production — are obviously out of reach within a six-year timetable, as the needed investments in education and technology only grow with the addition of less developed economies. In addition, the potential difficulties posed by integration need to be taken into account. On the corporate level, many companies struggle for a while after big mergers as they try to integrate their structures. It would be surprising if the same did not hold true for mergers among economies.

With E.U. enlargement already under way and little success among national politicians in addressing pressing social reforms, achieving the ambitious goals of the Lisbon Strategy by 2010 seems unlikely. However, the simple fact that these goals have been set has spurred some vitality within the union, and the goals are certainly steps into the right direction. Whether the European Union will ever assume the role of the leading world economy remains questionable, but recent developments indicate that the trading bloc is committed to expanding its frontiers and vision in the years ahead.



BRING BACK ROTC

Why Yale Should Put Country above Campus Politics

by Alnawaz Jiwa

It is a sorry state of affairs when one must apologize for being patriotic. I find it alarming that students will turn on national symbols and the proud history of the United States merely to achieve transient shock value points in the ongoing political debate. Political dialogue on the Yale campus appears to have become a battle of extremes: the right and the left, usually unwilling even to discuss the possibility of a common ground, instead turn to pejoratives and barbs. The decision of students to assemble on Cross Campus last year and wash "soiled" American flags as a means of protest against the Bush administration strikes me as emblematic of this malaise. The lack of constructive, organized discussion between Republicans and Democrats has led to a polarized environment in which extremists, by and large leftists on this campus, can turn campus politics into a childish shouting match. Democrats and Republicans will always disagree on many fundamental issues, but these disagreements do not preclude any chance of cooperation. Indeed, the efforts by students to bring the Reserve Officer Training Corps (ROTC) program back to Yale should be supported by both liberals and conservatives. The right for students to join the ROTC program on campus should be fought for regardless of political affiliation. Most significantly, a bipartisan effort calling for the return of ROTC would reinvigorate the forums for constructive political dialogue on this campus. Rather than catering to the fringes, ROTC can serve as the first step toward developing a positive and productive mechanism for the exchange of ideas.

Yale was once renowned for a remarkably strong relationship with the United States Armed Forces. The Woolsey Rotunda lists the names of those who died serving America in the conflicts of the last three centuries; the commitment of the University and of Yale students to defending the rights of our allies was nothing short of astounding. Yale's participation with on-campus military training programs began in 1915: When given the opportunity to enlist in "Yale Batteries" of the Connecticut National Guard, 1,000 students enlisted with the blessing of the University. This sentiment was echoed by Yale President Charles Seymour at the onset of World War II: "the justification of a university is to be found in the service which it gives to the nation." Seymour was resolute that "for the immediate future and, in my opinion, for years to come, we must all of us, students and professors, recognize that whatever demands the necessities of national defense lay upon us, they are paramount." Such sentiments are in dramatic contrast to the rhetoric of students and faculty (under the banner of Students for a Democratic Society) employed in anti-ROTC protests during the late 1960s. By pressuring the Yale administration, reforms were enacted in 1969 which made it impossible for ROTC to continue on campus. While the Armed Forces acquiesced to nearly all of the new Yale requirements, the Army could not submit to the demand that a student should be able to resign with an Honorable Discharge Certificate at any time prior to graduation (a direct violation of Army Regulation 145-1), and the Navy could not accept Yale's decision refusing to grant credit for required military science courses. By 1971, both programs were slated to be phased out and have not returned since.

Beginning in February, the Yale College Republicans launched a campaign to "Bring ROTC back to Yale." Currently, students are forced to travel from Yale to the University of Connecticut or Sacred Heart University in order to fulfill the class and training requirements of ROTC. While a small number of students are willing to undertake the significant time, travel and workload required to enlist in this program, dozens more would be

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willing to serve their country if the opportunity were presented on the Yale campus itself. The campaign to bring back ROTC is relatively straightforward: students are encouraged to call for the administration to end a policy of discrimination against the military held over since the Vietnam era. Yale prides itself on being an institution that promotes open-mindedness and individual academic freedom. Restricting the right of an individual to serve his or her country is a direct affront to this principle. The policy instituted in 1971 should seem illogical to current students: instead of reducing the ability of individuals to support our Armed Forces, we should be providing every opportunity for them to serve their country.

The case for bringing ROTC back centers around the rights of choice and free association possessed by each student. If consenting individuals choose to join an Officer Training Program at Yale, why should the university discourage them in their efforts? It must also be recognized that ROTC is fundamentally different from other organizations or groups which might be deemed controversial by university administrators. The Armed Forces are integral to the survival and continued protection of our nation. The military, our individual liberties and our security should not pay the price for petty politics.

Further opposition to ROTC being brought back to the Yale campus stems from the current policy of "Don't ask, don't tell" concerning gays in the military. But opponents of ROTC neglect two critical points undermining the legitimacy of their case. First, the best way to achieve the desired policy changes is to work within the current structure as opposed to working from outside it. By ending restrictions on ROTC at Yale and allowing more Yale students to fulfill necessary training requirements, we will be developing the progressive leaders crucial for any sweeping changes of military personnel policies. Second, the Armed Forces are not merely another "organization"; the responsibilities given to the military necessitate special attention be afforded to them. As individuals who reap the fruits of their sacrifice, it should be our duty to ensure their continued longevity and strength by whatever means we can.

While the Republican Party has traditionally called for increased military spending and greater attention to our Armed Forces, the vast majority of Democrats will take objection to any notion that they are

"anti-military" or weak on national security. Why, then, should they be afraid to stand up for our shared values in this campaign? Perhaps the political situation on campus has deteriorated to such an extent that calls for "bipartisanship" are written off as ploys to weaken the other side.

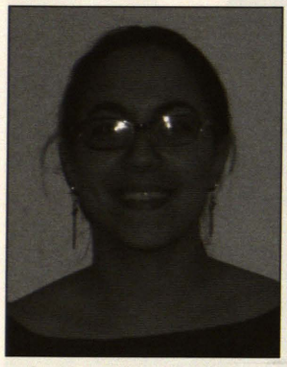
The confines of extremism are indeed warm and comforting. By refusing to join together for goals which should be shared regardless of political affiliation, we are merely reinforcing a political culture that marginalizes any movement toward objective, overall progress. Leftists must realize that reform is not always a zero sum game. To say that every Republican gain entails a Democratic loss is absurd, yet this is the very mindset which seems to be held by political activists on the Yale campus. By recognizing what we have in common while still respecting our differences, we can accomplish substantial improvement in our shared environment. ROTC represents an opportunity to create a healthier, more constructive means of political exchange on the Yale campus. How are we to establish a credible dialogue between Republicans and Democrats when individuals obstinately stand behind arbitrary lines?

Naturally, there are those who detest any sort of compromise. These are the students who currently control the terms of debate on the campus political scene. The absence of movement toward moderation by the major political groups at Yale has yielded a situation where ideas and proposals are automatically discounted based on where they originate. Despite the common values shared by the right and the left on a variety of issues, a "Republican" proposal immediately elicits a visceral response from many liberals. I find this polarization deplorable; the Yale community should strive towards open-mindedness, not foster the continued fractionalization of the political spectrum. A campaign to bring back ROTC provides the perfect opportunity to put our ideals into practice.

Bringing back the ROTC should enjoy broad-based support among students. Indeed, productive political dialogue can only occur when we support common principles and use this foundation as the basis for future discussion and debate. If we oppose each other simply because of "politics," we restrict ourselves to employing offensive "shock value" displays as the primary means of encouraging political literacy. Both Republicans and Democrats should find this regression unacceptable. I extend the open hand of the College Republicans toward liberals on campus. By working to bring ROTC back to Yale, we will not only signal our respect for the military and for individual Yale students, but we will also demonstrate our collective commitment to reconstructing the face of politics on the University campus.

The ROTC Color Guard of Santa Ana High School in Santa Ana, Calif., salutes President George W. Bush.

"I extend the open hand of the College Republicans toward liberals on campus."



WOMEN UNDER FIRE

Does Our Forty-third President Allow Religion to Govern?

by Andrea Halim

During President Bush's first working day in office, he banned the use of federal funding for international organizations that perform or support abortions. This lack of respect for reproductive freedom on the part of the Bush administration was soon to endanger women's rights both domestically and internationally. Bush's stance on abortion is not an isolated example of our president's disregard for women's rights. His contempt encompasses a larger social plan which has repeatedly threatened women. Other examples include the administration's condemnation of contraception, Bush's marriage initiative, and his moves to reduce women's political equality. His policies have not only right-wing politics at heart, but fundamental religious views as well. It is critical that the line between church and state not grow any more blurred. The separation of religious and governmental institutions must be defended now, before one of the major tenets of our democracy is destroyed.

One of the most obvious and frightening attacks on women's rights is Bush's interference with reproductive freedom. The ability to choose when and where to have children is absolutely crucial to a woman's liberty. The impact of reproductive freedom resounds in society, as women now have infinitely more flexibility when choosing education, a career and whether and who they want to marry than they did in the not-so-distant past. A 16-year-old girl no longer must drop out of high school because she needs to get a job to support a baby. An unmarried woman struggling to support herself can end an unwanted pregnancy, thus avoiding the heavy burden and financial cost associated with bringing up a child. Independence is an integral part of our culture, and independence in the form of the ability to choose to have children cannot be taken for granted.

Women must not be made slaves to their bodies, and the right to legal abortion keeps them from becoming such. *Roe v. Wade* was a turning point for the women in our country, enabling them to have greater control over their lives as well as their position in society. Traditionally, those in opposition to abortion have held such a stance because of personal religious or moral beliefs. I believe that President Bush is among those enemies of choice who are motivated by their religion, and this is a position which must not be tolerated in a government that claims it is free from religious bias.

Bush's most recent attack on the decision made in *Roe v. Wade* was his partial-birth abortion ban, signed in November of 2003. The same president that claimed to protect human rights in Afghanistan and Iraq struck a blow against women's rights in our own country. Unlike former President Bill Clinton, who was also presented with the bill, Bush signed the partial-birth abortion ban despite its lack of consideration for health necessities. Even the most adamantly pro-life American must feel that it is wrong to prohibit a medical procedure when it is deemed necessary to save a woman's life or salvage her future ability to bear children. The ban is extremely threatening to the legality of abortion in general. Bush has stated that public opinion, not yet accepting of the elimination of abortion, keeps him from attempting to ban abortion altogether. However, the ban on partial-birth abortion means that several safe procedures can no longer be performed legally, leaving women with more dangerous alternatives.

Considering human rights motivations for the recent war in Iraq, Bush has proven himself to be a hypocrite as well as an enemy of women's rights. He has done the unthinkable within our own country: denied medical freedom to a group of people who need it badly. It is a step backward for women, and one which bodes very badly for the future of reproductive freedom.

But the partial-birth abortion ban has not been Bush's only attack on reproductive freedom. He has con-

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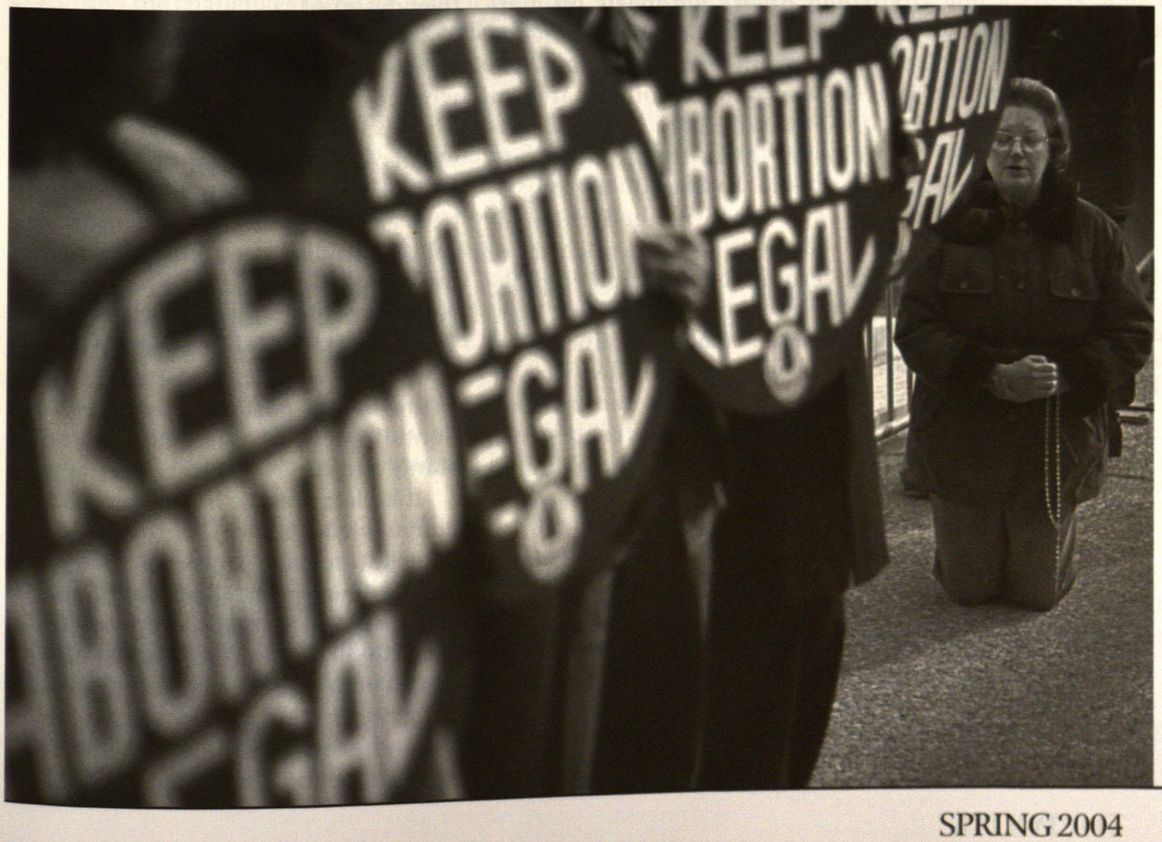
sistently supported outspoken pro-life judges and cabinet secretaries such as Judge Carolyn Kuhl, Secretary of Health and Human Services Tommy Thompson, and Federal District Court Judge Charles Pickering.

In addition, Bush has elevated the legal status of fetuses, a move which places abortion itself in a precarious position. Bush passed the Unborn Victims of Violence act, which punishes violent offenders more severely if they harm a fetus while attacking a pregnant woman. This act, which gives fetuses significant legal protection, is extremely dangerous to the future of *Roe v. Wade* in this country. Similarly, Bush's opposition to stem cell research not only retards the progress of science, but also elevates fetuses to a level which foreshadows a future abolition of abortion.

Bush has also found it necessary to withdraw government support for the use of contraception. The health insurance of government employees covers contraception at no significant cost to the government. Since Bush took office, he has attempted to eradicate this coverage, though it was reinstated by Congress. This move was not made out of financial motives, but instead had its basis in religious beliefs which no president has a right to foist on his or her citizens. He also increased funding to "abstinence-only" education programs, which teach abstinence from sex outside of marriage while neglecting to teach about condoms or other contraceptive devices. The message is clear. Bush wishes to return to religiously-inspired governmental interference with reproductive freedom. But contraception, along with abortion, is a vital part of women's rights and allows both women and men to protect themselves.

Christian fundamentalist opposition to contraception on the part of our government is both despicable and dangerous. In a ridiculous and ironic move, Bush nominated Tom Coburn, an outspoken anti-condom advocate, to the President's Advisory Council on HIV/AIDS. Coburn is opposed to contraception and has openly stated that he wants to reduce the advocacy of condoms as a means to prevent HIV infection. With the spread of dangerous sexually transmitted diseases, it is preposterous for a government to endanger its citizens by opposing the use of condoms. A similar attack on sexual freedom is Bush's proposed "Healthy Marriage" initiative, to which he plans to allocate $1.5 billion. His support of "traditional" marriage means that he

"Bush has proven himself to be a hypocrite as well as an enemy of women's rights"



President George W. Bush signs the Partial Birth Abotion Bill on Nov. 5, 2003. He is surrounded by high ranking Republican senators, all men.

favors heterosexual relations, and condemns gay marriage as dangerous to the institution of marriage. Again, his morals and religious beliefs lead him to express an intolerance of certain types of sexuality, a stance which threatens women and men alike.

Further, Bush's emphasis on marriage in low-income communities is both patronizing and insulting. He suggests that single mothers are not capable of taking care of their children alone, while attempting to apply middle-class values to a group of people who do not need them — people who would gain much more from government-sponsored employment and education initiatives.

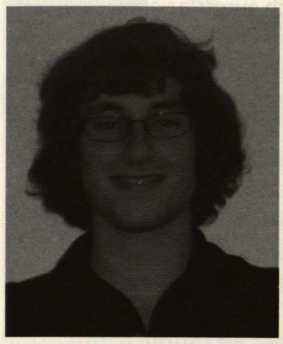
"Bush's emphasis on marriage in low-income communities is both patronizing and insulting."

Even when it comes to political freedom, Bush has demonstrated that he considers women to be second-class citizens. President Clinton began a White House Office for Women's Initiative and Outreach, which was geared to evaluate the impact of legislation on women. Bush closed this office. This act goes even beyond his pro-life and religious stances to the point of taking action to reduce the role of women in government legislation. An organization based on political equality between the sexes can be nothing but positive, and given Bush's agenda, such an organization is more necessary than ever.

With respect to foreign affairs, Bush has proven himself far from generous to women. In 2002, he withheld emergency funding for women in Afghanistan despite the nation's poor medical conditions and high rate of death among child-bearing women. He initially included the $2.5 million in emergency funding for women but later judged that this funding was unnecessary and that women's programs did not stand in need of monetary assistance in spite of evidence to the contrary. It should have been his responsibility to provide relief to women of a country the United States hopes to rebuild. Yet women, suffering in Afghanistan for decades, were not treated with the respect or consideration that they deserved.

There is no doubt that Bush is motivated by politics in his attack on women's rights. Bush initially gave his support to the international women's rights treaty, an agreement which has been signed by 175 countries and which aims to codify political equality between the genders. But under pressure from the extreme right, Bush withdrew his support. The United States has been extremely slow to support the treaty, and Bush, as one of our most conservative presidents in recent years, is not one to stand against right-wing impulses.

It is clear that Bush puts his platform above social justice, and that he has little interest in protecting women's rights when his right-wing constituency believes that he should not do so. Despite all of his righteous speeches, tinged with religious morality and dripping with all-American patriotism, Bush has consistently abandoned women around the world.



SEEKING URBAN SOLUTIONS

A Collective Approach to Inner City Suffering

by Theodore Long

In a day and age when America is ostensibly attempting to liberate other countries from oppression and suffering, efforts to deal with suffering in our own cities have massively declined. High levels of poverty and crime riddle urban America. Unemployment, drugs and a lack of education often cause urban youth to turn to crime. While local policymakers and the federal government have actively attempted to counteract these forces in cities nationwide since the Johnson administration, an effective solution on a large scale has yet to be implemented.

Even though America guarantees every citizen an equal opportunity to pursue happiness, nearly one million Americans are suffering in the Los Angeles inner city. An examination of the different policies implemented in Los Angeles demonstrate that the U.S. government must sponsor proven multifaceted programs to address the challenges faced by America's cities. Such programs attack inner city problems collectively, rather than considering unemployment, drugs, education and crime as separate entities.

In Los Angeles, the above problems attack inner city residents from different directions, making it very difficult for singular programs to take hold. With unemployment levels reaching 50 percent in South Los Angeles, the job market is quite bleak. Job Corps, founded by the U.S. Department of Labor in 1965, is the primary national program set up to increase employment and wages for economically disadvantaged youth ages 16 to 24. It operates through offering vocational training in everything from culinary arts to auto mechanics. Yet despite its laudable goal of improving employment in inner city neighborhoods across America, Job Corps has had very limited success.

According to The National Job Corps Study published in 2002, the average increase in weekly incomes of Job Corps graduates in Los Angeles was below $25.21. Furthermore, the average time participants spent working each week was only 28.1 hours. Even given the obvious failure of Job Corps, the national program continues to receive $1.5 billion in government funding every year. In light of its failure, the continued funding of Job Corps by the government is indicative of a major problem with the funding of national social programs in general. Government-created programs with obvious weaknesses continue to soak up an inordinate amount of federal funding.

Job Corps has had remarkable trouble taking hold largely because of another major problem in the inner city: drug use. Drugs such as crack cocaine blanket the Los Angeles inner city and leave behind three related problems: drug use, drug selling and drug associated violent behavior. The two large-scale solutions in use today are the U.S. government's "War on Drugs" and medical rehabilitation.

The Drug Enforcement Administration has made progress to limit the drugs being smuggled into the United States, but after the drugs reach the inner city, the battle on the streets is being lost. The current War on Drugs is not effectively inhibiting any of the problems associated with drugs. Such ineffectiveness is largely because the government seeks to fight the symptoms, rather than the causes, of drug abuse.

The manifestations of the drug environment are synonymous with the general problems in the Los Angeles inner city: drug selling is a popular solution to the failing economy, and violent crime is usually associated with profitable drug selling. There will be no headway made in the War on Drugs until the economic and medical problems of the inner city are themselves addressed.

Apart from the War on Drugs, rehabilitation clinics address drug addiction as a medical condition. Los Angeles rehabilitation centers, especially in Los Angeles County Hospital and Martin Luther King, Jr. Hospital, treat thousands of patients annually, providing medical care that is essential for dealing with drug addic-

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"...nearly one million Americans are suffering in the Los Angeles inner city."

tion. Considering the omnipresence of drugs, medical rehabilitation clinics will play a necessary role when dealing with the multiple problems facing the inner city. Drugs must be fought alongside other social problems if major improvements are to be made.

One such social problem that needs attention is the lack of effective education. Many welfare programs try to encourage youths to stay in school through monetary rewards. Other programs, such as Calif. Gov. Arnold Schwarzenegger's afterschool initiative, seek to keep students off the streets. These programs have been moderately effective, but more is needed.

Traditionally, the most visible and actively combated problem in the inner city has been the unparalleled crime rate. Various crime prevention programs have come and gone in the Los Angeles inner city. These programs have been successful in reducing crime but, almost without exception, funds are eventually cut and the programs disappear, taking the diminished crime rates with them.

President Bill Clinton's famous "Midnight Basketball" program gave federal funding to nighttime basketball leagues in cities across the nation. It was initially credited for a 30 percent decrease in violent crime during its evening operating hours in some areas of Los Angeles. However, as Midnight Basketball funding was cut, the crime rate quickly rose to its previous levels. Such singular crime prevention programs are rarely effective in the long run; they end up becoming temporary "cease fires." Midnight Basketball, despite its preliminary success, was never set up to effectively deal with drug abuse or unemployment. The most effective way to achieve long-term decreases in city crime rates is to see social problems as connected and target problems collectively, something that Midnight Basketball did not accomplish.

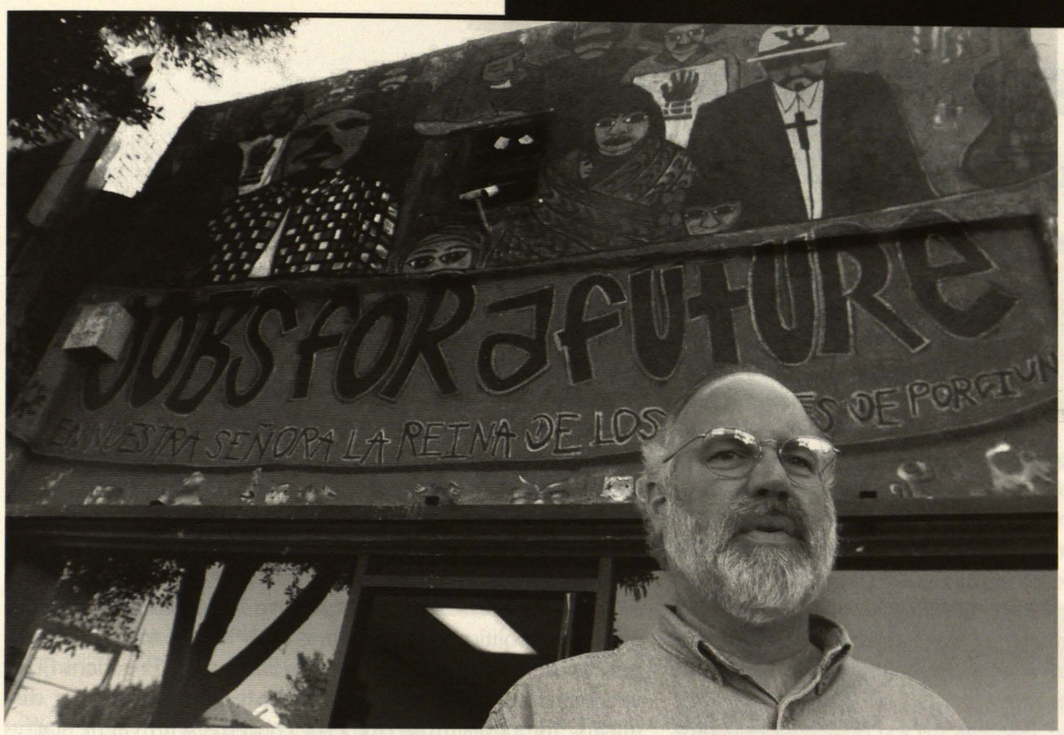
In Los Angeles, however, one program has sought collective solutions, pioneering a new type of social agenda. The Unity-One program recognizes the complex interrelation of problems. Founded by Bo Taylor in 1996, Unity-One is entirely run by former gang members and seeks to ameliorate inner city conditions through the highly specialized knowledge and psychological know-how of its members.

Between 1997 and 2000, the Los Angeles residents saw a 75 percent drop in the homicide rate in areas where Unity-One administered its program. This dramatic decrease directly reflects the unusual efforts put forth by Unity-One, which include structured coursework as well as a commitment to recognizing and combating the problems that cannot be solved within the classroom.

In response to the lack of educational opportunities in the Los Angeles inner city, Unity-One often brings its curriculum to schools, where it is administered as a regular class. Unity-One's place in educational institutions gives it the distinctive ability to have an impact on students' desires to stay in school. Students look up to Unity-One leaders because they have experienced similar ordeals in the inner city. These leaders have an exceptional influence, which they use to effectively encourage education, fulfilling one of the main goals of the program. In addition to classes held in schools, Unity-One also goes to prisons and neighborhoods to deal directly with adults and youth alike.

To combat unemployment, Unity-One guarantees each of its graduates a job of their choice, within reason. This aspect of the program means that individuals have a chance for financial improvement, unfettered by drug use or negative outlooks. Unity-One has an excellent repu-

A homeless woman waits in line for Thanksgiving dinner at the Los Angeles Mission in downtown L.A.'s Skid Row.



Jesuit Priest Father Greg Boyle poses outside the "Jobs for a Future" employment center he runs for Latino gang members in the East Los Angeles neighborhood of Boyle Heights. East L.A. is home to 60-odd street gangs totalling 10,000 members.

tation with local businesses and is able to attract many investors through providing a reliable workforce.

Unity-One also works closely with medical rehabilitation clinics to help participants deal with drug addiction. The program emphasizes that drug addiction must be treated both medically and psychologically. Unity-One leaders are encouraged to send participants with drug addictions to these clinics. Further, they are able to break through the complex psychological isolation of individuals in the program because they have shared experiences living in the inner city and fighting addiction.

An active role in crisis intervention is another aspect of Unity-One that makes it unique among social programs. People throughout the South Los Angeles communities know the program, and residents call if violence is imminent. No matter what hour of the night, a member from Unity-One will rush to the scene of the conflict and help to resolve it. Leaders will often go into the neighborhoods where participants live to make sure that they are staying out of trouble. This sort of active prevention has proven to be very effective. Unity-One has earned so much respect from community members that in June 2002, leaders from 12 of the major gangs in South Los Angeles came together in the Unity-One office to sign a truce over territorial conquest.

Unity-One has been successful with over 35,000 graduates between 1996 and 2003. Hundreds of these graduates are now class leaders for Unity-One. Looking at the Los Angeles inner city, Unity-One is a tried and true program that has the potential to clean up the entire inner city.

The U.S. government should actively sponsor multifaceted programs like Unity-One, which attack inner city problems collectively, as opposed to those programs which deal with the problems of crime, unemployment, drugs, and education as single entities. It is critical that such a proven program be spread across the nation's inner cities because history has shown that these areas will not repair themselves without help.

In the past, the money used to fund Unity-One has primarily come from federal grants. However, with President Bush's dramatic cuts to social programs, fewer and fewer of these grants are available. Throughout our nation, people in low-income areas are united in their need for federal assistance. From Los Angeles to New York, where Unity-One has started a new base, people are suffering from the consequences of unemployment, drugs, and poor education. There is a bleeding heart in our country, and it must no longer be ignored.

"The government must sponsor proven multifaceted programs that attack inner city problems collectively."

BUSH'S SPACE INITIATIVE

Are His Reasons Purely Political?

OPENING STATEMENT: MATTHEW TRALDI

President George W. Bush recently announced plans to eliminate NASA's Space Shuttle program by 2010 and replace it with manned missions to Mars and a permanent base on the moon. Scientists and many Americans are ecstatic that space travel, which has yielded so many important scientific innovations, is again being given national attention. But the political context of the announcement, particularly the lack of any other mention of it by Bush, seriously damages the proposed initiative in terms of both quality and credibility.

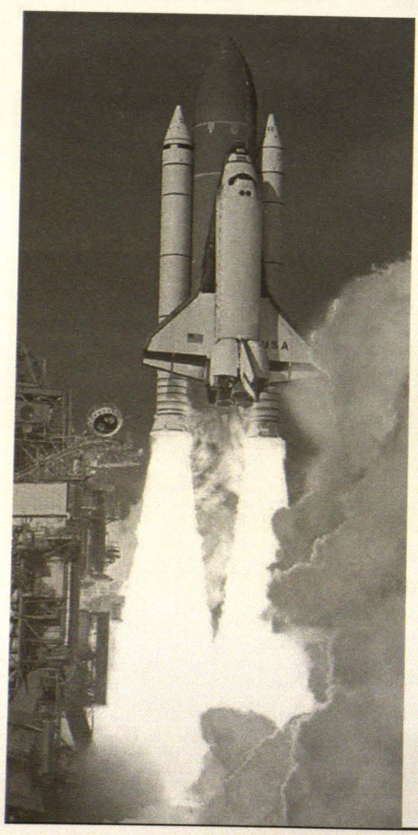
Any grand plans made at the beginning of an election year must be met with skepticism. Dexterous manipulation of popular opinion is an important talent for any politician, and Bush is no exception. President George Bush promised the country a manned mission to Mars in 1989. A satellite-based missile defense system has been a recurring theme of Republican presidents for 24 years. Neither has materialized, and not because they lacked funding. Why should these loftier goals be any different?

Historically, space travel has crossed party lines. Even though previous support from both sides of the aisle can in part be attributed to the Cold War, President Bush might hope that this initiative will receive similar bipartisan support, especially in the wake of the Columbia disaster. His announcement came amidst a flurry of apparently nonpartisan political maneuvers such as Bush's temporary workers' program, implying that his space program has the purpose of wooing independent voters and disaffected Democrats for the coming election.

Surely the president might believe in something that happens to be politically expedient, but his lack of follow-up support to the announcement seems telling. After President Bush was criticized by Democratic candidates and pundits for distracting the public from domestic concerns with vague starry-eyed space plans, his poll numbers dropped to record lows. He has not mentioned the program since, not even in the State of the Union address, the heartland of nebulous policies. If this initiative is not merely a political trick, why has Bush dropped it?

REBUTTAL: JEREMY WATFORD

Bush's space plan has garnered criticism from those who claim that the initiative is purely a political ploy to gain support in an election year. The program's potential affect on Bush's approval rating was surely a consideration in the timing of his announcement. However, this fact does not differentiate him from any other president or politician. Political gain in no way detracts from the plan itself. Politics aside, the initiative has the potential to rejuvenate the American space program and reap benefits after the current administration is out of office.



In terms of planning, the space initiative was not hastily thrown together to make Bush more popular. Rather, it is the result of a National Space Policy Review conducted by an interagency committee commissioned on June 28, 2002. In fact, a complete overhaul of NASA was already in the works more than six months before the Columbia disaster. Also, unlike previous proposals such as the one by the first President Bush, the immediate goals are practical and affordable. In 1989, President Bush's primary aims were manned missions to the moon and Mars. The timeline, however, was completely unrealistic, and he requested $450 billion from Congress. Needless to say, the project never got off the ground.

In terms of public support, this initiative has been greeted much like John F. Kennedy's declaration to put a man on the moon. According to a recent CBS news survey, 48 percent of Americans support Bush's plan, and 48 percent oppose it. The public was similarly split on President Kennedy's plan when it was first announced.

Several weeks without any major announcements regarding the initiative does not imply that Bush is distancing himself from it. The space initiative is advancing according to schedule and, if supported, will propel America into a new age of space exploration.

Jeremy Watford is a sophomore in Jonathan Edwards College at Yale University. He is an associate layout editor for the The Politic.

BUSH'S SPACE INITIATIVE

Is It Fiscally Justifiable?

OPENING STATEMENT: JEREMY WATFORD

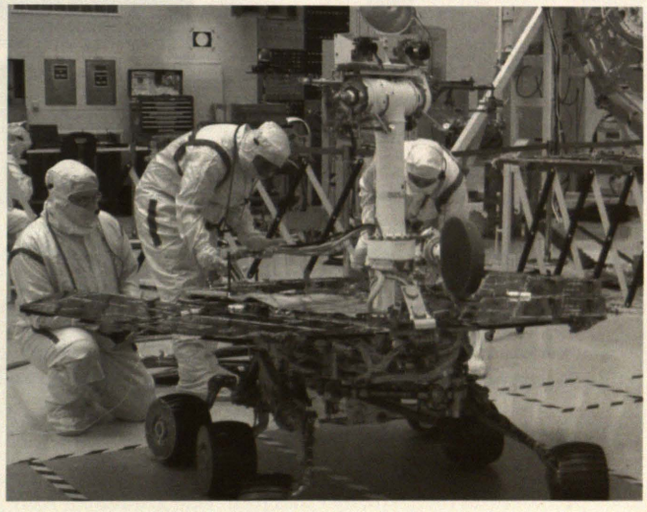
Though President Bush's space initiative has drawn much criticism, it has been attacked for all the wrong reasons. The proposal combines tangible aims necessary to the continued presence of man in space and a vision for NASA's role in future decades.

The most important part of Bush's plan is to retire the current space shuttles by 2010 and create a new manned vehicle for space exploration. Three shuttles currently remain in NASA's fleet, with an average age of about 18 years. Discovery is 21 years old and Atlantis is 19. Endeavor is 13, having been built to replace the ill-fated Challenger. Columbia was the oldest in the fleet at 22 years old when it disintegrated upon reentry. Furthermore, these outdated shuttles cost an exorbitant $470 million to launch.

The current system is both unsafe and unsustainable. The primary aim of Bush's space initiative is to put $12 billion over the next five years toward developing a new shuttle that will be safer and less expensive to use. Of this $12 billion, only $1 billion is to come from an increase in NASA's budget. The other $11 billion will come from a redistribution of funds within NASA's currently allotted budget. NASA's funding will remain at approximately one percent of the national budget.

The initiative also includes more ambitious goals, such as new manned missions to the moon by 2020, a manned mission to Mars 10 years after, and the construction of a permanent base on the moon. While these proposals have drawn fire for their high estimated cost, their fruition is more than a decade away, and presently no money is being added to NASA's budget for their advancement. Bush's vision serves to give NASA a sense of direction it has lacked since the Kennedy administration.

A permanent moon base could jump-start the exploration of the solar system, and no probe will ever be a substitute for a manned presence in space. These goals are what NASA should be working toward to further the exploration of space. By stating them so boldly, Bush has given NASA an even greater sense of purpose.



REBUTTAL: MATTHEW TRALDI

President Bush's desertion of his space initiative is a real concern, but the lack of substance in the articulations of the plan is even more troubling. He uses vision-oriented rhetoric instead of details. Also, each goal in his plan is financially underestimated and will result in serious monetary problems in the future.

Bush's initiative calls for an increase in NASA funding of $1 billion over five years. In contrast, the NASA budget was doubled for two consecutive years after John F. Kennedy announced the Apollo program. The development of new technology for manned space-travel will require unprecedented amounts of time and money. The shuttle, flawed though it may be, is the culmination of decades of intense research. NASA already invests in researching new vehicle designs. In order for the proposed increase to make a difference, administrators would have to direct funds away from other programs. Not only the aging shuttles, but also the International Space Station and the Hubble Telescope must be sacrificed. Abandoning these programs for the uncertain product of under-funded and ill-defined research is quite a gamble.

The goals of Bush's space initiative are advances in manned space-travel, manned missions to the moon and eventually Mars, and a permanent scientific lunar base. The first involves research costs that exceed Bush's intended increase. The second relies on the first, has uncertain scientific benefits compared to the Hubble Space Telescope or the International Space Station and would involve a significant addition to NASA's budget. The third is impossible without the first two. Furthermore, historian Howard McCurdy of American University estimates the cost at $65 billion (assuming that a cheap vehicle has been developed and built), over four times NASA's present annual budget.

Bush's initiative sets unreasonable goals for NASA and offers inadequate funding for their realization. In the short term it takes money away from other government programs and redirects NASA's funding to uncertain projects. In short, Bush's plan is not the right answer.

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FINAL WORD

A SPECIAL TIME AND PLACE?

The Political Legacy of 1960s Yale

The conspiracy theorists are going to go wild," Tim Russert, the host of NBC's "Meet the Press," told President Bush in his Feb. 8 interview in the White House. Was Russert referring to some revelations about the decision to go to war in Iraq or allegations concerning meetings between the Bush administration and lobbyists? Not quite. Instead, Russert was talking about the fact that both Bush and Democratic presidential contender John Kerry were alumni of Skull & Bones at Yale.

Yale's connections to the 2004 presidential campaign provide great material for newspaper editors and conspiracy theorists alike. With former candidates Joseph Lieberman and Howard Dean also boasting Yale degrees, the idea that Old Campus is a breeding ground for future presidents is an enticing one. Stories in the national and even international press trumpet Yale as a finishing school for presidential candidates, where accomplished professors and an impressive student body combine to train a new generation of chief executives.

But do these Yale connections actually say anything about the University or the candidates themselves? It is important to remember that if Al Gore had received a few hundred more votes in Florida in 2000, there might be no Yalies in the 2004 presidential race. The fact that four Yale graduates were serious candidates for the White House this year is probably due to chance as much as anything else: after all, as many Harvard alums — Gore, Sen. Ted Kennedy, Sen. Charles Schumer, to name a few — are high-ranking politicians.

Indeed, since before the American Revolution, Yale and other prestigious universities have graduated a disproportionate number of political leaders. But the Yale that Bush and Kerry knew — the same Yale that produced contemporaries John Ashcroft, George Pataki and Bill Nelson (see page 8) — was unique, both relative to other schools and to any other time in Yale's history. And the disproportionate number of Eli's sons from the 1960s and early 1970s who have made their marks in government is a testament to this remarkable environment.

To begin with, Bush and Kerry were college students in a period of unprecedented student engagement in global politics. The civil rights movement, President John F. Kennedy's "New Frontier," and protests against the Vietnam War captured the imagination of students across the country, and Yale's campus was a hotbed of activism. The war, in particular, colored nearly every aspect of life at Yale — from how professors reported grades to the plans students made for after graduation. Unlike the debates about the war in Iraq today, the politics surrounding the conflict in Vietnam had a much more direct impact on the lives of Yale students, many of whom faced the prospect of being drafted.

A front-page story in the *Yale Daily News* in October 1964 — well before activism over Vietnam reached its peak — captured the mood at Yale, explaining that "the ranks of campus political discussion are fuller than ever this fall with enthusiastic, hard-working students." Even Delta Kappa Epsilon, the fraternity Bush headed, jokingly held a wake for Connecticut Republicans after Barry Goldwater lost his bid for the presidency in Bush's freshman year.

But while changes sweeping the nation created a fertile climate for activism, changes on Yale's campus itself may have also encouraged greater political involvement. During these years, University President Kingman Brewster, along with his predecessor A. Whitney Griswold, radically liberalized Yale's admissions policy by letting in more public school students, minorities and, ultimately, women. The result was a University that had more talented and motivated students than ever before. And while Bush, Kerry and Dean — all prep school graduates with close ties to the so-called "Eastern Establishment" — did not benefit directly from a more meritocratic admissions policy, they likely gained from attending a more diverse and competitive campus. Yet even with a gradual abandonment of the prejudices that marked Yale before the 1960s, some of the positive aspects of the "old" Yale remained, like a widespread belief that politics and public service was a noble calling. As a result, Yale was likely graduating more talented students than ever before, and the "best and the brightest" of these young graduates frequently set their sights on government.

As Yale has continued its transition into a "global" university, the quality of its faculty and student body has steadily improved, by all accounts, since the 1960s. But the mindset that encouraged government service at Yale in the era of Bush and Kerry may have waned. Theirs was an age when the idealism of Kennedy had not yet been destroyed by the massive loss of trust in government due to Watergate and Vietnam. For better or for worse, this transition began as Bush and Kerry completed their studies, and its lingering effects can be seen today in the vast number of talented Yale graduates who would never consider a career in politics. Many Yalies still aspire to the presidency, and the possibility of another Yale vs. Yale contest in November 2032 is not unthinkable. But it seems unlikely that the political atmosphere of 1960s-era Yale will soon return.

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